

LTTC

Complete Exercise Bank

892 questions • 9 LTTC chapters • English only

Test banks and past papers, grouped by chapter. Matching question IDs connect the two PDFs.

Write your solution in the space below each question. Keep the separate answer book closed until you have attempted the question. Fill “Checked answer” only after comparing your work.

Only exactly matching question text and choices are merged. Variants with changed numbers, requirements or options remain separate. Original numbering is retained; duplicate source numbers receive a v2 suffix.

Scope: all 649 numbered entries in the supplied Saunders Chapter 1, Saunders Chapter 3 and Mishkin test-bank files, plus the available past-paper questions and the firm-performance exercise section in the five-paper compilation. Lecture theory and unrelated accounting or macroeconomics materials are excluded.

Source years are stated only when identifiable; “year not stated” is not an inferred exam year. Historical institutional descriptions and monetary definitions are answered within their source period.

Coverage limitation: the supplied originals are incomplete in places. Missing questions or pages are listed at the end. This book covers the available question material; it cannot reconstruct missing historical exam pages.

Chapter	Topic	Questions
1	Financial system, money and information	549
2	Time value of money and real interest rates	60
3	Loans and mortgages	16
4	Bonds, equity valuation and interest-rate structure	157
5	Money-market instruments and yields	39
6	Risk and diversification	18
7	Financial statements, ratios and DuPont	23
8	Cash flow and working capital	21
9	Capital budgeting: NPV, IRR and payback	9

1. Financial system, money and information

549 questions | Answers use the same IDs.

S1-Q1 | Test bank

Source: Saunder_Chapter 1.docx | Q1 | Year not stated

Financial market participants who provide funds are called

- A) deficit units.
- B) surplus units.
- C) primary units.
- D) secondary units.

My answer: _____ Checked answer: _____

S1-Q2 | Test bank

Source: Saunder_Chapter 1.docx | Q2 | Year not stated

The main provider(s) of funds to the U.S. Treasury is (are)

- A) households and businesses.
- B) foreign financial institutions.
- C) the Federal Reserve System.
- D) foreign nonfinancial sectors.

My answer: _____ Checked answer: _____

S1-Q3 | Test bank

Source: Saunder_Chapter 1.docx | Q3 | Year not stated

The largest deficit unit is (are)

- A) households and businesses.
- B) foreign financial institutions.
- C) the U.S. Treasury.
- D) foreign nonfinancial sectors.

My answer: _____ Checked answer: _____

S1-Q4 | Test bank

Source: Saunder_Chapter 1.docx | Q4 | Year not stated

Those financial markets that facilitate the flow of short-term funds are known as

- A) money markets.
- B) capital markets.
- C) primary markets.
- D) secondary markets.

My answer: _____ Checked answer: _____

S1-Q5 | Test bank

Source: Saunder_Chapter 1.docx | Q5 | Year not stated

Funds are provided to the initial issuer of securities in the

- A) secondary market.
- B) primary market.
- C) deficit market.
- D) surplus market.

My answer: _____ Checked answer: _____

S1-Q6 | Test bank

Source: Saunder_Chapter 1.docx | Q6 | Year not stated

Which of the following is a capital market instrument?

- A) a six-month CD
- B) a three-month Treasury bill
- C) a ten-year bond
- D) an agreement for a bank to loan funds directly to a company for nine months.

My answer: _____ Checked answer: _____

S1-Q7 | Test bank

Source: Saunder_Chapter 1.docx | Q7 | Year not stated

Which of the following is a money market security?

- A) Treasury note
- B) municipal bond
- C) mortgage
- D) commercial paper

My answer: _____ Checked answer: _____

S1-Q8 | Test bank

Source: Saunder_Chapter 1.docx | Q8 | Year not stated

The most common investors in Federal funds are:

- A) households
- B) depository institutions
- C) firms
- D) government agency

My answer: _____ Checked answer: _____

S1-Q9 | Test bank

Source: Saunder_Chapter 1.docx | Q9 | Year not stated

Equity securities have a _____ expected return than most long-term debt securities, and they exhibit a _____ degree of risk.

- A) higher; higher
- B) lower; lower
- C) lower; higher
- D) higher; lower

My answer: _____ Checked answer: _____

S1-Q10 | Test bank

Source: Saunder_Chapter 1.docx | Q10 | Year not stated

Money market securities generally have _____. Capital market securities are typically expected to have a _____.

- A) less liquidity; higher annualized return
- B) more liquidity; lower annualized return
- C) less liquidity; lower annualized return
- D) more liquidity; higher annualized return

My answer: _____ Checked answer: _____

S1-Q11 | Test bank

Source: Saunder_Chapter 1.docx | Q11 | Year not stated

If security prices fully reflect all available information, the markets for these securities are

- A) efficient.
- B) primary.
- C) overvalued.
- D) undervalued.

My answer: _____ Checked answer: _____

S1-Q12 | Test bank

Source: Saunder_Chapter 1.docx | Q12 | Year not stated

If markets are _____, investors could use available information ignored by the market to earn abnormally high returns.

- A) perfect
- B) active
- C) inefficient
- D) in equilibrium

My answer: _____ Checked answer: _____

S1-Q13 | Test bank

Source: Saunder_Chapter 1.docx | Q13 | Year not stated

If financial markets are efficient, this implies that investors can ignore the various investment instruments available. True or False?

My answer: _____ Checked answer: _____

S1-Q14 | Test bank

Source: Saunder_Chapter 1.docx | Q14 | Year not stated

The Securities Act of 1933:

- A) required complete disclosure of relevant financial information for publicly offered securities in the primary market.
- B) declared trading strategies to manipulate the prices of public secondary securities illegal.
- C) declared misleading financial statements for public primary securities illegal.
- D) required complete disclosure of relevant financial information for securities traded in the secondary market.
- E) All of the above.

My answer: _____ Checked answer: _____

S1-Q15 | Test bank

Source: Saunder_Chapter 1.docx | Q15 | Year not stated

The Securities Exchange Commission (SEC) was established by the

- A) Federal Reserve Act.
- B) McFadden Act.
- C) Securities Exchange Act of 1934.

My answer: _____ Checked answer: _____

S1-Q16 | Test bank

Source: Saunder_Chapter 1.docx | Q16 | Year not stated

Common stock is an example of a(n)

- A) debt security.
- B) money market security.
- C) equity security.
- D) A and B

My answer: _____ Checked answer: _____

S1-Q17 | Test bank

Source: Saunder_Chapter 1.docx | Q17 | Year not stated

If financial markets were _____, all information about any securities for sale in primary and secondary markets would be continuously and freely available to investors.

- A) efficient
- B) inefficient
- C) perfect
- D) imperfect

My answer: _____ Checked answer: _____

S1-Q18 | Test bank

Source: Saunder_Chapter 1.docx | Q18 | Year not stated

The typical role of a securities firm in a public offering of securities is to

- A) purchase the entire issue for its own investment.
- B) place the entire issue with a single large investor.
- C) spread the issue across several investors until the entire issue is sold.
- D) provide all large investors with loans so that they can invest in the offering.

My answer: _____ Checked answer: _____

S1-Q19 | Test bank

Source: Saunder_Chapter 1.docx | Q19 | Year not stated

Without the participation of financial intermediaries in financial market transactions,

- A) information and transaction costs would be lower.
- B) transaction costs would be higher, but information costs would be unchanged.
- C) information costs would be higher, but transaction costs would be unchanged.
- D) information and transaction costs would be higher.

My answer: _____ Checked answer: _____

S1-Q20 | Test bank

Source: Saunder_Chapter 1.docx | Q20 | Year not stated

Which of the following is most likely to be described as a depository institution?

- A) finance companies
- B) securities firms
- C) credit unions
- D) pension funds
- E) insurance companies

My answer: _____ Checked answer: _____

S1-Q21 | Test bank

Source: Saunder_Chapter 1.docx | Q21 | Year not stated

In aggregate, _____ are the most dominant depository institution.

- A) commercial banks
- B) savings banks
- C) credit unions
- D) S&Ls

My answer: _____ Checked answer: _____

S1-Q22 | Test bank

Source: Saunder_Chapter 1.docx | Q22 | Year not stated

Which of the following is a non-depository financial institution?

- A) savings banks
- B) commercial banks
- C) savings and loan associations
- D) mutual funds

My answer: _____ Checked answer: _____

S1-Q23 | Test bank

Source: Saunder_Chapter 1.docx | Q23 | Year not stated

Which of the following distinguishes credit unions from commercial banks and savings institutions?

- A) Credit unions are nonprofit
- B) Credit unions accept deposits but do not make loans
- C) Credit unions make loans but do not accept deposits
- D) Savings institutions restrict their business to members who share a common bond

My answer: _____ Checked answer: _____

S1-Q24 | Test bank

Source: Saunder_Chapter 1.docx | Q24 | Year not stated

When a securities firm acts as a broker, it

- A) guarantees the issuer a specific price for newly issued securities.
- B) makes a market in specific securities by adjusting its own inventory.
- C) executes transactions between two parties.
- D) purchases securities for its own account.

My answer: _____ Checked answer: _____

S1-Q25 | Test bank

Source: Saunder_Chapter 1.docx | Q25 | Year not stated

When a securities firm acts as a(n) _____, it maintains a position in securities.

- A) adviser
- B) dealer
- C) broker
- D) none of the above

My answer: _____ Checked answer: _____

S1-Q26 | Test bank

Source: Saunder_Chapter 1.docx | Q26 | Year not stated

_____ obtain funds by issuing securities, then lend the funds to individuals and small businesses.

- A) Finance companies (non-depository)
- B) Securities firms
- C) Mutual funds
- D) Insurance companies

My answer: _____ Checked answer: _____

S1-Q27 | Test bank

Source: Saunder_Chapter 1.docx | Q27 | Year not stated

Households with _____ are served by _____.

- A) deficient funds; depository institutions and finance companies
- B) deficient funds; finance companies only
- C) savings; finance companies only
- D) savings; pension funds and finance companies

My answer: _____ Checked answer: _____

S1-Q28 | Test bank

Source: Saunder_Chapter 1.docx | Q28 | Year not stated

_____ concentrate on mortgage loans.

- A) Finance companies
- B) Commercial banks
- C) Savings institutions
- D) Credit unions

My answer: _____ Checked answer: _____

S1-Q29 | Test bank

Source: Saunder_Chapter 1.docx | Q29 | Year not stated

_____ securities have a maturity of one year or less; _____ securities are generally more liquid.

- A) Money market; capital market
- B) Money market; money market
- C) Capital market; money market
- D) Capital market; capital market

My answer: _____ Checked answer: _____

S1-Q30 | Test bank

Source: Saunder_Chapter 1.docx | Q30 | Year not stated

Which of the following is not a major investor in stocks?

- A) commercial banks
- B) insurance companies
- C) mutual funds
- D) pension funds

My answer: _____ Checked answer: _____

S1-Q31 | Test bank

Source: Saunder_Chapter 1.docx | Q31 | Year not stated

Which of the following financial intermediaries commonly invests in stocks and bonds?

- A) pension funds
- B) insurance companies
- C) mutual funds
- D) all of the above

My answer: _____ Checked answer: _____

S1-Q32 | Test bank

Source: Saunder_Chapter 1.docx | Q32 | Year not stated

Securities are certificates that represent a claim on the issuer. True or False?

My answer: _____ Checked answer: _____

S1-Q33 | Test bank

Source: Saunder_Chapter 1.docx | Q33 | Year not stated

Debt securities are certificates that represent debt (borrowed funds) by the issuer. True or False?

My answer: _____ Checked answer: _____

S1-Q34 | Test bank

Source: Saunder_Chapter 1.docx | Q34 | Year not stated

A five-year security was purchased two years ago by an investor who plans to resell it. The security will be sold by the investor in the so-called

- A) secondary market.
- B) primary market.
- C) deficit market.
- D) surplus market.

My answer: _____ Checked answer: _____

S1-Q35 | Test bank

Source: Saunder_Chapter 1.docx | Q35 | Year not stated

When security prices fully reflect all available information, the markets for these securities are said to be efficient. True or False?

My answer: _____ Checked answer: _____

S1-Q36 | Test bank

Source: Saunder_Chapter 1.docx | Q36 | Year not stated

If markets are perfect, securities buyers and sellers do not have full access to information and cannot always break down securities to the precise size they desire. True or False?

My answer: _____ Checked answer: _____

S1-Q37 | Test bank

Source: Saunder_Chapter 1.docx | Q37 | Year not stated

A broker executes securities transactions between two parties and charges a fee reflected in the bid ask spread. True or False?

My answer: _____ Checked answer: _____

S1-Q38 | Test bank

Source: Saunder_Chapter 1.docx | Q38 | Year not stated

The euro increased business between European countries and created a more competitive environment in Europe. True or False?

My answer: _____ Checked answer: _____

S1-Q39 | Test bank

Source: Saunder_Chapter 1.docx | Q39 | Year not stated

In recent years, financial institutions have consolidated to capitalize on economies of scale and on economies of scope. True or False?

My answer: _____ Checked answer: _____

S1-Q40 | Test bank

Source: Saunder_Chapter 1.docx | Q40 | Year not stated

Securities are certificates that represent a claim on the provider of funds. True or False?

My answer: _____ Checked answer: _____

S1-Q41 | Test bank

Source: Saunder_Chapter 1.docx | Q41 | Year not stated

Debt securities include commercial paper, Treasury bonds, and corporate bonds. True or False?

My answer: _____ Checked answer: _____

S1-Q42 | Test bank

Source: Saunder_Chapter 1.docx | Q42 | Year not stated || Saunder_Chapter 1.docx | Q51 | Year not stated

Common types of capital market securities include Treasury bills and commercial paper. True or False?

My answer: _____ Checked answer: _____

S1-Q43 | Test bank

Source: Saunder_Chapter 1.docx | Q43 | Year not stated || Saunder_Chapter 1.docx | Q52 | Year not stated

Common types of money market securities include negotiable certificates of deposit and Treasury bills. True or False?

My answer: _____ Checked answer: _____

S1-Q43-v2 | Test bank

Source: Saunder_Chapter 1.docx | Q43 (second occurrence) | Year not stated

Money market securities are commonly issued in order to finance the purchase of assets such as buildings, equipment, or machinery. True or False?

My answer: _____ Checked answer: _____

S1-Q44 | Test bank

Source: Saunder_Chapter 1.docx | Q44 | Year not stated

Commercial banks in aggregate have a lower value of assets than savings institutions. True or False?

My answer: _____ Checked answer: _____

S1-Q45 | Test bank

Source: Saunder_Chapter 1.docx | Q45 | Year not stated

Financial markets facilitating the flow of short-term funds with maturities of less than one year are known as

- A) secondary markets.
- B) capital markets.
- C) primary markets.
- D) money markets.
- E) none of the above

My answer: _____ Checked answer: _____

S1-Q46 | Test bank

Source: Saunder_Chapter 1.docx | Q46 | Year not stated

Which of the following transactions would not be considered a secondary market transaction?

- A) An individual investor purchases some existing shares of stock in IBM through his broker.
- B) An institutional investor sells some Disney stock through its broker.
- C) A firm that was privately held engages in an offering of stock to the public.
- D) All of the above are secondary market transactions.

My answer: _____ Checked answer: _____

S1-Q47 | Test bank

Source: Saunder_Chapter 1.docx | Q47 | Year not stated

If investors speculate in the underlying asset rather than derivative contracts on the underlying asset, they will probably achieve _____ returns, and they are exposed to relatively _____ risk.

- A) lower; lower
- B) lower; higher
- C) higher; lower
- D) higher; higher

My answer: _____ Checked answer: _____

S1-Q48 | Test bank

Source: Saunder_Chapter 1.docx | Q48 | Year not stated

_____ maintain a larger amount of assets in aggregate than the other types of depository institutions.

- A) Credit unions
- B) Commercial banks
- C) Life insurance companies
- D) Savings institutions

My answer: _____ Checked answer: _____

S1-Q49 | Test bank

Source: Saunder_Chapter 1.docx | Q49 | Year not stated

A common use of funds for _____ is investment in stocks and businesses, while their main use of funds is providing loans to households and businesses.

- A) savings institutions
- B) commercial banks
- C) mutual funds
- D) finance companies

My answer: _____ Checked answer: _____

S1-Q50 | Test bank

Source: Saunder_Chapter 1.docx | Q50 | Year not stated

Long-term debt securities tend to have a _____ expected return and _____ risk than money market securities.

- A) lower; lower
- B) lower; higher
- C) higher; lower
- D) higher; higher

My answer: _____ Checked answer: _____

S1-Q53 | Test bank

Source: Saunder_Chapter 1.docx | Q53 | Year not stated

Capital market securities are commonly issued in order to finance the purchase of assets such as buildings, equipment, or machinery. True or False?

My answer: _____ Checked answer: _____

S1-Q54 | Test bank

Source: Saunder_Chapter 1.docx | Q54 | Year not stated

Commercial banks in aggregate have more assets than savings institutions. True or False?

My answer: _____ Checked answer: _____

S1-Q55 | Test bank

Source: Saunder_Chapter 1.docx | Q55 | Year not stated

Those participants who receive more money than they spend are referred to as

- A) deficit units.
- B) surplus units.
- C) borrowing units.
- D) government units.

My answer: _____ Checked answer: _____

S1-Q56 | Test bank

Source: Saunder_Chapter 1.docx | Q56 | Year not stated

Equity securities:

- A) have a maturity.
- B) pay interest on a periodic basis.
- C) represent ownership in the issuer.
- D) repay the principal amount at maturity.

My answer: _____ Checked answer: _____**S1-Q57 | Test bank**

Source: Saunder_Chapter 1.docx | Q57 | Year not stated

The term _____ involves decisions such as how much funding to obtain, and how to invest the proceeds to expand operations.

- A) corporate finance
- B) investment management
- C) financial markets and institutions
- D) None of the above

My answer: _____ Checked answer: _____**S1-Q58 | Test bank**

Source: Saunder_Chapter 1.docx | Q58 | Year not stated

There is a _____ relationship between the risk of a security and the expected return from investing in the security.

- A) positive
- B) negative
- C) indeterminable
- D) none of the above

My answer: _____ Checked answer: _____

S1-Q59 | Test bank

Source: Saunder_Chapter 1.docx | Q59 | Year not stated

If a security is undervalued, some investors would capitalize on this by purchasing that security. As a result, the security's price will _____, resulting in a _____ return for those investors.

- A) rise; lower
- B) fall; higher
- C) fall; lower
- D) rise; higher

My answer: _____ Checked answer: _____

S1-Q60 | Test bank

Source: Saunder_Chapter 1.docx | Q60 | Year not stated

The credit crisis in the 2008-2009 period was caused by weak economies in Asia. True or False?

My answer: _____ Checked answer: _____

S1-Q61 | Test bank

Source: Saunder_Chapter 1.docx | Q61 | Year not stated

Currently, _____ hold the largest amount of assets of all financial institutions.

- A) commercial banks
- B) credit unions
- C) finance companies
- D) securities firms

My answer: _____ Checked answer: _____

S1-Q62 | Test bank

Source: Saunder_Chapter 1.docx | Q62 | Year not stated

The main reason that depository institutions experienced financial problems during the credit crisis was their investment in:

- A) mortgages.
- B) money market securities.
- C) stock.
- D) Treasury bonds.

My answer: _____ Checked answer: _____

S1-Q63 | Test bank

Source: Saunder_Chapter 1.docx | Q63 | Year not stated

Those financial markets that facilitate the flow of short-term funds (with maturities of less than one year) are known as capital markets, while those that facilitate the flow of long-term funds are known as money markets. True or False?

My answer: _____ Checked answer: _____

S1-Q64 | Test bank

Source: Saunder_Chapter 1.docx | Q64 | Year not stated

Treasury bonds have a maturity of one to three years. True or False?

My answer: _____ Checked answer: _____

S1-Q65 | Test bank

Source: Saunder_Chapter 1.docx | Q65 | Year not stated

Since markets are efficient, institutional, and individual investors should ignore the various investment instruments available. True or False?

My answer: _____ Checked answer: _____

S1-Q66 | Test bank

Source: Saunder_Chapter 1.docx | Q66 | Year not stated

Speculating with derivative contracts on an underlying asset typically results in both higher risk and higher returns than speculating in the underlying asset itself. True or False?

My answer: _____ Checked answer: _____

S1-Q67 | Test bank

Source: Saunder_Chapter 1.docx | Q67 | Year not stated

When security prices fully reflect all available information, the markets for these securities are said to be perfect. True or False?

My answer: _____ Checked answer: _____

S1-Q68 | Test bank

Source: Saunder_Chapter 1.docx | Q68 | Year not stated

Securities that are not as safe and liquid as other securities are never considered for investment by anyone. True or False?

My answer: _____ Checked answer: _____

S1-Q69 | Test bank

Source: Saunder_Chapter 1.docx | Q69 | Year not stated

By requiring full disclosure of information, securities laws prevent investors from making poor investment decisions. True or False?

My answer: _____ Checked answer: _____

S1-Q70 | Test bank

Source: Saunder_Chapter 1.docx | Q70 | Year not stated

When a depository institution offers a loan, it is acting as a creditor. True or False?

My answer: _____ Checked answer: _____

S1-Q71 | Test bank

Source: Saunder_Chapter 1.docx | Q71 | Year not stated

Savings institutions are the most dominant financial institutions. True or False?

My answer: _____ Checked answer: _____

S1-Q72 | Test bank

Source: Saunder_Chapter 1.docx | Q72 | Year not stated

Most mutual funds obtain funds by issuing securities, then lend the funds to individuals and small businesses. True or False?

My answer: _____ Checked answer: _____

S1-Q73 | Test bank

Source: Saunder_Chapter 1.docx | Q73 | Year not stated

Institutional investors not only provide financial support to companies but exercise some degree of corporate control over them. True or False?

My answer: _____ Checked answer: _____

S1-Q74 | Test bank

Source: Saunder_Chapter 1.docx | Q74 | Year not stated

Which of the following is not a reason why depository financial institutions are popular?

- A) They offer deposit accounts that can accommodate the amount and liquidity characteristics desired by most surplus units.
- B) They repackage funds received from deposits to provide loans of the size and maturity desired by deficit units.
- C) They accept the risk on loans provided.
- D) They use their information resources to act as a broker, executing securities transactions between two parties.
- E) They have more expertise than individual surplus units in evaluating the creditworthiness of deficit units.

My answer: _____ Checked answer: _____

S1-Q75 | Test bank

Source: Saunder_Chapter 1.docx | Q75 | Year not stated

According to your text, which of the following is not considered a money market security?

- A) Treasury bills
- B) Treasury notes
- C) retail CD
- D) banker's acceptance
- E) commercial paper

My answer: _____ Checked answer: _____

S1-Q76 | Test bank

Source: Saunder_Chapter 1.docx | Q76 | Year not stated

_____ are not considered capital market securities.

- A) Repurchase agreements
- B) Municipal bonds
- C) Corporate bonds
- D) Equity securities
- E) Mortgages

My answer: _____ Checked answer: _____

S1-Q77 | Test bank

Source: Saunder_Chapter 1.docx | Q77 | Year not stated

_____ are long-term debt obligations issued by corporations and government agencies to support their operations.

- A) Common stock
- B) Derivative securities
- C) Bonds
- D) None of the above

My answer: _____ Checked answer: _____

S1-Q78 | Test bank

Source: Saunder_Chapter 1.docx | Q78 | Year not stated

Equity securities should normally have a _____ expected return and _____ risk than money market securities.

- A) lower; lower
- B) lower; higher
- C) higher; lower
- D) higher; higher

My answer: _____ Checked answer: _____

S1-Q79 | Test bank

Source: Saunder_Chapter 1.docx | Q79 | Year not stated

If investors speculate in derivative contracts rather than the underlying asset, they will probably achieve _____ returns, and they are exposed to relatively _____ risk.

- A) lower; lower
- B) lower; higher
- C) higher; lower
- D) higher; higher

My answer: _____ Checked answer: _____

S1-Q80 | Test bank

Source: Saunder_Chapter 1.docx | Q80 | Year not stated

When particular securities are perceived to be _____ by the market, their prices decrease when they are sold by investors.

- A) undervalued
- B) overvalued
- C) fairly priced
- D) efficient
- E) none of the above

My answer: _____ Checked answer: _____

S1-Q81 | Test bank

Source: Saunder_Chapter 1.docx | Q81 | Year not stated

Which of the following are not considered depository financial institutions?

- A) finance companies
- B) commercial banks
- C) savings institutions
- D) credit unions
- E) All of the above are depository financial institutions.

My answer: _____ Checked answer: _____

S1-Q82 | Test bank

Source: Saunder_Chapter 1.docx | Q82 | Year not stated

The main source of funds for _____ is proceeds from selling securities to households and businesses, while their main use of funds is providing loans to households and businesses.

- A) savings institutions
- B) commercial banks
- C) mutual funds
- D) finance companies
- E) pension funds

My answer: _____ Checked answer: _____

S1-Q83 | Test bank

Source: Saunder_Chapter 1.docx | Q83 | Year not stated

Which of the following statements is incorrect?

- A) Financial markets attract funds from investors and channel the funds to corporations.
- B) Money markets enable corporations to borrow funds on a short-term basis so that they can support their existing operations.
- C) Financial institutions serve solely as intermediaries with the financial markets and never serve as investors.
- D) Investors seek to invest their funds in the stock of firms that are presently undervalued and have much potential to improve.

My answer: _____ Checked answer: _____

S1-Q84 | Test bank

Source: Saunder_Chapter 1.docx | Q84 | Year not stated

Which of the following is not a typical money market security?

- A) Treasury bills
- B) Treasury bonds
- C) Commercial paper
- D) Negotiable certificates of deposit

My answer: _____ Checked answer: _____

M1.1-Q1 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q1 | Year not stated

Financial markets promote economic efficiency by

- A) channeling funds from investors to savers.
- B) creating inflation.
- C) channeling funds from savers to investors.
- D) reducing investment.

My answer: _____ Checked answer: _____

M1.1-Q2 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q2 | Year not stated

Financial markets promote greater economic efficiency by channeling funds from _____ to _____.

- A) investors; savers
- B) borrowers; savers
- C) savers; borrowers
- D) savers; lenders

My answer: _____ Checked answer: _____

M1.1-Q3 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q3 | Year not stated

Well-functioning financial markets promote

- A) inflation.
- B) deflation.
- C) unemployment.
- D) growth.

My answer: _____ Checked answer: _____

M1.1-Q4 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q4 | Year not stated

A key factor in producing high economic growth is

- A) eliminating foreign trade.
- B) well-functioning financial markets.
- C) high interest rates.
- D) stock market volatility.

My answer: _____ Checked answer: _____

M1.1-Q5 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q5 | Year not stated

Markets in which funds are transferred from those who have excess funds available to those who have a shortage of available funds are called

- A) commodity markets.
- B) fund-available markets.
- C) derivative exchange markets.
- D) financial markets.

My answer: _____ Checked answer: _____

M1.1-Q6 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q6 | Year not stated

_____ markets transfer funds from people who have an excess of available funds to people who have a shortage.

- A) Commodity t
- B) Fund-available
- C) Financial
- D) Derivative exchange

My answer: _____ Checked answer: _____

M1.1-Q7 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q7 | Year not stated

Poorly performing financial markets can be the cause of

- A) wealth.
- B) poverty.
- C) financial stability.
- D) financial expansion.

My answer: _____ Checked answer: _____

M1.1-Q8 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q8 | Year not stated

The bond markets are important because they are

- A) easily the most widely followed financial markets in the United States.
- B) the markets where foreign exchange rates are determined.
- C) the markets where interest rates are determined.
- D) the markets where all borrowers get their funds.

My answer: _____ Checked answer: _____

M1.1-Q9 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q9 | Year not stated

The price paid for the rental of borrowed funds (usually expressed as a percentage of the rental of \$100 per year) is commonly referred to as the

- A) inflation rate.
- B) exchange rate.
- C) interest rate.
- D) aggregate price level.

My answer: _____ Checked answer: _____

M1.1-Q10 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q10 | Year not stated

Compared to interest rates on long-term U.S. government bonds, interest rates on three-month Treasury bills fluctuate _____ and are _____ on average.

- A) more; lower
- B) less; lower
- C) more; higher
- D) less; higher

My answer: _____ Checked answer: _____

M1.1-Q11 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q11 | Year not stated

The interest rate on Baa (medium quality) corporate bonds is _____, on average, than other interest rates, and the spread between it and other rates became _____ in the 1970s.

- A) lower; smaller
- B) lower; larger
- C) higher; smaller
- D) higher; larger

My answer: _____ Checked answer: _____

M1.1-Q12 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q12 | Year not stated

Everything else held constant, a decline in interest rates will cause spending on housing to:

- A) fall.
- B) remain unchanged.
- C) either rise, fall, or remain the same.
- D) rise.

My answer: _____ Checked answer: _____

M1.1-Q13 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q13 | Year not stated

High interest rates might _____ purchasing a house or car but at the same time high interest rates might _____ saving.

- A) discourage; encourage
- B) discourage; discourage
- C) encourage; encourage

My answer: _____ Checked answer: _____

M1.1-Q14 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q14 | Year not stated

An increase in interest rates might _____ saving because more can be earned in interest income.

- A) encourage
- B) discourage
- C) disallow
- D) invalidate

My answer: _____ Checked answer: _____

M1.1-Q15 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q15 | Year not stated

Everything else held constant, an increase in interest rates on student loans

- A) increases the cost of a college education.
- B) reduces the cost of a college education.
- C) has no effect on educational costs.
- D) increases costs for students with no loans.

My answer: _____ Checked answer: _____

M1.1-Q16 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q16 | Year not stated

High interest rates might cause a corporation to _____ building a new plant that would provide more jobs.

- A) complete
- B) consider
- C) postpone
- D) contemplate

My answer: _____ Checked answer: _____

M1.1-Q17 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q17 | Year not stated

The stock market is important because it is

- A) where interest rates are determined.
- B) the most widely followed financial market in the United States.
- C) where foreign exchange rates are determined.
- D) the market where most borrowers get their funds.

My answer: _____ Checked answer: _____

M1.1-Q18 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q18 | Year not stated

Stock prices are

- A) relatively stable trending upward at a steady pace.
- B) relatively stable trending downward at a moderate rate.
- C) extremely volatile.
- D) unstable trending downward at a moderate rate.

My answer: _____ Checked answer: _____

M1.1-Q19 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q19 | Year not stated

A rising stock market index due to higher share prices

- A) increases people's wealth but is unlikely to increase their willingness to spend.
- B) increases people's wealth and as a result may increase their willingness to spend.
- C) decreases the amount of funds that business firms can raise by selling newly issued stock.
- D) decreases people's wealth but is unlikely to increase their willingness to spend.

My answer: _____ Checked answer: _____

M1.1-Q20 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q20 | Year not stated

When stock prices fall:

- A) an individual's wealth is not affected nor is their willingness to spend.
- B) a business firm will be more likely to sell stock to finance investment spending.
- C) an individual's wealth may decrease but their willingness to spend is not affected.
- D) an individual's wealth may decrease and their willingness to spend may decrease.

My answer: _____ Checked answer: _____

M1.1-Q21 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q21 | Year not stated

Changes in stock prices

- A) do not affect people's wealth and their willingness to spend.
- B) affect firms' decisions to sell stock to finance investment spending.
- C) occur in regular patterns.
- D) are unimportant to decision makers.

My answer: _____ Checked answer: _____

M1.1-Q22 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q22 | Year not stated

An increase in stock prices _____ the size of people's wealth and may _____ their willingness to spend, everything else held constant.

- A) increases; increase
- B) increases; decrease
- C) decreases; increase
- D) decreases; decrease

My answer: _____ Checked answer: _____

M1.1-Q23 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q23 | Year not stated

Low stock market prices might _____ consumers willingness to spend and might _____ businesses willingness to undertake investment projects.

- A) increase; increase
- B) increase; decrease
- C) decrease; decrease
- D) decrease; increase

My answer: _____ Checked answer: _____

M1.1-Q24 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q24 | Year not stated

Fear of a major recession causes stock prices to fall, everything else held constant, which in turn causes consumer spending to

- A) increase.
- B) remain unchanged.
- C) decrease.
- D) cannot be determined.

My answer: _____ Checked answer: _____

M1.1-Q25 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q25 | Year not stated

A share of common stock is a claim on a corporation's

- A) debt.
- B) liabilities.
- C) expenses.
- D) earnings and assets.

My answer: _____ Checked answer: _____

M1.1-Q26 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q26 | Year not stated

On _____, October 19, 1987, the market experienced its worst one-day drop in its entire history with the DJIA falling by more than 500 points.

- A) "Terrible Tuesday"
- B) "Woeful Wednesday"
- C) "Freaky Friday"
- D) "Black Monday"

My answer: _____ Checked answer: _____

M1.1-Q27 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q27 | Year not stated

The decline in stock prices from 2000 through 2002

- A) increased individuals' willingness to spend.
- B) had no effect on individual spending.
- C) reduced individuals' willingness to spend.
- D) increased individual wealth.

My answer: _____ Checked answer: _____

M1.1-Q28 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q28 | Year not stated

The Dow reached a peak of over 11,000 before the collapse of the _____ bubble in 2000.

- A) housing
- B) manufacturing
- C) high-tech
- D) banking

My answer: _____ Checked answer: _____

M1.1-Q29 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q29 | Year not stated

What is a stock? How do stocks affect the economy?

My answer: _____ Checked answer: _____

M1.1-Q30 | Test bank

Source: Mishkin_TB.docx | Section 1.1 | Q30 | Year not stated

Why is it important to understand the bond market?

My answer: _____ Checked answer: _____

M1.2-Q1 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q1 | Year not stated

Channeling funds from individuals with surplus funds to those desiring funds when the saver does not purchase the borrower's security is known as

- A) barter.
- B) redistribution.
- C) financial intermediation.
- D) taxation.

My answer: _____ Checked answer: _____

M1.2-Q2 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q2 | Year not stated

A financial crisis is

- A) not possible in the modern financial environment.
- B) a major disruption in the financial markets.
- C) a feature of developing economies only.
- D) typically followed by an economic boom.

My answer: _____ Checked answer: _____

M1.2-Q3 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q3 | Year not stated

Banks are important to the study of money and the economy because they

- A) channel funds from investors to savers.
- B) have been a source of rapid financial innovation.
- C) are the only important financial institution in the U.S. economy.
- D) create inflation.

My answer: _____ Checked answer: _____

M1.2-Q4 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q4 | Year not stated

Financial intermediaries

- A) provide a channel for linking those who want to save with those who want to invest.
- B) produce nothing of value and are therefore a drain on society's resources.
- C) can hurt the performance of the economy.
- D) hold very little of the average American's wealth.

My answer: _____ Checked answer: _____

M1.2-Q5 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q5 | Year not stated

Banks, savings and loan associations, mutual savings banks, and credit unions

- A) are no longer important players in financial intermediation.
- B) since deregulation now provide services only to small depositors.
- C) have been adept at innovating in response to changes in the regulatory environment.
- D) produce nothing of value and are therefore a drain on society's resources.

My answer: _____ Checked answer: _____

M1.2-Q6 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q6 | Year not stated

Financial institutions search for _____ has resulted in many financial innovations.

- A) higher profits
- B) regulations
- C) respect
- D) higher risk

My answer: _____ Checked answer: _____

M1.2-Q7 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q7 | Year not stated

Banks and other financial institutions engage in financial intermediation, which

- A) can hurt the performance of the economy.
- B) can benefit economic performance.
- C) has no effect on economic performance.
- D) involves borrowing from investors and lending to savers.

My answer: _____ Checked answer: _____

M1.2-Q8 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q8 | Year not stated

Financial institutions that accept deposits and make loans are called _____.

- A) exchanges
- B) banks
- C) over-the-counter markets
- D) finance companies

My answer: _____ Checked answer: _____

M1.2-Q9 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q9 | Year not stated

The financial intermediaries that the average person interacts with most frequently are _____.

- A) exchanges
- B) over-the-counter markets
- C) finance companies
- D) banks

My answer: _____ Checked answer: _____

M1.2-Q10 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q10 | Year not stated

Which of the following is not a financial institution?

- A) a life insurance company
- B) a pension fund
- C) a credit union
- D) a business college

My answer: _____ Checked answer: _____

M1.2-Q11 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q11 | Year not stated

The delivery of financial services electronically is called _____.

- A) e-business
- B) e-commerce
- C) e-finance
- D) e-possible

My answer: _____ Checked answer: _____

M1.2-Q12 | Test bank

Source: Mishkin_TB.docx | Section 1.2 | Q12 | Year not stated

What crucial role do financial intermediaries perform in an economy?

My answer: _____ Checked answer: _____

M1.3-Q1 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q1 | Year not stated

Money is defined as

- A) bills of exchange.
- B) anything that is generally accepted in payment for goods and services or in the repayment of debt.
- C) a risk-free repository of spending power.
- D) the unrecognized liability of governments.

My answer: _____ Checked answer: _____

M1.3-Q2 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q2 | Year not stated

The upward and downward movement of aggregate output produced in the economy is referred to as the _____.

- A) roller coaster
- B) see saw
- C) business cycle
- D) shock wave

My answer: _____ Checked answer: _____

M1.3-Q3 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q3 | Year not stated

Sustained downward movements in the business cycle are referred to as

- A) inflation.
- B) recessions.
- C) economic recoveries.
- D) expansions.

My answer: _____ Checked answer: _____

M1.3-Q4 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q4 | Year not stated

During a recession, output declines resulting in

- A) lower unemployment in the economy.
- B) higher unemployment in the economy.
- C) no impact on unemployment in the economy.
- D) higher wages for the workers.

My answer: _____ Checked answer: _____

M1.3-Q5 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q5 | Year not stated

Prior to all recessions since 1900, there has been a drop in

- A) inflation.
- B) the money stock.
- C) the growth rate of the money stock.
- D) interest rates.

My answer: _____ Checked answer: _____

M1.3-Q6 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q6 | Year not stated

Evidence from business cycle fluctuations in the United States indicates that

- A) a negative relationship between money growth and general economic activity exists.
- B) recessions have been preceded by declines in share prices on the stock exchange.
- C) recessions have been preceded by dollar depreciation.
- D) recessions have been preceded by a decline in the growth rate of money.

My answer: _____ Checked answer: _____

M1.3-Q7 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q7 | Year not stated

_____ theory relates changes in the quantity of money to changes in aggregate economic activity and the price level.

- A) Monetary
- B) Fiscal
- C) Financial
- D) Systemic

My answer: _____ Checked answer: _____

M1.3-Q8 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q8 | Year not stated

A sharp increase in the growth of the money supply is likely followed by

- A) a recession.
- B) a depression.
- C) an increase in the inflation rate.
- D) no change in the economy.

My answer: _____ Checked answer: _____

M1.3-Q9 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q9 | Year not stated

It is true that inflation is a

- A) continuous increase in the money supply.
- B) continuous fall in prices.
- C) decline in interest rates.
- D) continually rising price level.

My answer: _____ Checked answer: _____

M1.3-Q10 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q10 | Year not stated

Which of the following is a true statement?

- A) Money or the money supply is defined as Federal Reserve notes.
- B) The average price of goods and services in an economy is called the aggregate price level.
- C) The inflation rate is measured as the rate of change in the federal government budget deficit.
- D) The aggregate price level is measured as the rate of change in the inflation rate.

My answer: _____ Checked answer: _____

M1.3-Q11 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q11 | Year not stated

If ten years ago the prices of the items bought last month by the average consumer would have been much higher, then one can likely conclude that

- A) the aggregate price level has declined during this ten-year period.
- B) the average inflation rate for this ten-year period has been positive.
- C) the average rate of money growth for this ten-year period has been positive.
- D) the aggregate price level has risen during this ten-year period.

My answer: _____ Checked answer: _____

M1.3-Q12 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q12 | Year not stated

From 1950-2008 the price level in the United States increased more than _____.

- A) twofold
- B) threefold
- C) sixfold
- D) ninefold

My answer: _____ Checked answer: _____

M1.3-Q13 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q13 | Year not stated

Complete Milton Friedman's famous statement, "Inflation is always and everywhere a _____ phenomenon."

- A) recessionary
- B) discretionary
- C) repressory
- D) monetary

My answer: _____ Checked answer: _____

M1.3-Q14 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q14 | Year not stated

There is a _____ association between inflation and the growth rate of money _____.

- A) positive; demand
- B) positive; supply
- C) negative; demand
- D) negative; supply

My answer: _____ Checked answer: _____

M1.3-Q15 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q15 | Year not stated

Evidence from the United States and other foreign countries indicates that

- A) there is a strong positive association between inflation and growth rate of money over long periods of time.
- B) there is little support for the assertion that "inflation is always and everywhere a monetary phenomenon."
- C) countries with low monetary growth rates tend to experience higher rates of inflation, all else being constant.
- D) money growth is clearly unrelated to inflation.

My answer: _____ Checked answer: _____

M1.3-Q16 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q16 | Year not stated

Countries that experience very high rates of inflation may also have

- A) balanced budgets.
- B) rapidly growing money supplies.
- C) falling money supplies.
- D) constant money supplies.

My answer: _____ Checked answer: _____

M1.3-Q17 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q17 | Year not stated

Between 1950 and 1980 in the U.S., interest rates trended upward. During this same time period,

- A) the rate of money growth declined.
- B) the rate of money growth increased.
- C) the government budget deficit (expressed as a percentage of GNP) trended downward.
- D) the aggregate price level declined quite dramatically.

My answer: _____ Checked answer: _____

M1.3-Q18 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q18 | Year not stated

The management of money and interest rates is called _____ policy and is conducted by a nation's _____ bank.

- A) monetary; superior
- B) fiscal; superior
- C) fiscal; central
- D) monetary; central

My answer: _____ Checked answer: _____

M1.3-Q19 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q19 | Year not stated

The organization responsible for the conduct of monetary policy in the United States is the

- A) Comptroller of the Currency.
- B) U.S. Treasury.
- C) Federal Reserve System.
- D) Bureau of Monetary Affairs.

My answer: _____ Checked answer: _____

M1.3-Q20 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q20 | Year not stated

_____ policy involves decisions about government spending and taxation.

- A) Monetary
- B) Fiscal
- C) Financial
- D) Systemic

My answer: _____ Checked answer: _____

M1.3-Q21 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q21 | Year not stated

When tax revenues are greater than government expenditures, the government has a budget _____.

- A) crisis
- B) deficit
- C) surplus
- D) revision

My answer: _____ Checked answer: _____

M1.3-Q22 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q22 | Year not stated

A budget _____ occurs when government expenditures exceed tax revenues for a particular time period.

- A) deficit
- B) surplus
- C) surge
- D) surfeit

My answer: _____ Checked answer: _____

M1.3-Q23 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q23 | Year not stated

Budgets deficits can be a concern because they might

- A) ultimately lead to higher inflation.
- B) lead to lower interest rates.
- C) lead to a slower rate of money growth.
- D) lead to higher bond prices.

My answer: _____ Checked answer: _____

M1.3-Q24 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q24 | Year not stated

Budget deficits are important because deficits

- A) cause bank failures.
- B) always cause interest rates to fall.
- C) can result in higher rates of monetary growth.
- D) always cause prices to fall.

My answer: _____ Checked answer: _____

M1.3-Q25 | Test bank

Source: Mishkin_TB.docx | Section 1.3 | Q25 | Year not stated

What happens to economic growth and unemployment during a business cycle recession? What is the relationship between the money growth rate and a business cycle recession?

My answer: _____ Checked answer: _____

M1.5-Q1 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q1 | Year not stated

The most comprehensive measure of aggregate output is

- A) gross domestic product.
- B) net national product.
- C) the stock value of the industrial 500.
- D) national income.

My answer: _____ Checked answer: _____

M1.5-Q2 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q2 | Year not stated

The gross domestic product is the

- A) the value of all wealth in an economy.
- B) the value of all goods and services sold to other nations in a year.
- C) the market value of all final goods and services produced in an economy in a year.
- D) the market value of all intermediate goods and services produced in an economy in a year.

My answer: _____ Checked answer: _____

M1.5-Q3 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q3 | Year not stated

Which of the following items are not counted in U.S. GDP?

- A) your purchase of a new Ford Mustang
- B) your purchase of new tires for your old car
- C) GM's purchase of tires for new cars
- D) a foreign consumer's purchase of a new Ford Mustang

My answer: _____ Checked answer: _____

M1.5-Q4 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q4 | Year not stated

If an economy has aggregate output of \$20 trillion, then aggregate income is

- A) \$10 trillion.
- B) \$20 trillion.
- C) \$30 trillion.
- D) \$40 trillion.

My answer: _____ Checked answer: _____

M1.5-Q5 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q5 | Year not stated

When the total value of final goods and services is calculated using current prices, the resulting measure is referred to as

- A) real GDP.
- B) the GDP deflator.
- C) nominal GDP.
- D) the index of leading indicators.

My answer: _____ Checked answer: _____

M1.5-Q6 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q6 | Year not stated

Nominal GDP is output measured in _____ prices while real GDP is output measured in _____ prices.

- A) current; current
- B) current; fixed
- C) fixed; fixed
- D) fixed; current

My answer: _____ Checked answer: _____

M1.5-Q7 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q7 | Year not stated

GDP measured with constant prices is referred to as

- A) real GDP.
- B) nominal GDP.
- C) the GDP deflator.
- D) industrial production.

My answer: _____ Checked answer: _____

M1.5-Q8 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q8 | Year not stated

If your nominal income in 2002 was \$50,000, and prices doubled between 2002 and 2008, to have the same real income, your nominal income in 2008 must be

- A) \$50,000.
- B) \$75,000.
- C) \$90,000.
- D) \$100,000.

My answer: _____ Checked answer: _____

M1.5-Q9 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q9 | Year not stated

If your nominal income in 1998 is \$50,000, and prices increase by 50% between 1998 and 2008, then to have the same real income, your nominal income in 2008 must be

- A) \$50,000.
- B) \$75,000.
- C) \$100,000.
- D) \$150,000.

My answer: _____ Checked answer: _____

M1.5-Q10 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q10 | Year not stated

To convert a nominal GDP to a real GDP, you would use

- A) the PCE deflator.
- B) the CPI measure.
- C) the GDP deflator.
- D) the PPI measure.

My answer: _____ Checked answer: _____

M1.5-Q11 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q11 | Year not stated

If nominal GDP in 2001 is \$9 trillion, and 2001 real GDP in 1996 prices is \$6 trillion, the GDP deflator price index is

- A) 7.
- B) 100.
- C) 150.
- D) 200.

My answer: _____ Checked answer: _____

M1.5-Q12 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q12 | Year not stated

When prices are measured in terms of fixed (base-year) prices they are called _____ prices.

- A) nominal
- B) real
- C) inflated
- D) aggregate

My answer: _____ Checked answer: _____

M1.5-Q13 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q13 | Year not stated

The measure of the aggregate price level that is most frequently reported in the media is the _____.

- A) GDP deflator
- B) producer price index
- C) consumer price index
- D) household price index

My answer: _____ Checked answer: _____

M1.5-Q14 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q14 | Year not stated

To calculate the growth rate of a variable, you will

- A) calculate the percentage change from one time period to the next.
- B) calculate the difference between the two variables.
- C) add the ending value to the beginning value.
- D) divide the increase by the number of time periods.

My answer: _____ Checked answer: _____

M1.5-Q15 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q15 | Year not stated

If real GDP grows from \$10 trillion in 2002 to \$10.5 trillion in 2003, the growth rate for real GDP is

- A) 5%.
- B) 10%.
- C) 50%.
- D) 0.5%.

My answer: _____ Checked answer: _____

M1.5-Q16 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q16 | Year not stated

If real GDP in 2002 is \$10 trillion, and in 2003 real GDP is \$9.5 trillion, then real GDP growth from 2002 to 2003 is

- A) 0.5%.
- B) 5%.
- C) 0%.
- D) -5%.

My answer: _____ Checked answer: _____

M1.5-Q17 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q17 | Year not stated

If the aggregate price level at time t is denoted by P_t , the inflation rate from time $t - 1$ to t is defined as

A. $\pi_t = \frac{P_t - P_{t-1}}{P_{t-1}}$

B. $\pi_t = \frac{P_{t+1} - P_{t-1}}{P_{t-1}}$

C. $\pi_t = \frac{P_{t+1} - P_t}{P_t}$

D. $\pi_t = \frac{P_t - P_{t-1}}{P_t}$

My answer: _____ Checked answer: _____

M1.5-Q18 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q18 | Year not stated

If the price level increases from 200 in year 1 to 220 in year 2, the rate of inflation from year 1 to year 2 is

- A) 20%.
- B) 10%.
- C) 11%.
- D) 120%.

My answer: _____ Checked answer: _____

M1.5-Q19 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q19 | Year not stated

If the CPI is 120 in 1996 and 180 in 2002, then between 1996 and 2002, prices have increased by

- A) 180%.
- B) 80%.
- C) 60%.
- D) 50%.

My answer: _____ Checked answer: _____

M1.5-Q20 | Test bank

Source: Mishkin_TB.docx | Section 1.5 | Q20 | Year not stated

If the CPI in 2004 is 200, and in 2005 the CPI is 180, the rate of inflation from 2004 to 2005 is

- A) 20%.
- B) 10%.
- C) 0%.
- D) -10%.

My answer: _____ Checked answer: _____

M2.1-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q1 | Year not stated

Every financial market has the following characteristic:

- A) It determines the level of interest rates.
- B) It allows common stock to be traded.
- C) It allows loans to be made.
- D) It channels funds from lenders-savers to borrowers-spenders.

My answer: _____ Checked answer: _____

M2.1-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q2 | Year not stated

Financial markets have the basic function of

- A) getting people with funds to lend together with people who want to borrow funds.
- B) assuring that the swings in the business cycle are less pronounced.
- C) assuring that governments need never resort to printing money.
- D) providing a risk-free repository of spending power.

My answer: _____ Checked answer: _____**M2.1-Q3 | Test bank**

Source: Mishkin_TB.docx | Section 2.1 | Q3 | Year not stated

Financial markets improve economic welfare because

- A) they channel funds from investors to savers.
- B) they allow consumers to time their purchase better.
- C) they weed out inefficient firms.
- D) eliminate the need for indirect finance.

My answer: _____ Checked answer: _____**M2.1-Q4 | Test bank**

Source: Mishkin_TB.docx | Section 2.1 | Q4 | Year not stated

Well-functioning financial markets

- A) cause inflation.
- B) eliminate the need for indirect finance.
- C) cause financial crises.
- D) produce an efficient allocation of capital.

My answer: _____ Checked answer: _____**M2.1-Q5 | Test bank**

Source: Mishkin_TB.docx | Section 2.1 | Q5 | Year not stated

A breakdown of financial markets can result in

- A) financial stability.
- B) rapid economic growth.
- C) political instability.
- D) stable prices.

My answer: _____ Checked answer: _____

M2.1-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q6 | Year not stated

The principal lender-savers are

- A) governments.
- B) businesses.
- C) households.
- D) foreigners.

My answer: _____ Checked answer: _____

M2.1-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q7 | Year not stated

Which of the following can be described as direct finance?

- A) You take out a mortgage from your local bank.
- B) You borrow \$2500 from a friend.
- C) You buy shares of common stock in the secondary market.
- D) You buy shares in a mutual fund.

My answer: _____ Checked answer: _____

M2.1-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q8 | Year not stated

Assume that you borrow \$2000 at 10% annual interest to finance a new business project. For this loan to be profitable, the minimum amount this project must generate in annual earnings is:

- A) \$400.
- B) \$201.
- C) \$200.
- D) \$199.

My answer: _____ Checked answer: _____

M2.1-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q9 | Year not stated

You can borrow \$5000 to finance a new business venture. This new venture will generate annual earnings of \$251. The maximum interest rate that you would pay on the borrowed funds and still increase your income is

- A) 25%.
- B) 12.5%.
- C) 10%.
- D) 5%.

My answer: _____ Checked answer: _____

M2.1-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q10 | Year not stated

Which of the following can be described as involving direct finance?

- A) A corporation issues new shares of stock.
- B) People buy shares in a mutual fund.
- C) A pension fund manager buys a short-term corporate security in the secondary market.
- D) An insurance company buys shares of common stock in the over-the-counter markets.

My answer: _____ Checked answer: _____

M2.1-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q11 | Year not stated

Which of the following can be described as involving direct finance?

- A) A corporation takes out loans from a bank.
- B) People buy shares in a mutual fund.
- C) A corporation buys a short-term corporate security in a secondary market.
- D) People buy shares of common stock in the primary markets.

My answer: _____ Checked answer: _____

M2.1-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q12 | Year not stated

Which of the following can be described as involving indirect finance?

- A) You make a loan to your neighbor.
- B) A corporation buys a share of common stock issued by another corporation in the primary market.
- C) You buy a U.S. Treasury bill from the U.S. Treasury.
- D) You make a deposit at a bank.

My answer: _____ Checked answer: _____

M2.1-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q13 | Year not stated

Which of the following can be described as involving indirect finance?

- A) You make a loan to your neighbor.
- B) You buy shares in a mutual fund.
- C) You buy a U.S. Treasury bill from the U.S. Treasury.
- D) A corporation buys a short-term security issued by another corporation in the primary market.

My answer: _____ Checked answer: _____

M2.1-Q14 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q14 | Year not stated

Securities are _____ for the person who buys them, but are _____ for the individual or firm that issues them.

- A) assets; liabilities
- B) liabilities; assets
- C) negotiable; nonnegotiable
- D) nonnegotiable; negotiable

My answer: _____ Checked answer: _____

M2.1-Q15 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q15 | Year not stated

With _____ finance, borrowers obtain funds from lenders by selling them securities in the financial markets.

- A) active
- B) determined
- C) indirect
- D) direct

My answer: _____ Checked answer: _____

M2.1-Q16 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q16 | Year not stated

With direct finance funds are channeled through the financial market from the _____ directly to the _____.

- A) savers, spenders
- B) spenders, investors
- C) borrowers, savers
- D) investors, savers

My answer: _____ Checked answer: _____

M2.1-Q17 | Test bank

Source: Mishkin_TB.docx | Section 2.1 | Q17 | Year not stated

Distinguish between direct finance and indirect finance. Which of these is the most important source of funds for corporations in the United States?

My answer: _____ Checked answer: _____

M2.2-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q1 | Year not stated

Which of the following statements about the characteristics of debt and equity is false?

- A) They can both be long-term financial instruments.
- B) They can both be short-term financial instruments.
- C) They both involve a claim on the issuer's income.
- D) They both enable a corporation to raise funds.

My answer: _____ Checked answer: _____

M2.2-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q2 | Year not stated

Which of the following statements about the characteristics of debt and equities is true?

- A) They can both be long-term financial instruments.
- B) Bond holders are residual claimants.
- C) The income from bonds is typically more variable than that from equities.
- D) Bonds pay dividends.

My answer: _____ Checked answer: _____

M2.2-Q3 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q3 | Year not stated

Which of the following statements about financial markets and securities is true?

- A) A bond is a long-term security that promises to make periodic payments called dividends to the firm's residual claimants.
- B) A debt instrument is intermediate term if its maturity is less than one year.
- C) A debt instrument is intermediate term if its maturity is ten years or longer.
- D) The maturity of a debt instrument is the number of years (term) to that instrument's expiration date.

My answer: _____ Checked answer: _____

M2.2-Q4 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q4 | Year not stated

Which of the following is an example of an intermediate-term debt?

- A) A thirty-year mortgage.
- B) A sixty-month car loan.
- C) A six-month loan from a finance company.
- D) A Treasury bond.

My answer: _____ Checked answer: _____

M2.2-Q5 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q5 | Year not stated

If the maturity of a debt instrument is less than one year, the debt is called _____

- A) short-term
- B) intermediate-term
- C) long-term
- D) prima-term

My answer: _____ Checked answer: _____

M2.2-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q6 | Year not stated

Long-term debt has a maturity that is _____.

- A) between one and ten years.
- B) less than a year.
- C) between five and ten years.
- D) ten years or longer.

My answer: _____ Checked answer: _____

M2.2-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q7 | Year not stated

When I purchase _____, I own a portion of a firm and have the right to vote on issues important to the firm and to elect its directors.

- A) bonds
- B) bills
- C) notes
- D) stock

My answer: _____ Checked answer: _____

M2.2-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q8 | Year not stated

Equity holders are a corporation's _____. That means the corporation must pay all of its debt holders before it pays its equity holders.

- A) debtors
- B) brokers
- C) residual claimants
- D) underwriters

My answer: _____ Checked answer: _____

M2.2-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q9 | Year not stated

Which of the following benefit directly from any increase in the corporation's profitability?

- A) a bond holder
- B) a commercial paper holder
- C) a shareholder
- D) a T-bill holder

My answer: _____ Checked answer: _____

M2.2-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q10 | Year not stated

A financial market in which previously issued securities can be resold is called a _____ market.

- A) primary
- B) secondary
- C) tertiary
- D) used securities

My answer: _____ Checked answer: _____

M2.2-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q11 | Year not stated

An important financial institution that assists in the initial sale of securities in the primary market is the

- A) investment bank.
- B) commercial bank.
- C) stock exchange.
- D) brokerage house.

My answer: _____ Checked answer: _____

M2.2-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q12 | Year not stated

When an investment bank _____ securities, it guarantees a price for a corporation's securities and then sells them to the public.

- A) underwrites
- B) undertakes
- C) overwrites
- D) overtakes

My answer: _____ Checked answer: _____

M2.2-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q13 | Year not stated

Which of the following is not a secondary market?

- A) foreign exchange market
- B) futures market
- C) options market
- D) IPO market

My answer: _____ Checked answer: _____

M2.2-Q14 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q14 | Year not stated

_____ work in the secondary markets matching buyers with sellers of securities.

- A) Dealers
- B) Underwriters
- C) Brokers
- D) Claimants

My answer: _____ Checked answer: _____

M2.2-Q15 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q15 | Year not stated

A corporation acquires new funds only when its securities are sold in the

- A) primary market by an investment bank.
- B) primary market by a stock exchange broker.
- C) secondary market by a securities dealer.
- D) secondary market by a commercial bank.

My answer: _____ Checked answer: _____

M2.2-Q16 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q16 | Year not stated

A corporation acquires new funds only when its securities are sold in the

- A) secondary market by an investment bank.
- B) primary market by an investment bank.
- C) secondary market by a stock exchange broker.
- D) secondary market by a commercial bank.

My answer: _____ Checked answer: _____

M2.2-Q17 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q17 | Year not stated

An important function of secondary markets is to

- A) make it easier to sell financial instruments to raise funds.
- B) raise funds for corporations through the sale of securities.
- C) make it easier for governments to raise taxes.
- D) create a market for newly constructed houses.

My answer: _____ Checked answer: _____

M2.2-Q18 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q18 | Year not stated

Secondary markets make financial instruments more

- A) solid.
- B) vapid.
- C) liquid.
- D) risky.

My answer: _____ Checked answer: _____

M2.2-Q19 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q19 | Year not stated

A liquid asset is

- A) an asset that can easily and quickly be sold to raise cash.
- B) a share of an ocean resort.
- C) difficult to resell.
- D) always sold in an over-the-counter market.

My answer: _____ Checked answer: _____

M2.2-Q20 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q20 | Year not stated

The higher a security's price in the secondary market the _____ funds a firm can raise by selling securities in the _____ market.

- A) more; primary
- B) more; secondary
- C) less; primary
- D) less; secondary

My answer: _____ Checked answer: _____

M2.2-Q21 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q21 | Year not stated

When secondary market buyers and sellers of securities meet in one central location to conduct trades the market is called a(n)

- A) exchange.
- B) over-the-counter market.
- C) common market.
- D) barter market.

My answer: _____ Checked answer: _____

M2.2-Q22 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q22 | Year not stated

Forty or so dealers establish a "market" in these securities by standing ready to buy and sell them.

- A) Secondary stocks
- B) Surplus stocks
- C) U.S. government bonds
- D) Common stocks

My answer: _____ Checked answer: _____

M2.2-Q23 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q23 | Year not stated

Which of the following statements about financial markets and securities is true?

- A) Many common stocks are traded over-the-counter, although the largest corporations usually have their shares traded at organized stock exchanges such as the New York Stock Exchange.
- B) As a corporation gets a share of the broker's commission, a corporation acquires new funds whenever its securities are sold.
- C) Capital market securities are usually more widely traded than shorter-term securities and so tend to be more liquid.
- D) Because of their short terms to maturity, the prices of money market instruments tend to fluctuate wildly.

My answer: _____ Checked answer: _____

M2.2-Q24 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q24 | Year not stated

A financial market in which only short-term debt instruments are traded is called the _____ market.

- A) bond
- B) money
- C) capital
- D) stock

My answer: _____ Checked answer: _____

M2.2-Q25 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q25 | Year not stated

Equity instruments are traded in the _____ market.

- A) money
- B) bond
- C) capital
- D) commodities

My answer: _____ Checked answer: _____

M2.2-Q26 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q26 | Year not stated

Corporations receive funds when their stock is sold in the primary market. Why do corporations pay attention to what is happening to their stock in the secondary market?

My answer: _____ Checked answer: _____

M2.2-Q27 | Test bank

Source: Mishkin_TB.docx | Section 2.2 | Q27 | Year not stated

Describe the two methods of organizing a secondary market.

My answer: _____ Checked answer: _____

M2.5-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q1 | Year not stated

The process of indirect finance using financial intermediaries is called

- A) direct lending.
- B) financial intermediation.
- C) resource allocation.
- D) financial liquidation.

My answer: _____ Checked answer: _____

M2.5-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q2 | Year not stated

In the United States, loans from _____ are far _____ important for corporate finance than are securities markets.

- A) government agencies; more
- B) government agencies; less
- C) financial intermediaries; more
- D) financial intermediaries; less

My answer: _____ Checked answer: _____

M2.5-Q3 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q3 | Year not stated

The time and money spent in carrying out financial transactions are called

- A) economies of scale.
- B) financial intermediation.
- C) liquidity services.
- D) transaction costs.

My answer: _____ Checked answer: _____

M2.5-Q4 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q4 | Year not stated

Economies of scale enable financial institutions to

- A) reduce transactions costs.
- B) avoid the asymmetric information problem.
- C) avoid adverse selection problems.
- D) reduce moral hazard.

My answer: _____ Checked answer: _____

M2.5-Q5 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q5 | Year not stated

An example of economies of scale in the provision of financial services is

- A) investing in a diversified collection of assets.
- B) providing depositors with a variety of savings certificates.
- C) spreading the cost of borrowed funds over many customers.
- D) spreading the cost of writing a standardized contract over many borrowers.

My answer: _____ Checked answer: _____

M2.5-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q6 | Year not stated

Financial intermediaries provide customers with liquidity services. Liquidity services

- A) make it easier for customers to conduct transactions.
- B) allow customers to have a cup of coffee while waiting in the lobby.
- C) are a result of the asymmetric information problem.
- D) are another term for asset transformation.

My answer: _____ Checked answer: _____

M2.5-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q12 | Year not stated

Typically, borrowers have superior information relative to lenders about the potential returns and risks associated with an investment project. The difference in information is called:

- A) moral selection.
- B) risk sharing.
- C) asymmetric information.
- D) adverse hazard

My answer: _____ Checked answer: _____

M2.5-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q13 | Year not stated

If bad credit risks are the ones who most actively seek loans and, therefore, receive them from financial intermediaries, then financial intermediaries face the problem of

- A) moral hazard.
- B) adverse selection.
- C) free-riding.
- D) costly state verification.

My answer: _____ Checked answer: _____

M2.5-Q14 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q14 | Year not stated || Mishkin_TB.docx | Section 8.3 | Q3 | Year not stated

The problem created by asymmetric information before the transaction occurs is called _____, while the problem created after the transaction occurs is called _____.

- A) adverse selection; moral hazard
- B) moral hazard; adverse selection
- C) costly state verification; free-riding
- D) free-riding; costly state verification

My answer: _____ Checked answer: _____

M2.5-Q15 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q15 | Year not stated

Adverse selection is a problem associated with equity and debt contracts arising from

- A) the lender's relative lack of information about the borrower's potential returns and risks of his investment activities.
- B) the lender's inability to legally require sufficient collateral to cover a 100% loss if the borrower defaults.
- C) the borrower's lack of incentive to seek a loan for highly risky investments.
- D) the borrower's lack of good options for obtaining funds.

My answer: _____ Checked answer: _____

M2.5-Q16 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q16 | Year not stated

An example of the problem of _____ is when a corporation uses the funds raised from selling bonds to fund corporate expansion to pay for Caribbean cruises for all of its employees and their families.

- A) adverse selection
- B) moral hazard
- C) risk sharing
- D) credit risk

My answer: _____ Checked answer: _____

M2.5-Q17 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q17 | Year not stated

Studies of the major developed countries show that when businesses go looking for funds to finance their activities they usually obtain these funds from

- A) government agencies.
- B) equities markets.
- C) financial intermediaries.
- D) bond markets.

My answer: _____ Checked answer: _____

M2.5-Q18 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q18 | Year not stated

The countries that have made the least use of securities markets are _____ and _____; in these two countries finance from financial intermediaries has been almost ten times greater than that from securities markets.

- A) Germany; Japan
- B) Germany; Great Britain
- C) Great Britain; Canada
- D) Canada; Japan

My answer: _____ Checked answer: _____

M2.5-Q19 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q19 | Year not stated

Although the dominance of _____ over _____ is clear in all countries, the relative importance of bond versus stock markets differs widely.

- A) financial intermediaries; securities markets
- B) financial intermediaries; government agencies
- C) government agencies; financial intermediaries
- D) government agencies; securities markets

My answer: _____ Checked answer: _____

M2.5-Q20 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q20 | Year not stated

Because there is an imbalance of information in a lending situation, we must deal with the problems of adverse selection and moral hazard. Define these terms and explain how financial intermediaries can reduce these problems.

My answer: _____ Checked answer: _____

M2.6-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q1 | Year not stated

Financial institutions that accept deposits and make loans are called _____ institutions.

- A) investment
- B) contractual savings
- C) depository
- D) underwriting

My answer: _____ Checked answer: _____

M2.6-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q2 | Year not stated

Thrift institutions include

- A) banks, mutual funds, and insurance companies.
- B) savings and loan associations, mutual savings banks, and credit unions.
- C) finance companies, mutual funds, and money market funds.
- D) pension funds, mutual funds, and banks.

My answer: _____ Checked answer: _____

M2.6-Q3 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q3 | Year not stated

Which of the following is a depository institution?

- A) A life insurance company
- B) A credit union
- C) A pension fund
- D) A mutual fund

My answer: _____ Checked answer: _____

M2.6-Q4 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q4 | Year not stated

Which of the following is a depository institution?

- A) A life insurance company
- B) A mutual savings bank
- C) A pension fund
- D) A finance company

My answer: _____ Checked answer: _____

M2.6-Q5 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q5 | Year not stated

Which of the following financial intermediaries is not a depository institution?

- A) A savings and loan association
- B) A commercial bank
- C) A credit union
- D) A finance company

My answer: _____ Checked answer: _____

M2.6-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q6 | Year not stated

The primary assets of credit unions are

- A) municipal bonds.
- B) business loans.
- C) consumer loans.
- D) mortgages.

My answer: _____ Checked answer: _____

M2.6-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q7 | Year not stated

The primary liabilities of a commercial bank are

- A) bonds.
- B) mortgages.
- C) deposits.
- D) commercial paper.

My answer: _____ Checked answer: _____

M2.6-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q8 | Year not stated

The primary liabilities of depository institutions are

- A) premiums from policies.
- B) shares.
- C) deposits.
- D) bonds.

My answer: _____ Checked answer: _____

M2.6-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q9 | Year not stated

_____ institutions are financial intermediaries that acquire funds at periodic intervals on a contractual basis.

- A) Investment
- B) Contractual savings
- C) Thrift
- D) Depository

My answer: _____ Checked answer: _____

M2.6-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q10 | Year not stated

Which of the following is a contractual savings institution?

- A) A life insurance company
- B) A credit union
- C) A savings and loan association
- D) A mutual fund

My answer: _____ Checked answer: _____

M2.6-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q11 | Year not stated

Contractual savings institutions include

- A) mutual savings banks.
- B) money market mutual funds.
- C) commercial banks.
- D) life insurance companies.

My answer: _____ Checked answer: _____

M2.6-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q12 | Year not stated

Which of the following are not contractual savings institutions?

- A) Life insurance companies
- B) Credit unions
- C) Pension funds
- D) State and local government retirement funds

My answer: _____ Checked answer: _____

M2.6-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q13 | Year not stated

Which of the following is not a contractual savings institution?

- A) A life insurance company
- B) A pension fund.
- C) A savings and loan association
- D) A fire and casualty insurance company

My answer: _____ Checked answer: _____

M2.6-Q14 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q14 | Year not stated

The primary assets of a pension fund are

- A) money market instruments.
- B) corporate bonds and stock.
- C) consumer and business loans.
- D) mortgages.

My answer: _____ Checked answer: _____

M2.6-Q15 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q15 | Year not stated

Which of the following are investment intermediaries?

- A) Life insurance companies
- B) Mutual funds
- C) Pension funds
- D) State and local government retirement funds

My answer: _____ Checked answer: _____

M2.6-Q16 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q16 | Year not stated

An investment intermediary that lends funds to consumers is

- A) a finance company.
- B) an investment bank.
- C) a finance fund.
- D) a consumer company.

My answer: _____ Checked answer: _____

M2.6-Q17 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q17 | Year not stated

The primary assets of a finance company are

- A) municipal bonds.
- B) corporate stocks and bonds.
- C) consumer and business loans.
- D) mortgages.

My answer: _____ Checked answer: _____

M2.6-Q18 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q18 | Year not stated

_____ are financial intermediaries that acquire funds by selling shares to many individuals and using the proceeds to purchase diversified portfolios of stocks and bonds.

- A) Mutual funds
- B) Investment banks
- C) Finance companies
- D) Credit unions

My answer: _____ Checked answer: _____

M2.6-Q19 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q19 | Year not stated

Money market mutual fund shares function like

- A) checking accounts that pay interest.
- B) bonds.
- C) stocks.
- D) currency.

My answer: _____ Checked answer: _____

M2.6-Q20 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q20 | Year not stated

An important feature of money market mutual fund shares is

- A) deposit insurance.
- B) the ability to write checks against shareholdings.
- C) the ability to borrow against shareholdings.
- D) claims on shares of corporate stock.

My answer: _____ Checked answer: _____

M2.6-Q21 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q21 | Year not stated

The primary assets of money market mutual funds are

- A) stocks.
- B) bonds.
- C) money market instruments.
- D) deposits.

My answer: _____ Checked answer: _____

M2.6-Q22 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q22 | Year not stated

An investment bank helps _____ issue securities.

- A) a corporation
- B) the United States government
- C) the SEC
- D) foreign governments

My answer: _____ Checked answer: _____

M2.6-Q23 | Test bank

Source: Mishkin_TB.docx | Section 2.6 | Q23 | Year not stated

An investment bank purchases securities from a corporation at a predetermined price and then resells them in the market. This process is called:

- A) underwriting.
- B) underhanded.
- C) understanding.
- D) undertaking.

My answer: _____ Checked answer: _____

M2.7-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q1 | Year not stated

Which of the following is not a goal of financial regulation?

- A) Ensuring the soundness of the financial system
- B) Reducing moral hazard
- C) Reducing adverse selection
- D) Ensuring that investors never suffer losses

My answer: _____ Checked answer: _____

M2.7-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q2 | Year not stated

Increasing the amount of information available to investors helps to reduce the problems of _____ and _____ in the financial markets.

- A) adverse selection; moral hazard
- B) adverse selection; risk sharing
- C) moral hazard; transactions costs

My answer: _____ Checked answer: _____

M2.7-Q3 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q3 | Year not stated

A goal of the Securities and Exchange Commission is to reduce problems arising from

- A) competition.
- B) banking panics.
- C) risk.
- D) asymmetric information.

My answer: _____ Checked answer: _____

M2.7-Q4 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q4 | Year not stated

The purpose of the disclosure requirements of the Securities and Exchange Commission is to

- A) increase the information available to investors.
- B) prevent bank panics.
- C) improve monetary control.
- D) protect investors against financial losses.

My answer: _____ Checked answer: _____

M2.7-Q5 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q5 | Year not stated

Government regulations to reduce the possibility of financial panic include all of the following except

- A) transactions costs.
- B) restrictions on assets and activities.
- C) disclosure.
- D) deposit insurance.

My answer: _____ Checked answer: _____

M2.7-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q6 | Year not stated

Which of the following do not provide charters?

- A) The Office of the Comptroller of the Currency
- B) The Federal Reserve System
- C) The National Credit Union Administration
- D) State banking and insurance commissions

My answer: _____ Checked answer: _____

M2.7-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q7 | Year not stated

A restriction on bank activities that was repealed in 1999 was:

- A) the prohibition of the payment of interest on checking deposits.
- B) restrictions on credit terms.
- C) minimum down payments on loans to purchase securities.
- D) separation of commercial banking from the securities industries.

My answer: _____ Checked answer: _____

M2.7-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q8 | Year not stated

In order to reduce risk and increase the safety of financial institutions, commercial banks and other depository institutions are prohibited from

- A) owning municipal bonds.
- B) making real estate loans.
- C) making personal loans.
- D) owning common stock.

My answer: _____ Checked answer: _____

M2.7-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q9 | Year not stated

The primary purpose of deposit insurance is to

- A) improve the flow of information to investors.
- B) prevent banking panics.
- C) protect bank shareholders against losses.
- D) protect bank employees from unemployment.

My answer: _____ Checked answer: _____

M2.7-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q10 | Year not stated

The agency that was created to protect depositors after the banking failures of 1930 -1933 is the

- A) Federal Reserve System.
- B) Federal Deposit Insurance Corporation.
- C) Treasury Department.
- D) Office of the Comptroller of the Currency.

My answer: _____ Checked answer: _____

M2.7-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q11 | Year not stated

Savings and loan associations are regulated by the

- A) Federal Reserve System.
- B) Securities and Exchange Commission.
- C) Office of the Comptroller of the Currency.
- D) Office of Thrift Supervision.

My answer: _____ Checked answer: _____

M2.7-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q12 | Year not stated

The regulatory agency that sets reserve requirements for all banks is

- A) the Federal Reserve System.
- B) the Federal Deposit Insurance Corporation.
- C) the Office of Thrift Supervision.
- D) the Securities and Exchange Commission.

My answer: _____ Checked answer: _____

M2.7-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q13 | Year not stated

Asymmetric information is a universal problem. This would suggest that financial regulations:

- A) in industrial countries are an unqualified failure.
- B) differ significantly around the world.
- C) in industrialized nations are similar.
- D) are unnecessary.

My answer: _____ Checked answer: _____

M2.7-Q4-v2 | Test bank

Source: Mishkin_TB.docx | Section 2.7 | Q4 (second occurrence) | Year not stated

How do regulators help to ensure the soundness of financial intermediaries?

My answer: _____ Checked answer: _____

M3.1-Q1 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q1 | Year not stated

To an economist, _____ is anything that is generally accepted in payment for goods and services or in the repayment of debt.

- A) wealth
- B) income
- C) money
- D) credit

My answer: _____ Checked answer: _____

M3.1-Q2 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q2 | Year not stated

Money is

- A) anything that is generally accepted in payment for goods and services or in the repayment of debt.
- B) a flow of earnings per unit of time.
- C) the total collection of pieces of property that are a store of value.
- D) always based on a precious metal like gold or silver.

My answer: _____ Checked answer: _____

M3.1-Q3 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q3 | Year not stated

Currency includes

- A) paper money and coins.
- B) paper money, coins, and checks.
- C) paper money and checks.
- D) paper money, coins, checks, and savings deposits.

My answer: _____ Checked answer: _____**M3.1-Q4 | Test bank**

Source: Mishkin_TB.docx | Section 3.1 | Q4 | Year not stated

Even economists have no single, precise definition of money because

- A) money supply statistics are a state secret.
- B) the Federal Reserve does not employ or report different measures of the money supply.
- C) the "moneyness" or liquidity of an asset is a matter of degree.
- D) economists find disagreement interesting and refuse to agree for ideological reasons.

My answer: _____ Checked answer: _____**M3.1-Q5 | Test bank**

Source: Mishkin_TB.docx | Section 3.1 | Q5 | Year not stated

The total collection of pieces of property that serve to store value is a person's

- A) wealth.
- B) income.
- C) money.
- D) credit.

My answer: _____ Checked answer: _____**M3.1-Q6 | Test bank**

Source: Mishkin_TB.docx | Section 3.1 | Q6 | Year not stated

A person's house is part of her

- A) money.
- B) income.
- C) liabilities.
- D) wealth.

My answer: _____ Checked answer: _____

M3.1-Q7 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q7 | Year not stated

_____ is used to make purchases while _____ is the total collection of pieces of property that serve to store value.

- A) Money; income
- B) Wealth; income
- C) Income; money
- D) Money; wealth

My answer: _____ Checked answer: _____

M3.1-Q8 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q8 | Year not stated

_____ is a flow of earnings per unit of time.

- A) Income
- B) Money
- C) Wealth
- D) Currency

My answer: _____ Checked answer: _____

M3.1-Q9 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q9 | Year not stated

An individual's annual salary is her

- A) money.
- B) income.
- C) wealth.
- D) liabilities.

My answer: _____ Checked answer: _____

M3.1-Q10 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q10 | Year not stated

When we say that money is a stock variable, we mean that

- A) the quantity of money is measured at a given point in time.
- B) we must attach a time period to the measure.
- C) it is sold in the equity market.
- D) money never loses purchasing power.

My answer: _____ Checked answer: _____

M3.1-Q11 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q11 | Year not stated

The difference between money and income is that

- A) money is a flow and income is a stock.
- B) money is a stock and income is a flow.
- C) there is no difference, money and income are both stocks.
- D) there is no difference, money and income are both flows.

My answer: _____ Checked answer: _____

M3.1-Q12 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q12 | Year not stated

Which of the following is a true statement?

- A) Money and income are flow variables.
- B) Money is a flow variable.
- C) Income is a flow variable.
- D) Money and income are stock variables.

My answer: _____ Checked answer: _____

M3.1-Q13 | Test bank

Source: Mishkin_TB.docx | Section 3.1 | Q13 | Year not stated

Which of the following statements uses the economists' definition of money?

- A) I plan to earn a lot of money over the summer.
- B) Betsy is rich, she has a lot of money.
- C) I hope that I have enough money to buy my lunch today.
- D) The job with New Company gave me the opportunity to earn more money.

My answer: _____ Checked answer: _____

M3.2-Q1 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q1 | Year not stated

Of money's three functions, the one that distinguishes money from other assets is its function as a

- A) store of value.
- B) unit of account.
- C) standard of deferred payment.
- D) medium of exchange.

My answer: _____ Checked answer: _____

M3.2-Q2 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q2 | Year not stated

If peanuts serve as a medium of exchange, a unit of account, and a store of value, then peanuts are

- A) bank deposits.
- B) reserves.
- C) money.
- D) loanable funds.

My answer: _____ Checked answer: _____

M3.2-Q3 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q3 | Year not stated

_____ are the time and resources spent trying to exchange goods and services.

- A) Bargaining costs.
- B) Transaction costs.
- C) Contracting costs.
- D) Barter costs.

My answer: _____ Checked answer: _____

M3.2-Q4 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q4 | Year not stated

Compared to an economy that uses a medium of exchange, in a barter economy

- A) transaction costs are higher.
- B) transaction costs are lower.
- C) liquidity costs are higher.
- D) liquidity costs are lower.

My answer: _____ Checked answer: _____

M3.2-Q5 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q5 | Year not stated

When compared to exchange systems that rely on money, disadvantages of the barter system include:

- A) the requirement of a double coincidence of wants.
- B) lowering the cost of exchanging goods over time.
- C) lowering the cost of exchange to those who would specialize.
- D) encouraging specialization and the division of labor.

My answer: _____ Checked answer: _____

M3.2-Q6 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q6 | Year not stated

The conversion of a barter economy to one that uses money

- A) increases efficiency by reducing the need to exchange goods and services.
- B) increases efficiency by reducing the need to specialize.
- C) increases efficiency by reducing transactions costs.
- D) does not increase economic efficiency.

My answer: _____ Checked answer: _____

M3.2-Q7 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q7 | Year not stated

Which of the following statements best explains how the use of money in an economy increases economic efficiency?

- A) Money increases economic efficiency because it is costless to produce.
- B) Money increases economic efficiency because it discourages specialization.
- C) Money increases economic efficiency because it decreases transactions costs.
- D) Money cannot have an effect on economic efficiency.

My answer: _____ Checked answer: _____

M3.2-Q8 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q8 | Year not stated

When economists say that money promotes _____, they mean that money encourages specialization and the division of labor.

- A) bargaining
- B) contracting
- C) efficiency
- D) greed

My answer: _____ Checked answer: _____

M3.2-Q9 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q9 | Year not stated

Money _____ transaction costs, allowing people to specialize in what they do best.

- A) reduces
- B) increases
- C) enhances
- D) eliminates

My answer: _____ Checked answer: _____

M3.2-Q10 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q10 | Year not stated

For a commodity to function effectively as money it must be

- A) easily standardized, making it easy to ascertain its value.
- B) difficult to make change.
- C) deteriorate quickly so that its supply does not become too large.
- D) hard to carry around.

My answer: _____ Checked answer: _____

M3.2-Q11 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q11 | Year not stated

All of the following are necessary criteria for a commodity to function as money except

- A) it must deteriorate quickly.
- B) it must be divisible.
- C) it must be easy to carry.
- D) it must be widely accepted.

My answer: _____ Checked answer: _____

M3.2-Q12 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q12 | Year not stated

Whatever a society uses as money, the distinguishing characteristic is that it must

- A) be completely inflation proof.
- B) be generally acceptable as payment for goods and services or in the repayment of debt.
- C) contain gold.
- D) be produced by the government.

My answer: _____ Checked answer: _____

M3.2-Q13 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q13 | Year not stated

All but the most primitive societies use money as a medium of exchange, implying that

- A) the use of money is economically efficient.
- B) barter exchange is economically efficient.
- C) barter exchange cannot work outside the family.
- D) inflation is not a concern.

My answer: _____ Checked answer: _____

M3.2-Q14 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q14 | Year not stated

Kevin purchasing concert tickets with his debit card is an example of the _____ function of money.

- A) medium of exchange
- B) unit of account
- C) store of value
- D) specialization

My answer: _____ Checked answer: _____

M3.2-Q15 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q15 | Year not stated

When money prices are used to facilitate comparisons of value, money is said to function as a

- A) unit of account.
- B) medium of exchange.
- C) store of value.
- D) payments-system ruler.

My answer: _____ Checked answer: _____

M3.2-Q16 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q16 | Year not stated

A problem with barter exchange when there are many goods is that in a barter system

- A) transactions costs are minimized.
- B) there exists a multiple number of prices for each good.
- C) there is only one store of value.
- D) exchange of services is impossible.

My answer: _____ Checked answer: _____

M3.2-Q17 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q17 | Year not stated

In a barter economy the number of prices in an economy with N goods is

- A. $\frac{N(N-1)}{2}$
- B. $N\left(\frac{N}{2}\right)$
- C. $2N$
- D. $N\left(\frac{N}{2}\right) - 1$

My answer: _____ Checked answer: _____

M3.2-Q18 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q18 | Year not stated

If there are five goods in a barter economy, one needs to know ten prices in order to exchange one good for another. If, however, there are ten goods in a barter economy, then one needs to know _____ prices in order to exchange one good for another.

- A) 20
- B) 25
- C) 30
- D) 45

My answer: _____ Checked answer: _____

M3.2-Q19 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q19 | Year not stated

If there are four goods in a barter economy, then one needs to know _____ prices in order to exchange one good for another.

- A) 8
- B) 6
- C) 5
- D) 4

My answer: _____ Checked answer: _____

M3.2-Q20 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q20 | Year not stated

Because it is a unit of account, money

- A) increases transaction costs.
- B) reduces the number of prices that need to be calculated.
- C) does not earn interest.
- D) discourages specialization.

My answer: _____ Checked answer: _____

M3.2-Q21 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q21 | Year not stated

Dennis notices that jackets are on sale for \$99. In this case money is functioning as a _____.

- A) medium of exchange
- B) unit of account
- C) store of value
- D) payments-system ruler

My answer: _____ Checked answer: _____

M3.2-Q22 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q22 | Year not stated

As a store of value, money

- A) does not earn interest.
- B) cannot be a durable asset.
- C) must be currency.
- D) is a way of saving for future purchases.

My answer: _____ Checked answer: _____

M3.2-Q23 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q23 | Year not stated

Patrick places his pocket change into his savings bank on his desk each evening. By his actions, Patrick indicates that he believes that money is a

- A) medium of exchange.
- B) unit of account.
- C) store of value.
- D) unit of specialization.

My answer: _____ Checked answer: _____

M3.2-Q24 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q24 | Year not stated

_____ is the relative ease and speed with which an asset can be converted into a medium of exchange.

- A) Efficiency
- B) Liquidity
- C) Deflation
- D) Specialization

My answer: _____ Checked answer: _____

M3.2-Q25 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q25 | Year not stated

Increasing transactions costs of selling an asset make the asset

- A) more valuable.
- B) more liquid.
- C) less liquid.
- D) more moneylike.

My answer: _____ Checked answer: _____

M3.2-Q26 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q26 | Year not stated

Since it does not have to be converted into anything else to make purchases, _____ is the most liquid asset.

- A) money
- B) stock
- C) artwork
- D) gold

My answer: _____ Checked answer: _____

M3.2-Q27 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q27 | Year not stated

Of the following assets, the least liquid is

- A) stocks.
- B) traveler's checks.
- C) checking deposits.
- D) a house.

My answer: _____ Checked answer: _____

M3.2-Q28 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q28 | Year not stated

Ranking assets from most liquid to least liquid, the correct order is

- A) savings bonds; house; currency.
- B) currency; savings bonds; house.
- C) currency; house; savings bonds.
- D) house; savings bonds; currency.

My answer: _____ Checked answer: _____

M3.2-Q29 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q29 | Year not stated

People hold money even during inflationary episodes when other assets prove to be better stores of value. This can be explained by the fact that money is

- A) extremely liquid.
- B) a unique good for which there are no substitutes.
- C) the only thing accepted in economic exchange.
- D) backed by gold.

My answer: _____ Checked answer: _____

M3.2-Q30 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q30 | Year not stated

If the price level doubles, the value of money

- A) doubles.
- B) more than doubles, due to scale economies.
- C) rises but does not double, due to diminishing returns.
- D) falls by 50 percent.

My answer: _____ Checked answer: _____

M3.2-Q31 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q31 | Year not stated

A fall in the level of prices

- A) does not affect the value of money.
- B) has an uncertain effect on the value of money.
- C) increases the value of money.
- D) reduces the value of money.

My answer: _____ Checked answer: _____

M3.2-Q32 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q32 | Year not stated

A hyperinflation is

- A) a period of extreme inflation generally greater than 50% per month.
- B) a period of anxiety caused by rising prices.
- C) an increase in output caused by higher prices.
- D) impossible today because of tighter regulations.

My answer: _____ Checked answer: _____

M3.2-Q33 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q33 | Year not stated

During hyperinflations,

- A) the value of money rises rapidly.
- B) money no longer functions as a good store of value and people may resort to barter transactions on a much larger scale.
- C) middle-class savers benefit as prices rise.
- D) money's value remains fixed to the price level; that is, if prices double so does the value of money.

My answer: _____ Checked answer: _____

M3.2-Q34 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q34 | Year not stated

Because inflation in Germany after World War I sometimes exceeded 1,000 % per month, one can conclude that the German economy suffered from

- A) deflation.
- B) disinflation.
- C) hyperinflation.
- D) superdeflation.

My answer: _____ Checked answer: _____

M3.2-Q35 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q35 | Year not stated

If merchants in the country Zed choose to close their doors, preferring to be stuck with rotting merchandise rather than worthless currency, then one can conclude that Zed is experiencing a

- A) superdeflation.
- B) hyperdeflation.
- C) disinflation.
- D) hyperinflation.

My answer: _____ Checked answer: _____

M3.2-Q36 | Test bank

Source: Mishkin_TB.docx | Section 3.2 | Q36 | Year not stated

Explain how cigarettes could be called "money" in prisoner-of-war camps of World War II.

My answer: _____ Checked answer: _____

M3.3-Q1 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q1 | Year not stated

The payments system is

- A) the method of conducting transactions in the economy.
- B) used by union officials to set salary caps.
- C) an illegal method of rewarding contracts.
- D) used by your employer to determine salary increases.

My answer: _____ Checked answer: _____

M3.3-Q2 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q2 | Year not stated

As the payments system evolves from barter to a monetary system,

- A) commodity money is likely to precede the use of paper currency.
- B) transaction costs increase.
- C) the number of prices that need to be calculated increase rather dramatically.
- D) specialization decreases.

My answer: _____ Checked answer: _____

M3.3-Q3 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q3 | Year not stated

A disadvantage of _____ is that it is very heavy and hard to transport from one place to another.

- A) commodity money
- B) fiat money
- C) electronic money
- D) paper money

My answer: _____ Checked answer: _____

M3.3-Q4 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q4 | Year not stated

Paper currency that has been declared legal tender but is not convertible into coins or precious metals is called _____ money.

- A) commodity
- B) fiat
- C) electronic
- D) funny

My answer: _____ Checked answer: _____

M3.3-Q5 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q5 | Year not stated

When paper currency is decreed by governments as legal tender, legally it must be _____.

- A) paper currency backed by gold
- B) a precious metal such as gold or silver
- C) accepted as payment for debts
- D) convertible into an electronic payment

My answer: _____ Checked answer: _____

M3.3-Q6 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q6 | Year not stated

The evolution of the payments system from barter to precious metals, then to fiat money, then to checks can best be understood as a consequence of the fact that

- A) paper is more costly to produce than precious metals.
- B) precious metals were not generally acceptable.
- C) precious metals were difficult to carry and transport.
- D) paper money is less accepted than checks.

My answer: _____ Checked answer: _____

M3.3-Q7 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q7 | Year not stated

Compared to checks, paper currency and coins have the major drawbacks that they

- A) are easily stolen.
- B) are hard to counterfeit.
- C) are not the most liquid assets.
- D) must be backed by gold.

My answer: _____ Checked answer: _____

M3.3-Q8 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q8 | Year not stated

Introduction of checks into the payments system reduced the costs of exchanging goods and services. Another advantage of checks is that:

- A) they provide convenient receipts for purchases.
- B) they can never be stolen.
- C) they are more widely accepted than currency.
- D) the funds from a deposited check are available for use immediately.

My answer: _____ Checked answer: _____

M3.3-Q9 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q9 | Year not stated

The evolution of the payments system from barter to precious metals, then to fiat money, then to checks can best be understood as a consequence of :

- A) government regulations designed to improve the efficiency of the payments system.
- B) government regulations designed to promote the safety of the payments system.
- C) innovations that reduced the costs of exchanging goods and services.
- D) competition among firms to make it easier for customers to purchase their products.

My answer: _____ Checked answer: _____

M3.3-Q10 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q10 | Year not stated

Compared to an electronic payments system, a payments system based on checks has the major drawback that

- A) checks are less costly to process.
- B) checks take longer to process, meaning that it may take several days before the depositor can get her cash.
- C) fraud may be more difficult to commit when paper receipts are eliminated.
- D) legal liability is more clearly defined.

My answer: _____ Checked answer: _____

M3.3-Q11 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q11 | Year not stated

Which of the following sequences accurately describes the evolution of the payments system?

- A) Barter, coins made of precious metals, paper currency, checks, electronic funds transfers
- B) Barter, coins made of precious metals, checks, paper currency, electronic funds transfers
- C) Barter, checks, paper currency, coins made of precious metals, electronic funds transfers
- D) Barter, checks, paper currency, electronic funds transfers

My answer: _____ Checked answer: _____

M3.3-Q12 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q12 | Year not stated

During the past two decades an important characteristic of the modern payments system has been the rapidly increasing use of

- A) checks and decreasing use of currency.
- B) electronic fund transfers.
- C) commodity monies.
- D) fiat money.

My answer: _____ Checked answer: _____

M3.3-Q13 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q13 | Year not stated

Which of the following is not a form of e-money?

- A) a debit card
- B) a credit card
- C) a stored-value card
- D) a smart card

My answer: _____ Checked answer: _____

M3.3-Q14 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q14 | Year not stated

A smart card is the equivalent of

- A) cash.
- B) savings bonds.
- C) savings deposits.
- D) certificates of deposit.

My answer: _____ Checked answer: _____

M3.3-Q15 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q15 | Year not stated

An electronic payments system has not completely replaced the paper payments system because of all of the following reasons except

- A) expensive equipment is necessary to set up the system.
- B) security concerns.
- C) privacy concerns.
- D) transportation costs.

My answer: _____ Checked answer: _____

M3.3-Q16 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q16 | Year not stated

In explaining the evolution of money

- A) government regulation is the most important factor.
- B) commodity money, because it is valued more highly, tends to drive out paper money.
- C) new forms of money evolve to lower transaction costs.
- D) paper money is always backed by gold and therefore more desirable than checks.

My answer: _____ Checked answer: _____

M3.3-Q17 | Test bank

Source: Mishkin_TB.docx | Section 3.3 | Q17 | Year not stated

What factors have slowed down the movement to a system where all payments are made electronically?

My answer: _____ Checked answer: _____

M3.4-Q1 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q1 | Year not stated

Recent financial innovation makes the Federal Reserve's job of conducting monetary policy

- A) easier, since the Fed now knows what to consider money.
- B) more difficult, since the Fed now knows what to consider money.
- C) easier, since the Fed no longer knows what to consider money.
- D) more difficult, since the Fed no longer knows what to consider money.

My answer: _____ Checked answer: _____**M3.4-Q2 | Test bank**

Source: Mishkin_TB.docx | Section 3.4 | Q2 | Year not stated

Defining money becomes _____ difficult as the pace of financial innovation _____.

- A) less; quickens
- B) more; quickens
- C) more; slows
- D) more; stops

My answer: _____ Checked answer: _____**M3.4-Q3 | Test bank**

Source: Mishkin_TB.docx | Section 3.4 | Q3 | Year not stated

Monetary aggregates are

- A) measures of the money supply reported by the Federal Reserve.
- B) measures of the wealth of individuals.
- C) never redefined since "money" never changes.
- D) reported by the Treasury Department annually.

My answer: _____ Checked answer: _____

M3.4-Q4 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q4 | Year not stated

_____ is the narrowest monetary aggregate that the Fed reports.

- A) M0
- B) M1
- C) M2
- D) M3

My answer: _____ Checked answer: _____

M3.4-Q5 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q5 | Year not stated

The currency component includes paper money and coins held in _____.

- A) bank vaults
- B) ATMs
- C) the hands of the nonbank public
- D) the central bank

My answer: _____ Checked answer: _____

M3.4-Q6 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q6 | Year not stated

The components of the U.S. M1 money supply are demand and checkable deposits plus

- A) currency.
- B) currency plus savings deposits.
- C) currency plus travelers checks.
- D) currency plus travelers checks plus money market deposits.

My answer: _____ Checked answer: _____

M3.4-Q7 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q7 | Year not stated

The M1 measure of money includes

- A) small denomination time deposits.
- B) traveler's checks.
- C) money market deposit accounts.
- D) money market mutual fund shares.

My answer: _____ Checked answer: _____

M3.4-Q8 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q8 | Year not stated

Which of the following is not included in the measure of M1?

- A) NOW accounts.
- B) Demand deposits.
- C) Currency.
- D) Savings deposits.

My answer: _____ Checked answer: _____

M3.4-Q9 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q9 | Year not stated

Which of the following is not included in the M1 measure of money but is included in the M2 measure of money?

- A) Currency
- B) Traveler's checks
- C) Demand deposits
- D) Small-denomination time deposits

My answer: _____ Checked answer: _____

M3.4-Q10 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q10 | Year not stated

Which of the following is included in both M1 and M2?

- A) Currency
- B) Savings deposits
- C) Small-denomination time deposits
- D) Money market deposit accounts

My answer: _____ Checked answer: _____

M3.4-Q11 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q11 | Year not stated

Which of the following is not included in the monetary aggregate M2?

- A) Currency
- B) Savings bonds
- C) Traveler's checks
- D) Checking deposits

My answer: _____ Checked answer: _____

M3.4-Q12 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q12 | Year not stated

Which of the following is included in M2 but not in M1?

- A) NOW accounts
- B) Demand deposits
- C) Currency
- D) Money market mutual fund shares (retail)

My answer: _____ Checked answer: _____

M3.4-Q13 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q13 | Year not stated

Of the following, the largest is

- A) money market deposit accounts.
- B) demand deposits.
- C) M1.
- D) M2.

My answer: _____ Checked answer: _____

M3.4-Q14 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q14 | Year not stated

If an individual redeems a U.S. savings bond for currency:

- A) M1 stays the same and M2 decreases.
- B) M1 increases and M2 increases.
- C) M1 increases and M2 stays the same.
- D) M1 stays the same and M2 stays the same.

My answer: _____ Checked answer: _____

M3.4-Q15 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q15 | Year not stated

If an individual moves money from a small-denomination time deposit to a demand deposit account,

- A) M1 increases and M2 stays the same.
- B) M1 stays the same and M2 increases.
- C) M1 stays the same and M2 stays the same.
- D) M1 increases and M2 decreases.

My answer: _____ Checked answer: _____

M3.4-Q16 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q16 | Year not stated

If an individual moves money from a demand deposit account to a money market deposit account,

- A) M1 decreases and M2 stays the same.
- B) M1 stays the same and M2 increases.
- C) M1 stays the same and M2 stays the same.
- D) M1 increases and M2 decreases.

My answer: _____ Checked answer: _____

M3.4-Q17 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q17 | Year not stated

If an individual moves money from a savings deposit account to a money market deposit account,

- A) M1 decreases and M2 stays the same.
- B) M1 stays the same and M2 increases.
- C) M1 stays the same and M2 stays the same.
- D) M1 increases and M2 decreases.

My answer: _____ Checked answer: _____

M3.4-Q18 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q18 | Year not stated

If an individual moves money from currency to a demand deposit account,

- A) M1 decreases and M2 stays the same.
- B) M1 stays the same and M2 increases.
- C) M1 stays the same and M2 stays the same.
- D) M1 increases and M2 stays the same.

My answer: _____ Checked answer: _____

M3.4-Q19 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q19 | Year not stated

If an individual moves money from a money market deposit account to currency,

- A) M1 increases and M2 stays the same.
- B) M1 stays the same and M2 increases.
- C) M1 stays the same and M2 stays the same.
- D) M1 increases and M2 decreases.

My answer: _____ Checked answer: _____

M3.4-Q20 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q20 | Year not stated

Small-denomination time deposits refer to certificates of deposit with a denomination of less than _____.

- A) \$1,000
- B) \$10,000
- C) \$100,000
- D) \$1,000,000

My answer: _____ Checked answer: _____

M3.4-Q21 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q21 | Year not stated

Which of the following statements accurately describes the two measures of the money supply?

- A) The two measures do not move together, so they cannot be used interchangeably by policymakers.
- B) The two measures' movements closely parallel each other, even on a month-to-month basis.
- C) Short-run movements in the money supply are extremely reliable.
- D) M2 is the narrowest measure the Fed reports.

My answer: _____ Checked answer: _____

M3.4-Q22 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q22 | Year not stated

The decade during which the growth rates of monetary aggregates diverged the most is

- A) the 1960s.
- B) the 1970s.
- C) the 1980s.
- D) the 1990s.

My answer: _____ Checked answer: _____

M3.4-Q23 | Test bank

Source: Mishkin_TB.docx | Section 3.4 | Q23 | Year not stated

Why are most of the U.S. dollars held outside of the United States?

My answer: _____ Checked answer: _____

M3.5-Q1 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q1 | Year not stated

The Fed revises its estimates of the monetary aggregates, sometimes by large amounts, because

- A) large depository institutions need only report their deposits infrequently.
- B) weekly monetary data need to be adjusted for the "weekend effect."
- C) monthly monetary data need to be adjusted for the "payday effect."
- D) seasonal adjustments become more precise only as more data becomes available.

My answer: _____ Checked answer: _____

M3.5-Q2 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q2 | Year not stated

The Fed estimates initial monetary aggregate reports because _____ depository institutions report the amount of their deposits infrequently.

- A) all
- B) small
- C) large
- D) state

My answer: _____ Checked answer: _____

M3.5-Q3 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q3 | Year not stated

The increase in holiday spending is not the same every year causing the Fed's adjustment for _____ to be revised as more data becomes available.

- A) seasonal variation
- B) reporting discrepancy
- C) market churning
- D) transactions discrepancy

My answer: _____ Checked answer: _____

M3.5-Q4 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q4 | Year not stated

An examination of revised money supply statistics, when compared to the initial statistics, suggests that the initial statistics

- A) are pretty good.
- B) do not provide a good guide to short-run movements in the money supply.
- C) provide a poor guide of monetary policy because they are usually underestimates of the revised statistics.
- D) provide a good guide of monetary policy, though they are usually underestimates of the revised statistics.

My answer: _____ Checked answer: _____

M3.5-Q5 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q5 | Year not stated

Generally, the initial money supply data reported by the Fed

- A) is not a reliable guide to the short-run behavior of the money supply.
- B) is not a reliable guide to the long-run behavior of the money supply.
- C) is a reliable guide to the short-run behavior of the money supply.
- D) usually underestimate the revised statistics.

My answer: _____ Checked answer: _____

M3.5-Q6 | Test bank

Source: Mishkin_TB.docx | Section 3.5 | Q6 | Year not stated

The initial money supply data reported by the Fed are not a reliable guide to short -run movements in the money supply such as a _____, but are reasonably reliable for longer periods such as a _____.

- A) month; year
- B) day; month
- C) year; decade
- D) decade; century

My answer: _____ Checked answer: _____

M8.1-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q1 | Year not stated

American businesses get their external funds primarily from

- A) bank loans.
- B) bonds and commercial paper issues.
- C) stock issues.
- D) loans from nonbank financial intermediaries.

My answer: _____ Checked answer: _____

M8.1-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q2 | Year not stated

Of the sources of external funds for nonfinancial businesses in the United States, loans from banks and other financial intermediaries account for approximately _____ of the total.

- A) 6%
- B) 40%
- C) 56%
- D) 60%

My answer: _____ Checked answer: _____

M8.1-Q3 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q3 | Year not stated

Of the sources of external funds for nonfinancial businesses in the United States, corporate bonds and commercial paper account for approximately _____ of the total.

- A) 5%
- B) 10%
- C) 32%
- D) 50%

My answer: _____ Checked answer: _____

M8.1-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q4 | Year not stated

Of the following sources of external finance for American nonfinancial businesses, the least important is

- A) loans from banks.
- B) stocks.
- C) bonds and commercial paper.

My answer: _____ Checked answer: _____

M8.1-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q5 | Year not stated

Of the sources of external funds for nonfinancial businesses in the United States, stocks account for approximately _____ of the total.

- A) 2%
- B) 11%
- C) 20%

My answer: _____ Checked answer: _____

M8.1-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q6 | Year not stated

Which of the following statements concerning external sources of financing for nonfinancial businesses in the United States are true?

- A) Stocks are a far more important source of finance than bonds.
- B) Stocks and bonds, combined, supply less than one-half of the external funds.
- C) Financial intermediaries are the least important source of external funds for businesses.
- D) Since 1970, more than half of the new issues of stock have been sold to American households.

My answer: _____ Checked answer: _____

M8.1-Q7 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q7 | Year not stated

Which of the following statements concerning external sources of financing for nonfinancial businesses in the United States are true?

- A) Issuing marketable securities is the primary way that they finance their activities.
- B) Bonds are the least important source of external funds to finance their activities.
- C) Stocks are a relatively unimportant source of finance for their activities.
- D) Selling bonds directly to the American household is a major source of funding for American businesses.

My answer: _____ Checked answer: _____

M8.1-Q8 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q8 | Year not stated

With regard to external sources of financing for nonfinancial businesses in the United States, which of the following are accurate statements?

- A) Marketable securities account for a larger share of external business financing in the United States than in Germany and Japan.
- B) Since 1970, most of the newly issued corporate bonds and commercial paper have been sold directly to American households.
- C) Direct finance accounts for more than 50 percent of the external financing of American businesses.
- D) Smaller businesses almost always raise funds by issuing marketable securities.

My answer: _____ Checked answer: _____

M8.1-Q9 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q9 | Year not stated

Nonfinancial businesses in Germany, Japan, and Canada raise most of their funds

- A) by issuing stock.
- B) by issuing bonds.
- C) from nonbank loans.
- D) from bank loans.

My answer: _____ Checked answer: _____

M8.1-Q10 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q10 | Year not stated

As a source of funds for nonfinancial businesses, stocks are relatively more important in

- A) the United States.
- B) Germany.
- C) Japan.
- D) Canada.

My answer: _____ Checked answer: _____

M8.1-Q11 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q11 | Year not stated

Direct finance involves the sale to _____ of marketable securities such as stocks and bonds.

- A) households
- B) insurance companies
- C) pension funds
- D) financial intermediaries

My answer: _____ Checked answer: _____

M8.1-Q12 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q12 | Year not stated

Regulation of the financial system

- A) occurs only in the United States.
- B) protects the jobs of employees of financial institutions.
- C) protects the wealth of owners of financial institutions.
- D) ensures the stability of the financial system.

My answer: _____ Checked answer: _____

M8.1-Q13 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q13 | Year not stated

One purpose of regulation of financial markets is to

- A) limit the profits of financial institutions.
- B) increase competition among financial institutions.
- C) promote the provision of information to shareholders, depositors and the public.
- D) guarantee that the maximum rates of interest are paid on deposits.

My answer: _____ Checked answer: _____

M8.1-Q14 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q14 | Year not stated

Property that is pledged to the lender in the event that a borrower cannot make his or her debt payment is called

- A) collateral.
- B) points.
- C) interest.
- D) good faith money.

My answer: _____ Checked answer: _____

M8.1-Q15 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q15 | Year not stated

Collateralized debt is also known as

- A) unsecured debt.
- B) secured debt.
- C) unrestricted debt.
- D) promissory debt.

My answer: _____ Checked answer: _____**M8.1-Q16 | Test bank**

Source: Mishkin_TB.docx | Section 8.1 | Q16 | Year not stated

Credit card debt is

- A) secured debt.
- B) unsecured debt.
- C) restricted debt.
- D) unrestricted debt.

My answer: _____ Checked answer: _____**M8.1-Q17 | Test bank**

Source: Mishkin_TB.docx | Section 8.1 | Q17 | Year not stated

The predominant form of household debt is

- A) consumer installment debt.
- B) collateralized debt.
- C) unsecured debt.
- D) unrestricted debt.

My answer: _____ Checked answer: _____**M8.1-Q18 | Test bank**

Source: Mishkin_TB.docx | Section 8.1 | Q18 | Year not stated

If you default on your auto loan, your car will be repossessed because it has been pledged as _____ for the loan.

- A) interest
- B) collateral

My answer: _____ Checked answer: _____

M8.1-Q19 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q19 | Year not stated

Commercial and farm mortgages, in which property is pledged as collateral, account for

- A) one-quarter of borrowing by nonfinancial businesses.
- B) one-half of borrowing by nonfinancial businesses.
- C) one-twentieth of borrowing by nonfinancial businesses.
- D) two-thirds of borrowing by nonfinancial businesses.

My answer: _____ Checked answer: _____

M8.1-Q20 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q20 | Year not stated

A _____ is a provision that restricts or specifies certain activities that a borrower can engage in.

- A) residual claimant
- B) risk hedge
- C) restrictive barrier
- D) restrictive covenant

My answer: _____ Checked answer: _____

M8.1-Q21 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q21 | Year not stated

A clause in a mortgage loan contract requiring the borrower to purchase homeowner's insurance is an example of a

- A) proscriptive covenant.
- B) prescriptive covenant.
- C) restrictive covenant.
- D) constraint-imposed covenant.

My answer: _____ Checked answer: _____

M8.1-Q22 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q22 | Year not stated

Which of the following is not one of the eight basic puzzles about financial structure?

- A) Stocks are the most important source of finance for American businesses.
- B) Issuing marketable securities is not the primary way businesses finance their operations.
- C) Indirect finance, which involves the activities of financial intermediaries, is many times more important than direct finance, in which businesses raise funds directly from lenders in financial markets.
- D) Banks are the most important source of external funds to finance businesses.

My answer: _____ Checked answer: _____

M8.1-Q23 | Test bank

Source: Mishkin_TB.docx | Section 8.1 | Q23 | Year not stated

Which of the following is not one of the eight basic puzzles about financial structure?

- A) Debt contracts are typically extremely complicated legal documents that place substantial restrictions on the behavior of the borrower.
- B) Indirect finance, which involves the activities of financial intermediaries, is many times more important than direct finance, in which businesses raise funds directly from lenders in financial markets.
- C) Collateral is a prevalent feature of debt contracts for both households and business.
- D) There is very little regulation of the financial system.

My answer: _____ Checked answer: _____

M8.2-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q1 | Year not stated

The current structure of financial markets can be best understood as the result of attempts by financial market participants to

- A) adapt to continually changing government regulations.
- B) deal with the great number of small firms in the United States.
- C) reduce transaction costs.
- D) cartelize the provision of financial services.

My answer: _____ Checked answer: _____

M8.2-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q2 | Year not stated

The reduction in transactions costs per dollar of investment as the size of transactions increases is

- A) discounting.
- B) economies of scale.
- C) economies of trade.
- D) diversification.

My answer: _____ Checked answer: _____

M8.2-Q3 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q3 | Year not stated

Which of the following is not a benefit to an individual purchasing a mutual fund?

- A) reduced risk
- B) lower transactions costs
- C) free-riding
- D) diversification

My answer: _____ Checked answer: _____

M8.2-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q4 | Year not stated

Financial intermediaries develop _____ in things such as computer technology which allows them to lower transactions costs.

- A) expertise
- B) diversification
- C) regulations
- D) equity

My answer: _____ Checked answer: _____

M8.2-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q5 | Year not stated

Financial intermediaries' low transaction costs allow them to provide _____ services that make it easier for customers to conduct transactions.

- A) liquidity
- B) conduction
- C) transcendental
- D) equitable

My answer: _____ Checked answer: _____

M8.2-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.2 | Q6 | Year not stated

How does a mutual fund lower transactions costs through economies of scale?

My answer: _____ Checked answer: _____

M8.3-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.3 | Q1 | Year not stated

A borrower who takes out a loan usually has better information about the potential returns and risk of the investment projects he plans to undertake than does the lender. This inequality of information is called

- A) moral hazard.
- B) asymmetric information.
- C) noncollateralized risk.
- D) adverse selection.

My answer: _____ Checked answer: _____

M8.3-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.3 | Q2 | Year not stated

The presence of _____ in financial markets leads to adverse selection and moral hazard problems that interfere with the efficient functioning of financial markets.

- A) noncollateralized risk
- B) free-riding
- C) asymmetric information
- D) costly state verification

My answer: _____ Checked answer: _____

M8.3-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.3 | Q4 | Year not stated

If bad credit risks are the ones who most actively seek loans then financial intermediaries face the problem of

- A) moral hazard.
- B) adverse selection.
- C) free-riding.
- D) costly state verification.

My answer: _____ Checked answer: _____

M8.3-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.3 | Q5 | Year not stated

An example of the _____ problem would be if Brian borrowed money from Sean in order to purchase a used car and instead took a trip to Atlantic City using those funds.

- A) moral hazard
- B) adverse selection
- C) costly state verification
- D) agency

My answer: _____ Checked answer: _____

M8.3-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.3 | Q6 | Year not stated

The analysis of how asymmetric information problems affect economic behavior is called _____ theory.

- A) uneven
- B) parallel
- C) principal
- D) agency

My answer: _____ Checked answer: _____

M8.4-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q1 | Year not stated

The "lemons problem" exists because of

- A) transactions costs.
- B) economies of scale.
- C) rational expectations.
- D) asymmetric information.

My answer: _____ Checked answer: _____

M8.4-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q2 | Year not stated

Because of the "lemons problem" the price a buyer of a used car pays is

- A) equal to the price of a lemon.
- B) less than the price of a lemon.
- C) equal to the price of a peach.
- D) between the price of a lemon and a peach.

My answer: _____ Checked answer: _____

M8.4-Q3 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q3 | Year not stated

Adverse selection is a problem associated with equity and debt contracts arising from

- A) the lender's relative lack of information about the borrower's potential returns and risks of his investment activities.
- B) the lender's inability to legally require sufficient collateral to cover a 100% loss if the borrower defaults.
- C) the borrower's lack of incentive to seek a loan for highly risky investments.
- D) the lender's inability to restrict the borrower from changing his behavior once given a loan.

My answer: _____ Checked answer: _____

M8.4-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q4 | Year not stated

The _____ problem helps to explain why the private production and sale of information cannot eliminate _____.

- A) free-rider; adverse selection
- B) free-rider; moral hazard
- C) principal-agent; adverse selection
- D) principal-agent; moral hazard

My answer: _____ Checked answer: _____

M8.4-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q5 | Year not stated

The free-rider problem occurs because

- A) people who pay for information use it freely.
- B) people who do not pay for information use it.
- C) information can never be sold at any price.
- D) it is never profitable to produce information.

My answer: _____ Checked answer: _____

M8.4-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q6 | Year not stated

In the United States, the government agency requiring that firms that sell securities in public markets adhere to standard accounting principles and disclose information about their sales, assets, and earnings is the

- A) Federal Communications Commission.
- B) Federal Trade Commission.
- C) Securities and Exchange Commission.
- D) Federal Reserve System.

My answer: _____ Checked answer: _____

M8.4-Q7 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q7 | Year not stated

Government regulations require publicly traded firms to provide information, reducing

- A) transactions costs.
- B) the need for diversification.
- C) the adverse selection problem.
- D) economies of scale.

My answer: _____ Checked answer: _____

M8.4-Q8 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q8 | Year not stated

A lesson of the Enron collapse is that government regulation

- A) always fails.
- B) can reduce but not eliminate asymmetric information.
- C) increases the problem of asymmetric information.
- D) should be reduced.

My answer: _____ Checked answer: _____

M8.4-Q9 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q9 | Year not stated

That most used cars are sold by intermediaries (i.e., used car dealers) provides evidence that these intermediaries

- A) have been afforded special government treatment, since used car dealers do not provide information that is valued by consumers of used cars.
- B) are able to prevent potential competitors from free-riding off the information that they provide.
- C) have failed to solve adverse selection problems in this market because "lemons" continue to be traded.
- D) have solved the moral hazard problem by providing valuable information to their customers.

My answer: _____ Checked answer: _____

M8.4-Q10 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q10 | Year not stated

Analysis of adverse selection indicates that financial intermediaries, especially banks,

- A) have advantages in overcoming the free-rider problem, helping to explain why indirect finance a more important source of business finance is than is direct finance.
- B) despite their success in overcoming free-rider problems, nevertheless play a minor role in moving funds to corporations.
- C) provide better-known and larger corporations a higher percentage of their external funds than they do to newer and smaller corporations which rely to a greater extent on the new issues market for funds.
- D) must buy securities from corporations to diversify the risk that results from holding non-tradable loans.

My answer: _____ Checked answer: _____

M8.4-Q11 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q11 | Year not stated

The concept of adverse selection helps to explain all of the following except

- A) why firms are more likely to obtain funds from banks and other financial intermediaries, rather than from the securities markets.
- B) why indirect finance is more important than direct finance as a source of business finance.
- C) why direct finance is more important than indirect finance as a source of business finance.
- D) why the financial system is so heavily regulated.

My answer: _____ Checked answer: _____

M8.4-Q12 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q12 | Year not stated

As information technology improves, the lending role of financial institutions such as banks should _____.

- A) increase somewhat
- B) decrease
- C) stay the same
- D) increase significantly

My answer: _____ Checked answer: _____

M8.4-Q13 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q13 | Year not stated

That only large, well-established corporations have access to securities markets

- A) explains why indirect finance is such an important source of external funds for businesses.
- B) can be explained by the problem of moral hazard.
- C) can be explained by government regulations that prohibit small firms from acquiring funds in securities markets.
- D) explains why newer and smaller corporations rely so heavily on the new issues market for funds.

My answer: _____ Checked answer: _____

M8.4-Q14 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q14 | Year not stated

Because of the adverse selection problem,

- A) good credit risks are more likely to seek loans causing lenders to make a disproportionate amount of loans to good credit risks.
- B) lenders may refuse loans to individuals with high net worth, because of their greater proclivity to "skip town."
- C) lenders are reluctant to make loans that are not secured by collateral.
- D) lenders will write debt contracts that restrict certain activities of borrowers.

My answer: _____ Checked answer: _____

M8.4-Q15 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q15 | Year not stated

Net worth can perform a similar role to _____.

- A) diversification
- B) collateral
- C) intermediation
- D) economies of scale

My answer: _____ Checked answer: _____

M8.4-Q16 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q16 | Year not stated

The problem of adverse selection helps to explain

- A) why firms are more likely to obtain funds from banks and other financial intermediaries, rather than from securities markets.
- B) why collateral is an important feature of consumer, but not business, debt contracts.
- C) why direct finance is more important than indirect finance as a source of business finance.
- D) why lenders refuse loans to individuals with high net worth.

My answer: _____ Checked answer: _____

M8.4-Q17 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q17 | Year not stated

The concept of adverse selection helps to explain

- A) why collateral is not a common feature of many debt contracts.
- B) why large, well-established corporations find it so difficult to borrow funds in securities markets.
- C) why financial markets are among the most heavily regulated sectors of the economy.
- D) why stocks are the most important source of external financing for businesses.

My answer: _____ Checked answer: _____

M8.4-Q18 | Test bank

Source: Mishkin_TB.docx | Section 8.4 | Q18 | Year not stated

How does collateral help to reduce the adverse selection problem in credit market?

My answer: _____ Checked answer: _____

M8.5-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q1 | Year not stated

Equity contracts

- A) are claims to a share in the profits and assets of a business.
- B) have the advantage over debt contracts of a lower costly state verification.
- C) are used much more frequently to raise capital than are debt contracts.
- D) are not subject to the moral hazard problem.

My answer: _____ Checked answer: _____**M8.5-Q2 | Test bank**

Source: Mishkin_TB.docx | Section 8.5 | Q2 | Year not stated

A problem for equity contracts is a particular type of _____ called the _____ problem.

- A) adverse selection; principal-agent
- B) moral hazard; principal-agent
- C) adverse selection; free-rider
- D) moral hazard; free-rider

My answer: _____ Checked answer: _____**M8.5-Q3 | Test bank**

Source: Mishkin_TB.docx | Section 8.5 | Q3 | Year not stated

Moral hazard in equity contracts is known as the _____ problem because the manager of the firm has fewer incentives to maximize profits than the stockholders might ideally prefer.

- A) principal-agent
- B) adverse selection
- C) free-rider
- D) debt deflation

My answer: _____ Checked answer: _____

M8.5-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q4 | Year not stated

Managers (_____) may act in their own interest rather than in the interest of the stockholder-owners (_____) because the managers have less incentive to maximize profits than the stockholder-owners do.

- A) principals; agents
- B) principals; principals
- C) agents; agents
- D) agents; principals

My answer: _____ Checked answer: _____

M8.5-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q5 | Year not stated

The principal-agent problem

- A) occurs when managers have more incentive to maximize profits than the stockholders-owners do.
- B) in financial markets helps to explain why equity is a relatively important source of finance for American business.
- C) would not arise if the owners of the firm had complete information about the activities of the managers.
- D) explains why direct finance is more important than indirect finance as a source of business finance.

My answer: _____ Checked answer: _____

M8.5-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q6 | Year not stated

The recent Enron and Tyco scandals are an example of

- A) the free-rider problem.
- B) the adverse selection problem.
- C) the principal-agent problem.
- D) the "lemons problem."

My answer: _____ Checked answer: _____

M8.5-Q7 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q7 | Year not stated

The name economists give the process by which stockholders gather information by frequent monitoring of the firm's activities is

- A) costly state verification.
- B) the free-rider problem.
- C) costly avoidance.
- D) debt intermediation.

My answer: _____ Checked answer: _____

M8.5-Q8 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q8 | Year not stated

Because information is scarce

- A) helps explain why equity contracts are used so much more frequently to raise capital than are debt contracts.
- B) monitoring managers gives rise to costly state verification.
- C) government regulations, such as standard accounting principles, have no impact on problems such as moral hazard.
- D) developing nations do not rely heavily on banks for business financing.

My answer: _____ Checked answer: _____

M8.5-Q9 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q9 | Year not stated

Government regulations designed to reduce the moral hazard problem include

- A) laws that force firms to adhere to standard accounting principles.
- B) light sentences for those who commit the fraud of hiding and stealing profits.
- C) state verification subsidies.
- D) state licensing restrictions.

My answer: _____ Checked answer: _____

M8.5-Q10 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q10 | Year not stated

One financial intermediary in our financial structure that helps to reduce the moral hazard from arising from the principal-agent problem is the

- A) venture capital firm.
- B) money market mutual fund.
- C) pawn broker.
- D) savings and loan association.

My answer: _____ Checked answer: _____

M8.5-Q11 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q11 | Year not stated

A venture capital firm protects its equity investment from moral hazard through which of the following means?

- A) It places people on the board of directors to better monitor the borrowing firm's activities.
- B) It writes contracts that prohibit the sale of an equity investment to the venture capital firm.
- C) It prohibits the borrowing firm from replacing its management.
- D) It requires a 50% stake in the company.

My answer: _____ Checked answer: _____

M8.5-Q12 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q12 | Year not stated

Equity contracts account for a small fraction of external funds raised by American businesses because

- A) costly state verification makes the equity contract less desirable than the debt contract.
- B) of the reduced scope for moral hazard problems under equity contracts, as compared to debt contracts.
- C) equity contracts do not permit borrowing firms to raise additional funds by issuing debt.
- D) there is no moral hazard problem when using a debt contract.

My answer: _____ Checked answer: _____

M8.5-Q13 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q13 | Year not stated

Debt contracts

- A) are agreements by the borrowers to pay the lenders fixed dollar amounts at periodic intervals.
- B) have a higher cost of state verification than equity contracts.
- C) are used less frequently to raise capital than are equity contracts.
- D) never result in a loss for the lender.

My answer: _____ Checked answer: _____

M8.5-Q14 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q14 | Year not stated

Since they require less monitoring of firms, _____ contracts are used more frequently than _____ contracts to raise capital.

- A) debt; equity
- B) equity; debt
- C) debt; loan
- D) equity; stock

My answer: _____ Checked answer: _____

M8.5-Q15 | Test bank

Source: Mishkin_TB.docx | Section 8.5 | Q15 | Year not stated

Explain the principal-agent problem as it pertains to equity contracts.

My answer: _____ Checked answer: _____

M8.6-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q1 | Year not stated

Although debt contracts require less monitoring than equity contracts, debt contracts are still subject to _____ since borrowers have an incentive to take on more risk than the lender would like.

- A) moral hazard
- B) agency theory
- C) diversification
- D) the "lemons" problem

My answer: _____ Checked answer: _____

M8.6-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q2 | Year not stated

A debt contract is incentive compatible

- A) if the borrower has the incentive to behave in the way that the lender expects and desires, since doing otherwise jeopardizes the borrower's net worth in the business.
- B) if the borrower's net worth is sufficiently low so that the lender's risk of moral hazard is significantly reduced.
- C) if the debt contract is treated like an equity.
- D) if the lender has the incentive to behave in the way that the borrower expects and desires.

My answer: _____ Checked answer: _____

M8.6-Q3 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q3 | Year not stated

High net worth helps to diminish the problem of moral hazard problem by

- A) requiring the state to verify the debt contract.
- B) collateralizing the debt contract.
- C) making the debt contract incentive compatible.
- D) giving the debt contract characteristics of equity contracts.

My answer: _____ Checked answer: _____

M8.6-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q4 | Year not stated

One way of describing the solution that high net worth provides to the moral hazard problem is to say that it

- A) collateralizes the debt contract.
- B) makes the debt contract incentive compatible.
- C) state verifies the debt contract.
- D) removes all of the risk in the debt contract.

My answer: _____ Checked answer: _____

M8.6-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q5 | Year not stated

A clause in a debt contract requiring that the borrower purchase insurance against loss of the asset financed with the loan is called a

- A) collateral-insurance clause.
- B) prescription covenant.
- C) restrictive covenant.
- D) proscription covenant.

My answer: _____ Checked answer: _____

M8.6-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q6 | Year not stated

Professional athletes often have contract clauses prohibiting risky activities such as skiing and motorcycle riding. These clauses are

- A) limited-liability clauses.
- B) risk insurance.
- C) restrictive covenants.
- D) illegal.

My answer: _____ Checked answer: _____

M8.6-Q7 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q7 | Year not stated

For restrictive covenants to help reduce the moral hazard problem they must be _____ by the lender.

- A) monitored and enforced
- B) written in all capitals
- C) easily changed
- D) impossible to remove

My answer: _____ Checked answer: _____

M8.6-Q8 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q8 | Year not stated

Although restrictive covenants can potentially reduce moral hazard, a problem with restrictive covenants is that

- A) borrowers may find loopholes that make the covenants ineffective.
- B) they are inexpensive to monitor and enforce.
- C) too many resources may be devoted to monitoring and enforcing them, as debtholders duplicate others' monitoring and enforcement efforts.
- D) they reduce the value of the debt contract.

My answer: _____ Checked answer: _____

M8.6-Q9 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q9 | Year not stated

Solutions to the moral hazard problem include

- A) low net worth.
- B) monitoring and enforcement of restrictive covenants.
- C) greater reliance on equity contracts and less on debt contracts.
- D) greater reliance on debt contracts than financial intermediaries.

My answer: _____ Checked answer: _____

M8.6-Q10 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q10 | Year not stated

A key finding of the economic analysis of financial structure is that

- A) the existence of the free-rider problem for traded securities helps to explain why banks play a predominant role in financing the activities of businesses.
- B) while free-rider problems limit the extent to which securities markets finance some business activities, nevertheless the majority of funds going to businesses are channeled through securities markets.
- C) given the great extent to which securities markets are regulated, free-rider problems are not of significant economic consequence in these markets.
- D) economists do not have a very good explanation for why securities markets are so heavily regulated.

My answer: _____ Checked answer: _____

M8.6-Q11 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q11 | Year not stated

One reason financial systems in developing and transition countries are underdeveloped is

- A) they have weak links to their governments.
- B) they make loans only to nonprofit entities.
- C) the legal system may be poor making it difficult to enforce restrictive covenants.
- D) the accounting standards are too stringent for the banks to meet.

My answer: _____ Checked answer: _____

M8.6-Q12 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q12 | Year not stated

One reason China has been able to grow so rapidly even though its financial development is still in its early stages is

- A) the high savings rate of around 40%.
- B) the shift of labor to the agricultural sector.
- C) the stringent enforcement of financial contracts.
- D) the ease of obtaining high-quality information about creditors.

My answer: _____ Checked answer: _____

M8.6-Q13 | Test bank

Source: Mishkin_TB.docx | Section 8.6 | Q13 | Year not stated

Why does the free-rider problem occur in the debt market?

My answer: _____ Checked answer: _____

M8.7-Q1 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q1 | Year not stated

The presence of economies of scope may benefit financial institutions but may create potential costs from _____.

- A) conflicts of interest
- B) multiple profitable enterprises
- C) economies of scale
- D) unsecured debt

My answer: _____ Checked answer: _____

M8.7-Q2 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q2 | Year not stated

Because conflicts of interest increase asymmetric information problems

- A) the economy will not operate as efficiently.
- B) loans will not be made.
- C) banks will not be able to make a profit.
- D) the financial markets will operate more smoothly.

My answer: _____ Checked answer: _____

M8.7-Q3 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q3 | Year not stated

Investment banks _____ companies issuing securities and _____ these securities by selling them to the public on behalf of the issuing companies.

- A) research; underwrite
- B) research; monitor
- C) monitor; underwrite
- D) monitor; manipulate

My answer: _____ Checked answer: _____

M8.7-Q4 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q4 | Year not stated

A conflict of interest arises in investment banking because the banks are attempting to simultaneously serve two client groups

- A) the security-issuing firms and the security-buying investors.
- B) the government and the stockholders.
- C) the government and the security-issuing firms.
- D) the security-issuing firms and the lawyers.

My answer: _____ Checked answer: _____

M8.7-Q5 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q5 | Year not stated

The practice of _____ is allocating initially underpriced initial public offerings to executives in companies the investment bank hopes to do underwriting business with in the future.

- A) discounting
- B) spinning
- C) peppering
- D) wiring

My answer: _____ Checked answer: _____

M8.7-Q6 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q6 | Year not stated

A conflict of interest can occur for accounting firms when the firms both

- A) provide auditing services and nonaudit consulting services.
- B) provide nonaudit services and tax advice.
- C) enter data and record data.
- D) monitor data and underwrite securities.

My answer: _____ Checked answer: _____

M8.7-Q7 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q7 | Year not stated

Credit-rating agencies may face a conflict of interest because they

- A) both advise clients on how to structure debt issues and determine the creditworthiness of the debt issues.
- B) underwrite securities and advise clients on how to structure debt issues.
- C) underwrite securities and determine the creditworthiness of the debt issues.
- D) both advise clients on how to structure debt issues and write restrictive covenants.

My answer: _____ Checked answer: _____

M8.7-Q8 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q8 | Year not stated

The fact that the credit-rating agencies both advised clients on how to structure the financial instruments that paid out cash flows from subprime mortgages and also rated these financial instruments contributed to the

- A) subprime financial crisis that began in 2007.
- B) Enron collapse.
- C) demise of Arthur Andersen.
- D) technology bust.

My answer: _____ Checked answer: _____

M8.7-Q9 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q9 | Year not stated

All of the following are credit-rating agency reforms proposed by the SEC in 2008 except

- A) prohibit credit-rating agencies from structuring the same products that they rate.
- B) disclose historical ratings performance.
- C) differentiate the ratings on structured products from those issued on bonds.
- D) sever links between research and securities underwriting.

My answer: _____ Checked answer: _____

M8.7-Q10 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q10 | Year not stated

The Sarbanes-Oxley Act of 2002 increased supervisory oversight by

- A) giving the FDIC the authority to review independent audits.
- B) increasing the SEC's budget to supervise securities markets.
- C) creating a new Department of Conflict Resolution.
- D) reducing the penalties for obstruction of an official investigation.

My answer: _____ Checked answer: _____

M8.7-Q11 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q11 | Year not stated

While Sarbanes-Oxley is designed to reduce the problems caused by conflicts of interest critics say that it might diminish economies of scope and

- A) reduce information in financial markets.
- B) encourage IPOs in the U.S.
- C) encourage smaller firms to list on the U.S. financial markets.
- D) increase U.S. capital markets relative to those abroad.

My answer: _____ Checked answer: _____

M8.7-Q12 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q12 | Year not stated

The Global Legal Settlement of 2002 required investment banks to separate _____ and _____.

- A) research; securities underwriting
- B) deposits; securities underwriting
- C) research; legal analysis
- D) deposits; legal analysis

My answer: _____ Checked answer: _____

M8.7-Q13 | Test bank

Source: Mishkin_TB.docx | Section 8.7 | Q13 | Year not stated

What three types of financial service activities have led to serious conflict of interest problems in financial markets in recent years?

My answer: _____ Checked answer: _____

K61-9 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q9 | p.1-3

Financial institutions, acting as financial intermediaries, perform all of the following except:

- A. provide ways to diversify risk.
- B. pooling resources of small savers.
- C. increase transaction costs.
- D. provide safekeeping and accounting services.
- E. None of the above

My answer: _____ Checked answer: _____

K61-10 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q10 | p.1-3

Sometimes we see companies offering money back guarantees to customers if they're not satisfied. These guarantees are a way to treat the problem of:

- A. buyers having more information about the product than the seller.
- B. the seller having more information about the product than the buyer.
- C. symmetric information.
- D. adverse selection.
- E. None of the above

My answer: _____ Checked answer: _____

K61-11 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q11 | p.1-3

Which of the following is a problem of adverse selection?

- A. The lender has a problem of distinguishing good risk from bad risk borrowers.
- B. The lender has a problem determining that the proceeds from a loan are being used as the borrower stated.
- C. A person takes up the hobby of bungee jumping after purchasing health insurance.
- D. Individuals use more medical services as a result of their purchase of a health insurance plan.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-12 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q12 | p.1-3

A lender who wants to avoid the problem of adverse selection could:

- A. charge a very high interest rate and assume all loan applicants are high risk.
- B. charge the same average interest rate to all borrowers.
- C. charge a low interest rate and make the applicant prove they warrant the low rate by providing information.
- D. only lend by issuing credit cards.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-13 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q13 | p.1-3

Which of the following statements is true?

- A. Unsecured loans generally involve very high interest rates as a result of the free-rider problem.
- B. Unsecured loans generally involve very high interest rates as a result of adverse selection.
- C. Unsecured loans are no longer made; all loans now must have some form of collateral.
- D. Unsecured loans are only made to individuals with very high net worth because it is the only way to limit the risk.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-14 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q14 | p.1-3

The principal-agent problem is quite common in large public corporations due to:

- A. the fact that large corporations generate large sales volumes.
- B. the fact that large companies employ many people.
- C. too little regulation by the government.
- D. the fact that the people making the operational decisions are usually not the owners.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-18 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q18 | p.1-3

Large companies seeking to raise funds often will use a well-known investment bank because:

- A. the investment bank's reputation identifies the company as being credit worthy
- B. they are required to by government regulation.
- C. the investment bank is paying the company for the publicity and goodwill it will generate.
- D. this minimizes moral hazard.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-19 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q19 | p.1-3

A financial instrument would include:

- A. only a written obligation and transfer of value.
- B. only a written obligation and specified date.
- C. a written obligation, transfer of value, future date and certain conditions.
- D. a written obligation, transfer of value, specific payment date and uncertain conditions.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-20 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q20 | p.1-3

The information concerning the issuer of a financial instrument:

- A. needs to be complete and closely monitored by buyers for change.
- B. is somewhat nonstandardized to minimize cost.
- C. is usually standardized to the essential information required by buyers.
- D. is closely monitored by buyers for change.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-29 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q29 | p.1-3

Which firms are most likely to use bank financing rather than to issue bonds or stocks to finance their activities? Why?

My answer: _____ Checked answer: _____

K58-2 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q2 | p.1-4

Which statement best describes financial markets?

- A. Markets lower the cost and increase the speed of buying and selling instruments.
- B. They increase speed but also increase cost because people earn fees.
- C. They are a good example of unregulated markets.
- D. They offer fewer instruments today than in the past.

My answer: _____ Checked answer: _____

K58-3 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q3 | p.1-4

A financial intermediary:

- A. is an agency that guarantees a loan.
- B. is a third party facilitating a transaction between a borrower and lender.
- C. would be used in direct finance.
- D. must be a depository institution.

My answer: _____ Checked answer: _____

K58-4 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q4 | p.1-4

Tom obtains a car loan from Old Town Bank.

- A. The loan is Tom's asset and the bank's liability.
- B. The loan is Tom's asset, but the liability belongs to bank depositors.
- C. The loan is Tom's liability and an asset for Old Town Bank.
- D. The loan is a liability of both until Tom repays it.

My answer: _____ Checked answer: _____

K58-5 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q5 | p.1-4

More detailed financial instruments tend to be:

- A. less costly because every contingency is covered.
- B. more costly because they cost more to create.
- C. more desirable regardless of price.
- D. less costly because they can be standardized more easily.

My answer: _____ Checked answer: _____

K58-7 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q7 | p.1-4

Commissions paid to a stockbroker are an example of:

- A. risk transfer.
- B. transaction costs.
- C. information asymmetry.
- D. liquidity.

My answer: _____ Checked answer: _____

K58-8 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q8 | p.1-4

Newly issued U.S. Treasury securities are sold in:

- A. the primary financial market.
- B. only to the Federal Reserve, which resells them.
- C. the secondary market because bonds cannot be sold in primary markets.
- D. secondary markets using registered dealers only.

My answer: _____ Checked answer: _____

K58-9 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q9 | p.1-4

Which is NOT a secondary-market transaction?

- A. Call a broker and buy 100 shares of McDonald's stock.
- B. Go to a bank and purchase a \$5,000 certificate of deposit.
- C. Call a broker and purchase a U.S. Treasury bond.
- D. Call a broker and purchase a General Motors bond.

My answer: _____ Checked answer: _____

K58-10 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q10 | p.1-4

Financial institutions:

- A. raise transaction costs of borrowing/lending.
- B. can lower information asymmetry involved in borrowing/lending.
- C. decrease liquidity to savers.
- D. are required for every financial transaction.

My answer: _____ Checked answer: _____

K58-23 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q23 | p.1-4

A bank hires a lawyer to write one contract for many customers. This illustrates:

- A. economies of scale.
- B. diminishing marginal returns.
- C. increasing opportunity cost.
- D. the law of demand.

My answer: _____ Checked answer: _____

K58-24 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q24 | p.1-4

When a bank takes savings from many small savers and lends to many borrowers, it:

- A. decreases risk to savers through diversification.
- B. increases risk to borrowers through high transaction costs.
- C. decreases risk through economies of scale.
- D. decreases saver return and increases borrower cost.

My answer: _____ Checked answer: _____

K58-25 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q25 | p.1-4

Asymmetric information creates two obstacles to the flow of funds:

- A. adverse selection before and moral hazard after the transaction.
- B. moral hazard before and adverse selection after.
- C. both after.
- D. both before.

My answer: _____ Checked answer: _____

K58-26 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q26 | p.1-4

Which is NOT true of adverse selection?

- A. It exists because information is perfect.
- B. Lenders cannot identify good and bad loan applicants.
- C. Borrowers have more information about their creditworthiness.
- D. It can arise when lenders charge an average price to all applicants.

My answer: _____ Checked answer: _____

K58-27 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q27 | p.1-4

Akerlof's "Market for Lemons" concludes:

- A. High quality drives out low quality.
- B. Without distinguishing quality, average quality always survives.
- C. Without distinguishing high and low quality, low quality may drive high quality out.
- D. High quality is always demanded over low quality.

My answer: _____ Checked answer: _____

K59-1 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q1 | p.1-7

If intermediaries could not pool small savers' resources:

- A. lending risk decreases.
- B. large borrowers find funds more costly.
- C. the economy grows faster.
- D. people save more.

My answer: _____ Checked answer: _____

K59-2 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q2 | p.1-7

Which statements about a sole proprietorship are correct? Select all.

- A. Profits are taxed twice.
- B. It is the most common form of business ownership.
- C. The owner may be forced to sell personal assets to pay business debts.
- D. Firm life is limited to the life of the owner.

My answer: _____ Checked answer: _____

K59-6 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q6 | p.1-7

The mixture of debt and equity financing is called:

- A. capital budgeting.
- B. cost analysis.
- C. capital structure.
- D. working capital management.

My answer: _____ Checked answer: _____

K59-10 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q10 | p.1-7

Which statements about corporate organizational structure are correct? Select all.

- A. The controller and treasurer report to the CEO.
- B. The CEO reports to the board.
- C. Operating managers provide cost-benefit analysis when considering production lines or methods.
- D. The treasurer oversees accounting.

My answer: _____ Checked answer: _____

K59-13 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q13 | p.1-7

Corporate governance refers to:

- A. laws, policies and incentives that monitor managers and align incentives with shareholder goals.
- B. activities only to ensure legal compliance.
- C. owners supporting management activities.
- D. procedures and ethical controls for conducting business.

My answer: _____ Checked answer: _____

K59-17 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q17 | p.1-7

Agency costs refer to:

- A. fees paid to an agent for a service not rendered.
- B. costs of default and bankruptcy.
- C. costs of conflicts of interest between shareholders and management.
- D. total lifetime interest paid to creditors.

My answer: _____ Checked answer: _____

K59-18 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q18 | p.1-7

A stock option awarded to a manager is: Select all applicable.

- A. the right to buy company stock at a preset price in the future.
- B. paid from firm equity.
- C. the right to sell stock at a preset price.
- D. an incentive-alignment contract.

My answer: _____ Checked answer: _____

K59-19 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q19 | p.1-7

Debt is a contractual obligation that:

- A. requires residual payouts.
- B. requires repayment of stated principal and interest.
- C. allows bondholders to sue on default.
- D. both statements 2 and 3.

My answer: _____ Checked answer: _____

K59-20 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q20 | p.1-7

Securities are ___ for purchasers, but ___ for issuers.

- A. revenue; expenses
- B. negotiable; nonnegotiable
- C. liabilities; assets
- D. assets; liabilities

My answer: _____ Checked answer: _____

K59-24 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q24 | p.1-7

Managers are encouraged to act in shareholders' interests by:

- A. shareholders electing a board that selects management.
- B. compensation tied to corporate success.
- C. the threat of takeover.
- D. all answers.

My answer: _____ Checked answer: _____

TAN-8 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q8 | p.2-6

A newly issued two-year security sold by its issuer trades in:

- A. primary and money markets
- B. primary and capital markets
- C. secondary and money markets
- D. secondary and capital markets

My answer: _____ Checked answer: _____

TAN-12 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q12 | p.2-6

True/False: Preferred shareholders vote to elect the board.

My answer: _____ Checked answer: _____

TAN-14 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q14 | p.2-6

True/False: Accounts receivable and inventory are trustworthy collateral.

My answer: _____ Checked answer: _____

TAN-15 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q15 | p.2-6

True/False: Financial markets exist to facilitate savers depositing money with intermediaries.

My answer: _____ Checked answer: _____

TAN-18 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q18 | p.2-6

True/False: Greater managerial ownership makes shareholder-wealth maximizing behavior more likely.

My answer: _____ Checked answer: _____

TAN-23 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q23 | p.2-6

Fill blank 23: Financial managers use ___ and [24] to guide decisions. They measure condition, forecast, budget, raise funds and set owners' financial goals.

My answer: _____ Checked answer: _____

TAN-24 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q24 | p.2-6

Fill blank 24 in the financial-manager passage (see TAN-23).

My answer: _____ Checked answer: _____

TAN-25 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q25 | p.2-6

Fill blank 25: ___ help the public trade securities with each other; [26] buy and sell on their own account.

My answer: _____ Checked answer: _____

TAN-26 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q26 | p.2-6

Fill blank 26 in the broker/dealer passage (see TAN-25).

My answer: _____ Checked answer: _____

TAN-27 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q27 | p.2-6

Fill blank 27: A stockholder group with over 50% of voting shares has a ____ interest.

My answer: _____ Checked answer: _____

TAN-31 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q31 | p.2-6

Explain the difference between a general partner and a limited partner.

My answer: _____ Checked answer: _____

M16-Essay-a | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEssay-a | p.2 Source note: Incomplete original prompt; preserved rather than invented.

Why do property and casualty insurers have large holdings of ____ but life insurers do not? The asset name is missing in the supplied source.

My answer: _____ Checked answer: _____

M16-Essay-b | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEssay-b | p.2

Why can large corporations raise funds in securities markets more easily while small businesses rely mostly on banks?

My answer: _____ Checked answer: _____

M16-Essay-c | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEssay-c | p.2

“For any rating agency there’s a moral hazard,” says Daniel Curry of DBRS. Explain and suggest one solution.

My answer: _____ Checked answer: _____

FIVE-F2-1 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q1 | p.2-5

A loan between a lender and a borrower...

A. is a liability for the borrower and an asset for the borrower from the moment the borrower receives the loan.

B. is an asset for the lender and a liability for the borrower as soon as the money is transferred to the borrower.

C. is a liability for both the borrower and the lender.

D. is an asset for both the borrower and the lender.

E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-6 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q6 | p.2-5

Which of the following instruments is a long-term financial instrument?:

A. a 12-month term loan

B. a new preferred stock with a 6-month transfer term

C. a 3-month term bank certificate of deposit

D. an 18-month term corporate bond

E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-7 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q7 | p.2-5

Which of the following financial instruments is not sold on the money market?

- A. Eurodollars.
- B. US Government bonds
- C. Banker's acceptances
- D. Municipal bonds
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-9 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q9 | p.2-5

The listed stock price ...

- A. is determined by the enterprise issuing the stock
- B. is determined by the State Securities Commission.
- C. is determined by buy-sell transactions on the market
- D. is unrelated to the value of the issuing enterprise, because the enterprise has already received money from the primary market.
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-20 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q20 | p.2-5

The higher the security price on the secondary market:

- A. The more capital the enterprise can raise on the secondary market
- B. The more capital the enterprise can raise on the primary market
- C. The less capital the enterprise can raise on the secondary market
- D. The less capital the enterprise can raise on the primary market
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-25 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q25 | p.2-5

State the role of the secondary market.

My answer: _____ Checked answer: _____

FIVE-F2-26 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q26 | p.2-5; Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F5, Q28 | p.11 | Same collateral mechanism, paraphrased wording

Using collateral in loan agreements is a common solution to the problem of asymmetric information. However, in some cases, the collateral for a loan becomes risky and is no longer the best solution for the asymmetric information problem. Do you agree with this statement and can you give an illustrative example?

My answer: _____ Checked answer: _____

FIVE-F3-1 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q1 | p.6-9

Commercial banks in Vietnam nowadays often _____.

- A. raise short-term funds and lend for the long term.
- B. perform all banking services, including investment banking services.
- C. are licensed to operate by the State Bank of Vietnam.
- D. earn most of their revenue from securities investment and real estate business.

My answer: _____ Checked answer: _____

FIVE-F3-4 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q4 | p.6-9

Which of the following statements is correct? (i) Moral hazard is lower for debt instruments than for equity instruments. (ii) "Collateral and equity capital," "Monitoring" are two solutions designed to reduce the problem of adverse selection. (iii) The existence of financial intermediaries can help reduce both adverse selection and moral hazard problems.

- A. (i), (ii), and (iii) are correct
- B. (i), (ii), and (iii) are correct
- C. (i) is correct; (ii) and (iii) are incorrect
- D. (i) and (ii) are incorrect; (iii) is correct

My answer: _____ Checked answer: _____

FIVE-F3-6 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q6 | p.6-9

Which of the following statements is NOT correct:

- A. The dividends received by common shareholders depend on the company's business performance.
- B. Preferred shareholders usually receive a fixed dividend.
- C. Shareholders directly benefit from any increase in the company's profit or asset value.
- D. Preferred shareholders are entitled to liquidation proceeds before common shareholders in case the company goes bankrupt.

My answer: _____ Checked answer: _____

FIVE-F3-7 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q7 | p.6-9

The higher the price of securities in the secondary market, the more it means that:

- A. The company's equity capital increases proportionally.
- B. In the future, the company will be able to raise capital with higher-priced shares.
- C. Shares have lower liquidity than those in the primary market.
- D. The stock price in the primary market is higher than in the secondary market.

My answer: _____ Checked answer: _____

FIVE-F3-9 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q9 | p.6-9

When a company wants to raise more capital without giving up control or management rights, it will usually issue:

- A. Preferred stock
- B. Common stock
- C. Bond
- D. Both a and c are correct

My answer: _____ Checked answer: _____

FIVE-F3-10 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q10 | p.6-9

Which of the following statements is correct?

- A. Adverse selection can be understood as a situation where lenders tend to select businesses with highly profitable projects to lend money to.
- B. Moral hazard and adverse selection result in very few bonds being able to be sold on the market.
- C. Moral hazard leads to the appearance of the free-rider problem.
- D. Adverse selection is an asymmetric information problem that occurs after the transaction has taken place — those most likely to borrow are the ones most eager to do so.

My answer: _____ Checked answer: _____

FIVE-F3-11 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q11 | p.6-9

Your company is about to issue a bond with annual coupon payments, a coupon rate of 6.5% and the face value of \$1,000. The yield to maturity for this bond is 6.9%. What is the bond price if it matures in ten years?

My answer: _____ Checked answer: _____

FIVE-F3-12 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q12 | p.6-9

The interest rate applied to credit cards

- A. Is high due to the problem of adverse selection.
- B. Is high because organizations such as Visa and MasterCard are monopolies in this industry.
- C. Is high due to management costs, transaction processing fees, and the risk of cardholder default.
- D. Is low because of competition among card-issuing banks and promotional programs.

My answer: _____ Checked answer: _____

FIVE-F3-13 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q13 | p.6-9

FPT Corporation issues a new batch of shares to raise more operating capital. This belongs to:

- A. Primary market, money market
- B. Secondary market, capital market
- C. Primary market, capital market
- D. None of the above

My answer: _____ Checked answer: _____

FIVE-F3-14 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q14 | p.6-9

A trading channel of the secondary market is:

- A. Over-the-counter market (OTC)
- B. The market for long-term debt instruments and equity capital
- C. Money market
- D. None of the above

My answer: _____ Checked answer: _____

MID16-1 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q1; Exercises/Mock exam 2020.docx | A Q1

Markets in which funds are transferred from those who have excess funds available to those who have a shortage of available funds are called

- A. commodity markets.
- B. fund-available markets.
- C. derivative exchange markets.
- D. financial markets.

My answer: _____ Checked answer: _____

MID16-2 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q2; Exercises/Mock exam 2020.docx | A Q2

A problem for equity contracts is a particular example of _____ called the ____ problem.

- A. adverse selection; principal-agent
- B. moral hazard; free-rider
- C. adverse selection; free-rider
- D. moral hazard; costly state verification
- E. moral hazard; principal-agent

My answer: _____ Checked answer: _____

MID16-3 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q3; Exercises/Mock exam 2020.docx | A Q3

Investors buy and sell bonds in Markets.

- A. Equity
- B. Debt
- C. Derivatives
- D. Foreign exchange

My answer: _____ Checked answer: _____

MID16-4 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q4; Exercises/Mock exam 2020.docx | A Q4

Solutions to the moral hazard problem include

- A. high net worth.
- B. monitoring and enforcement of restrictive covenants.
- C. greater reliance on debt contracts and less on equity contracts.
- D. all of the above.
- E. only (A) and (B) of the above.

My answer: _____ Checked answer: _____

MID16-5 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q5

The market in which the initial buyer of a stock or bond may choose to resell the asset to another party is known as the market.

- A. Primary
- B. Money
- C. Secondary
- D. Dealer

My answer: _____ Checked answer: _____

MID16-9 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q9;
Exercises/Mock exam 2020.docx | A Q9

The owners' wealth in a company is represented by.....

- A. The equity value of the company
- B. The value of assets of the company
- C. The numbers of owners of the company
- D. The bond value

My answer: _____ Checked answer: _____

MID16-11 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q11;
Exercises/Mock exam 2020.docx | A Q11

In agency theory, the owners of the business are..... And the managers are.....

- A. Bondholders, principals
- B. Stockholders, bondholders
- C. Agents, principals
- D. Principals, agents

My answer: _____ Checked answer: _____

MID16-13 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q13;
Exercises/Mock exam 2020.docx | A Q13

A company selling a bond is.....money

- A. Borrowing
- B. Lending
- C. spending
- D. Reinvesting

My answer: _____ Checked answer: _____

MID16-14 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q14;
Exercises/Mock exam 2020.docx | A Q14

With ____ finance, borrowers obtain funds from lenders by selling them securities in the financial markets.

- A. active
- B. determined
- C. indirect
- D. direct

My answer: _____ Checked answer: _____

MID16-15 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q15;
Exercises/Mock exam 2020.docx | A Q15

Financial institutions that accept deposits and make business loans are called .

- A. insurance companies
- B. commercial banks
- C. investment banks
- D. mutual funds

My answer: _____ Checked answer: _____

MID16-17 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q17; Exercises/Mock exam 2020.docx | A Q17

A share of common stock is a claim on a corporation's

- A. debt.
- B. liabilities.
- C. expenses.
- D. earnings and assets

My answer: _____ Checked answer: _____

MID16-18 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q18; Exercises/Mock exam 2020.docx | A Q18

An insurance company is an example of a financial institution that:

- D. sells derivative securities.

[Source limitation: only option D is visible; the other choices are absent.]

My answer: _____ Checked answer: _____

MID16-19 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q19; Exercises/Mock exam 2020.docx | A Q19

Financial intermediaries

- A. provide a channel for linking those who want to save with those who want to invest.
- B. produce nothing of value and are therefore a drain on society's resources.
- C. can hurt the performance of the economy.
- D. hold very little of the average American's wealth.

My answer: _____ Checked answer: _____

MID16-20 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q20; Exercises/Mock exam 2020.docx | A Q20

The problem created by asymmetric information before the transaction occurs is called , while the problem created after the transaction occurs is called

- A. adverse selection; moral hazard
- B. moral hazard; adverse selection
- C. costly state verification; free-riding
- D. free-riding; costly state verification

My answer: _____ Checked answer: _____

MID16-21 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q21

The primary assets of a finance company are

- A. municipal bonds
- B. corporate stocks and bonds
- C. consumer and business loans
- D. Mortgages

My answer: _____ Checked answer: _____

MID16-22 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q22

Economies of scale enable financial institutions to.....

- A. reduce transaction costs.
- B. avoid the asymmetric information problem.
- C. avoid adverse selection problems.
- D. reduce moral hazard.

My answer: _____ Checked answer: _____

MID16-23 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q23

A financial market in which only short-term debt instruments are traded is called the market.

- A. bond
- B. money
- C. capital
- D. stock

My answer: _____ Checked answer: _____

MID16-29 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q29

Collateral isthe lender receives if the borrower does not pay back the loan.

- A. a liability
- B. an asset
- C. a present
- D. an offering

My answer: _____ Checked answer: _____

MID16-B1 | Past paper

Source: 2016 (filename) | embedded ZIP | Midterm Exam - sep2016.docx and Copy | B Q1

Briefly explain one function of financial instruments that can make them very different from money.

My answer: _____ Checked answer: _____

MID16-B2 | Past paper

Source: 2016 (filename) | embedded ZIP | Midterm Exam - sep2016.docx and Copy | B Q2

Why might a life insurer insist on a physical examination before issuing insurance?

My answer: _____ Checked answer: _____

MOCK20-B1 | Past paper

Source: 2020 (filename) | embedded ZIP | Exercises/Mock exam 2020.docx | B Q1

What kinds of moral hazard problems do banks worry about?

My answer: _____ Checked answer: _____

MOCK18-1 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 1

Every financial market has the following characteristics:

- A) It allows loans to be made.
- B) It channels funds from lenders-savers to borrowers-spenders.
- C) It allows common stock to be traded.
- D) It determines the level of interest rates.

My answer: _____ Checked answer: _____

MOCK18-2 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 2

Which of the following can be described as involving direct finance?

- A) A corporation buys commercial paper issued by another corporation.
- B) People buy shares in a mutual fund.
- C) An insurance company buys shares of common stock in the over-the-counter markets.
- D) A corporation takes out a loan from a bank.
- E) None of the above.

My answer: _____ Checked answer: _____

MOCK18-3 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 3

Which of the following are securities?

- A) A share of Texaco common stock
- B) A Treasury bill
- C) A certificate of deposit
- D) Each of the above
- E) Only (a) and (b) of the above

My answer: _____ Checked answer: _____

MOCK18-4 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 4

Financial markets improve economic welfare because

- A) they allow funds to move from those without productive investment opportunities to those who have such opportunities.
- B) they allow consumers to time their purchase better.
- C) they weed out inefficient firms.
- D) they do each of the above.
- E) they do (a) and (b) of the above.

My answer: _____ Checked answer: _____

MOCK18-5 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 5

Which of the following are long-term financial instruments?

- A) A six-month loan
- B) A negotiable certificate of deposit
- C) A bankers acceptance
- D) A U.S. Treasury bill
- E) None of the above

My answer: _____ Checked answer: _____

MOCK18-6 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 6

Which of the following are short-term financial instruments?

- A) A bankers acceptance
- B) A U.S. Treasury bill
- C) A negotiable certificate of deposit
- D) A six-month loan
- E) All of the above

My answer: _____ Checked answer: _____

MOCK18-7 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 7

Which of the following are primary markets?

- A) The options markets
- B) The U.S. government bond market
- C) The over-the-counter stock market
- D) The New York Stock Exchange
- E) None of the above

My answer: _____ Checked answer: _____

MOCK18-8 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 8

Which of the following are secondary markets?

- A) The over-the-counter stock market
- B) The options markets
- C) The U.S. government bond market
- D) The New York Stock Exchange
- E) All of the above

My answer: _____ Checked answer: _____

FIVE-F5-28 | Past paper

Source: 5 bộ đề năm trước LTTC.pdf | Mock Test 5 | Q28 | p.11 | Year not stated

The use of collateral in loan agreements is considered a common solution to the problem of asymmetric information. However, in some cases, the collateral for a loan becomes riskier and is no longer a good solution for the asymmetric information problem. Do you agree with this statement? Provide an example to illustrate your answer (0.5 points).

My answer: _____ Checked answer: _____

MOCK20-5 | Past paper

Source: Mock exam 2020.docx | Section A Q5 | 2020 (filename)

The market in which the initial buyer of a stock or bond may choose to resell the asset to another party is known as the market.

- A. Primary
- B. Money
- C. S
- D. Dealer

My answer: _____ Checked answer: _____

2. Time value of money and real interest rates

60 questions | Answers use the same IDs.

M4.1-Q1 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q1 | Year not stated

The concept of _____ is based on the common-sense notion that a dollar paid to you in the future is less valuable to you than a dollar today.

- A) present value
- B) future value
- C) interest
- D) deflation

My answer: _____ Checked answer: _____

M4.1-Q2 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q2 | Year not stated

The present value of an expected future payment _____ as the interest rate increases.

- A) falls
- B) rises
- C) is constant
- D) is unaffected

My answer: _____ Checked answer: _____

M4.1-Q3 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q3 | Year not stated

An increase in the time to the promised future payment _____ the present value of the payment.

- A) decreases
- B) increases
- C) has no effect on
- D) is irrelevant to

My answer: _____ Checked answer: _____

M4.1-Q4 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q4 | Year not stated

With an interest rate of 6 percent, the present value of \$100 next year is approximately

- A) \$106.
- B) \$100.
- C) \$94.
- D) \$92.

My answer: _____ Checked answer: _____

M4.1-Q5 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q5 | Year not stated

If a security pays \$55 in one year and \$133 in three years, its present value is \$150 if the interest rate is

- A) 5 percent.
- B) 10 percent.
- C) 12.5 percent.
- D) 15 percent.

My answer: _____ Checked answer: _____

M4.1-Q6 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q6 | Year not stated

To claim that a lottery winner who is to receive \$1 million per year for twenty years has won \$20 million ignores the process of

- A) face value.
- B) par value.
- C) deflation.
- D) discounting the future.

My answer: _____ Checked answer: _____

M4.1-Q24 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q24 | Year not stated

The interest rate that equates the present value of payments received from a debt instrument with its value today is the

- A) simple interest rate.
- B) current yield.
- C) yield to maturity.
- D) real interest rate.

My answer: _____ Checked answer: _____

M4.1-Q25 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q25 | Year not stated

Economists consider the _____ to be the most accurate measure of interest rates.

- A) simple interest rate.
- B) current yield.
- C) yield to maturity.
- D) real interest rate.

My answer: _____ Checked answer: _____

M4.1-Q26 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q26 | Year not stated

For simple loans, the simple interest rate is _____ the yield to maturity.

- A) greater than
- B) less than
- C) equal to
- D) not comparable to

My answer: _____ Checked answer: _____

M4.1-Q27 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q27 | Year not stated

If the amount payable in two years is \$2420 for a simple loan at 10 percent interest, the loan amount is

- A) \$1000.
- B) \$1210.
- C) \$2000.
- D) \$2200.

My answer: _____ Checked answer: _____

M4.1-Q28 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q28 | Year not stated

For a 3-year simple loan of \$10,000 at 10 percent, the amount to be repaid is

- A) \$10,030.
- B) \$10,300.
- C) \$13,000.
- D) \$13,310.

My answer: _____ Checked answer: _____

M4.1-Q29 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q29 | Year not stated

If \$22,050 is the amount payable in two years for a \$20,000 simple loan made today, the interest rate is

- A) 5 percent.
- B) 10 percent.
- C) 22 percent.
- D) 25 percent.

My answer: _____ Checked answer: _____

M4.1-Q30 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q30 | Year not stated

If a security pays \$110 next year and \$121 the year after that, what is its yield to maturity if it sells for \$200?

- A) 9 percent
- B) 10 percent
- C) 11 percent
- D) 12 percent

My answer: _____ Checked answer: _____

M4.1-Q53 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q53 | Year not stated

If the interest rate is 5%, what is the present value of a security that pays you \$1,050 next year and \$1,102.50 two years from now? If this security sold for \$2200, is the yield to maturity greater or less than 5%? Why?

My answer: _____ Checked answer: _____

M4.3-Q1 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q1 | Year not stated

The _____ interest rate is adjusted for expected changes in the price level.

- A) ex ante real
- B) ex post real
- C) ex post nominal
- D) ex ante nominal

My answer: _____ Checked answer: _____**M4.3-Q2 | Test bank**

Source: Mishkin_TB.docx | Section 4.3 | Q2 | Year not stated

The _____ interest rate more accurately reflects the true cost of borrowing.

- A) nominal
- B) real
- C) discount
- D) market

My answer: _____ Checked answer: _____

M4.3-Q3 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q3 | Year not stated

The nominal interest rate minus the expected rate of inflation

- A) defines the real interest rate.
- B) is a less accurate measure of the incentives to borrow and lend than is the nominal interest rate.
- C) is a less accurate indicator of the tightness of credit market conditions than is the nominal interest rate.
- D) defines the discount rate.

My answer: _____ Checked answer: _____

M4.3-Q4 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q4 | Year not stated

When the _____ interest rate is low, there are greater incentives to _____ and fewer incentives to _____.

- A) nominal; lend; borrow
- B) real; lend; borrow
- C) real; borrow; lend
- D) market; lend; borrow

My answer: _____ Checked answer: _____

M4.3-Q5 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q5 | Year not stated

The interest rate that describes how well a lender has done in real terms after the fact is called the

- A) ex post real interest rate.
- B) ex ante real interest rate.
- C) ex post nominal interest rate.
- D) ex ante nominal interest rate.

My answer: _____ Checked answer: _____

M4.3-Q6 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q6 | Year not stated

The _____ states that the nominal interest rate equals the real interest rate plus the expected rate of inflation.

- A) Fisher equation
- B) Keynesian equation
- C) Monetarist equation
- D) Marshall equation

My answer: _____ Checked answer: _____

M4.3-Q7 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q7 | Year not stated

If the nominal rate of interest is 2 percent, and the expected inflation rate is -10 percent, the real rate of interest is

- A) 2 percent.
- B) 8 percent.
- C) 10 percent.
- D) 12 percent.

My answer: _____ Checked answer: _____

M4.3-Q8 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q8 | Year not stated

In which of the following situations would you prefer to be the lender?

- A) The interest rate is 9 percent and the expected inflation rate is 7 percent.
- B) The interest rate is 4 percent and the expected inflation rate is 1 percent.
- C) The interest rate is 13 percent and the expected inflation rate is 15 percent.
- D) The interest rate is 25 percent and the expected inflation rate is 50 percent.

My answer: _____ Checked answer: _____

M4.3-Q9 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q9 | Year not stated

In which of the following situations would you prefer to be the borrower?

- A) The interest rate is 9 percent and the expected inflation rate is 7 percent.
- B) The interest rate is 4 percent and the expected inflation rate is 1 percent.
- C) The interest rate is 13 percent and the expected inflation rate is 15 percent.
- D) The interest rate is 25 percent and the expected inflation rate is 50 percent.

My answer: _____ Checked answer: _____

M4.3-Q10 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q10 | Year not stated

If you expect the inflation rate to be 15 percent next year and a one -year bond has a yield to maturity of 7 percent, then the real interest rate on this bond is

- A) 7 percent.
- B) 22 percent.
- C) -15 percent.
- D) -8 percent.

My answer: _____ Checked answer: _____

M4.3-Q11 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q11 | Year not stated

If you expect the inflation rate to be 12 percent next year and a one -year bond has a yield to maturity of 7 percent, then the real interest rate on this bond is

- A) -5 percent.
- B) -2 percent.
- C) 2 percent.
- D) 12 percent.

My answer: _____ Checked answer: _____

M4.3-Q12 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q12 | Year not stated

If you expect the inflation rate to be 4 percent next year and a one-year bond has a yield to maturity of 7 percent, then the real interest rate on this bond is

- A) -3 percent.
- B) -2 percent.
- C) 3 percent.
- D) 7 percent.

My answer: _____ Checked answer: _____

M4.3-Q13 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q13 | Year not stated

The interest rate on Treasury Inflation Protected Securities is a direct measure of

- A) the real interest rate.
- B) the nominal interest rate.
- C) the rate of inflation.
- D) the rate of deflation.

My answer: _____ Checked answer: _____

M4.3-Q14 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q14 | Year not stated

Assuming the same coupon rate and maturity length, the difference between the yield on a Treasury Inflation Protected Security and the yield on a nonindexed Treasury security provides insight into

- A) the nominal interest rate.
- B) the real interest rate.
- C) the nominal exchange rate.
- D) the expected inflation rate.

My answer: _____ Checked answer: _____

M4.3-Q15 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q15 | Year not stated

Assuming the same coupon rate and maturity length, when the interest rate on a Treasury Inflation Protected Security is 3 percent, and the yield on a nonindexed Treasury bond is 8 percent, the expected rate of inflation is

- A) 3 percent.
- B) 5 percent.
- C) 8 percent.
- D) 11 percent.

My answer: _____ Checked answer: _____

M4.3-Q16 | Test bank

Source: Mishkin_TB.docx | Section 4.3 | Q16 | Year not stated

Would it make sense to buy a house when mortgage rates are 14% and expected inflation is 15%? Explain your answer.

My answer: _____ Checked answer: _____

K61-3 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-ltcc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q3 | p.1-3

An investment pays \$400 in a year, X amount of dollars in two years, and \$500 in three years. The total present value of all the cash flows (including X) is equal to \$1500. If the APR is 6 percent, what is X approximately?

- A. \$702.83
- B. \$822.41
- C. \$789.70
- D. \$749.67
- E. \$600.00

My answer: _____ Checked answer: _____

K61-4 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-ltcc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q4 | p.1-3

Upon graduating from college this year, you expect to earn \$25,000 per year. If you get your MBA, in one year you can expect to start at \$35,000 per year. Over the year, inflation is expected to be 5 percent. In today's dollars, how much additional (less) money will you make from getting your MBA (to the nearest dollar) in your first year?

- A. -\$2,462
- B. \$8,333
- C. \$8,750
- D. \$9,524
- E. \$10,000

My answer: _____ Checked answer: _____

K61-16 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q16 | p.1-3

An investment grows from \$100.00 to \$150.00 or 50% over five years. What annual increase gives a 50% increase over five years.

- A. 12.00%
- B. 10.00%
- C. 9.25%
- D. 8.45%
- E. None of the above

My answer: _____ Checked answer: _____

K61-21 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q21 | p.1-3

An investor deposits \$400 into a bank account that earns an annual interest rate of 8%. Based on this information, how much interest will be approximately earn during the second year alone?

- A. \$25.60
- B. \$32
- C. \$34.56
- D. \$64
- E. None of the above.

My answer: _____ Checked answer: _____

K58-11-12 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q11-12 | p.1-4

A family wants \$60,000 for a child's tuition in 18 years. Assuming a one-time college tuition payment and interest of 6%, how much should it deposit today?

- A. \$10,000
- B. \$21,000
- C. \$42,000
- D. \$57,000

My answer: _____ Checked answer: _____

K58-13 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q13 | p.1-4

Farou invests \$2,000 at 8%. Approximately how long until the investment doubles?

- A. 4 years
- B. 5 years
- C. 8 years
- D. 9 years

My answer: _____ Checked answer: _____

K58-14 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q14 | p.1-4

A lender is promised \$100 one year from today. With a 6% opportunity cost, which amount today is acceptable?

- A. \$100.00
- B. \$106.20
- C. \$96.40
- D. \$94.34

My answer: _____ Checked answer: _____

K58-15 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q15 | p.1-4

If 10% is the annual rate, considering monthly compounding the monthly rate is:

- A. 0.0833%
- B. 0.833%
- C. 0.0097%
- D. 1.0833%

My answer: _____ Checked answer: _____

K58-16 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q16 | p.1-4

A monthly growth rate of 0.6% is an annual growth rate of:

- A. 7.20%
- B. 6.00%
- C. 7.60%
- D. 7.44%

My answer: _____ Checked answer: _____

K58-29b | Past paper

Source: K58 / exam year not printed | K58.pdf | Q29b | p.1-4

A rate is quoted as 10% per annum with semiannual compounding. Equivalent continuous rate?

- A. 8.33%
- B. 9.758%
- C. 10.47%
- D. 10.25%

My answer: _____ Checked answer: _____

TAN-20 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q20 | p.2-6

True/False: The PV interest rate is the compound rate and the FV rate is the discount rate.

My answer: _____ Checked answer: _____

TAN-34 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q34 | p.2-6

Deposit \$6,000 at APR 8%, compounded monthly. Years needed to triple?

My answer: _____ Checked answer: _____

M16-Ex1 | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEx1 | p.1

Restructure \$8,000 due in year 1, \$5,000 in year 2, \$4,000 in year 3 and \$2,000 in year 4 into four equal year-end payments at 12%. Find each payment.

My answer: _____ Checked answer: _____

FIVE-F2-5 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q5 | p.2-5

49% Calculate the maturity of this bond.

My answer: _____ Checked answer: _____

FIVE-F2-22 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q22 | p.2-5

You have just won a lottery prize worth \$100,000; this prize will be paid to you \$5,000 each year for twenty years, starting today. The total number of consecutive payments is 20. How much money will you have at the end of the 20th year, given that the interest rate for the first 10 years is 6.5% and the interest rate from the 11th year onwards is 6%?

My answer: _____ Checked answer: _____

FIVE-F2-24 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q24 | p.2-5

Suppose the expected inflation for the next year is 3%, a borrower and a lender sign a loan contract with a nominal interest rate of 7%. After one year, the actual inflation is 2%. Who benefits and who is disadvantaged?

My answer: _____ Checked answer: _____

FIVE-F3-2 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q2 | p.6-9

A person deposits 2 million VND today into his savings account. How much money will he have after 3 years? The stated annual interest rate is 5.6%, compounded monthly, and the person does not withdraw any money during this period.

- A. 38,458,913.78 VND
- B. 23,631,182.58 VND
- C. 23,551,672.32 VND
- D. None of the above.

My answer: _____ Checked answer: _____

FIVE-F3-15 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q15 | p.6-9

A bank announces a nominal interest rate of 4% and an effective annual rate (EAR) of 4.08%. This rate corresponds to:

- A. Daily compounding
- B. Quarterly compounding
- C. Monthly compounding
- D. Weekly compounding

My answer: _____ Checked answer: _____

FIVE-F3-16 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q16 | p.6-9

A person begins depositing \$1,000 each month into a bank account for 5 years, with the first deposit starting two months from now. The annual interest rate is 12%, compounded monthly. The amount in the account after 5 years is equivalent to a present value of:

- A. \$49,318.43
- B. \$48,647.22
- C. \$47,971.54
- D. No correct answer

My answer: _____ Checked answer: _____

FIVE-F3-18 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q18 | p.6-9

Discount year-end cash flows at 12%: year 1 £100,000; year 2 £150,000; year 5 -£10,000.

- A. £201,747
- B. £201,191
- C. £227,573
- D. None.

My answer: _____ Checked answer: _____

FIVE-F3-19 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q19 | p.6-9

Given that the bank interest rate is compounded quarterly, if a person wants to have £25,000 after 10 years, the amount that must be deposited in the bank each quarter is:

- A. £461
- B. £474
- C. £836
- D. No exact answer

My answer: _____ Checked answer: _____

FIVE-F3-28 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q28 | p.6-9

A bank advertises: "Save for a 10-year term, \$10 each month; afterwards we will pay you \$12.5 every month for the rest of your life." Given that the constant savings interest rate is 12% compounded monthly. In your opinion, is such a savings plan beneficial for the depositing customer? Explain why. (0.5 points).

My answer: _____ Checked answer: _____

MID16-6 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q6; Exercises/Mock exam 2020.docx | A Q6

You have purchased a savings bond that will pay \$16,000 for your newborn child in fifteen years. If the bank discounts this bond at a rate of 4.307% per year, what is today's price for this bond?

- A. \$8,417
- B. \$8,500
- C. \$ 5,654
- D. \$10,000

My answer: _____ Checked answer: _____

MID16-8 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q8; Exercises/Mock exam 2020.docx | A Q8

You have an annuity of equal annual end-of-the year cash flows of \$750 that begin two years from today and last for a total of ten cash flows. With a discount rate of 5%, what are those cash flows worth in today's dollars?

- A. \$3,899.47
- B. \$ 5,515.55
- C. \$ 4,380.24
- D. \$5,000

My answer: _____ Checked answer: _____

MID16-10 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q10;
Exercises/Mock exam 2020.docx | A Q10

A credit card that charges a monthly interest rate of 1.5% has an effective annual interest rate of:

[Source limitation: the stem is present but the options are absent. Answer in your own words or calculate the result.]

My answer: _____ Checked answer: _____

MID16-12 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q12;
Exercises/Mock exam 2020.docx | A Q12

Average U.S wages in 1990 were \$28,960 far higher than the average in 1930 of \$1,970. What was the average annual increase in wages over this sixty year period?

- A. 3.31%
- B. 2.45%
- C. 24,50%
- D. 4.58%

My answer: _____ Checked answer: _____

MID16-26 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance
2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q26

Compound interest means that:

[Source limitation: the stem is present but the options are absent. Answer in your own words or calculate the result.]

My answer: _____ Checked answer: _____

MOCK18-E1 | Past paper

Source: 2018 | embedded ZIP | Mock Exam 2018.docx | Exercise 1

A bank advertises: pay \$100 annually for 10 years, then receive \$100 annually forever, for yourself or beneficiaries. Is it a good deal at 6% alternative interest?

My answer: _____ Checked answer: _____

MOCK18-E2 | Past paper

Source: 2018 | embedded ZIP | Mock Exam 2018.docx | Exercise 2

Invest \$20,000 at 8%. Withdraw \$2,000 at each year-end for 15 years. What remains after year 15?

My answer: _____ Checked answer: _____

K59-4 | Past paper

Source: K59.pdf | Q4 | p.6 | Exam year not printed

An investment grows from \$100.00 to \$150.00 or 50% over five years. What annual increase gives a 50% increase over five years approximately?

- A. 10.00%
- B. 8.45%
- C. 12.00%
- D. 9.25%

My answer: _____ Checked answer: _____

3. Loans and mortgages

16 questions | Answers use the same IDs.

M4.1-Q7 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q7 | Year not stated

A credit market instrument that provides the borrower with an amount of funds that must be repaid at the maturity date along with an interest payment is known as a

- A) simple loan.
- B) fixed-payment loan.
- C) coupon bond.
- D) discount bond.

My answer: _____ Checked answer: _____

M4.1-Q8 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q8 | Year not stated

A credit market instrument that requires the borrower to make the same payment every period until the maturity date is known as a

- A) simple loan.
- B) fixed-payment loan.
- C) coupon bond.
- D) discount bond.

My answer: _____ Checked answer: _____

M4.1-Q9 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q9 | Year not stated

Which of the following are true of fixed payment loans?

- A) The borrower repays both the principal and interest at the maturity date.
- B) Installment loans and mortgages are frequently of the fixed payment type.
- C) The borrower pays interest periodically and the principal at the maturity date.
- D) Commercial loans to businesses are often of this type.

My answer: _____ Checked answer: _____

M4.1-Q10 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q10 | Year not stated

A fully amortized loan is another name for

- A) a simple loan.
- B) a fixed-payment loan.
- C) a commercial loan.
- D) an unsecured loan.

My answer: _____ Checked answer: _____

M4.1-Q31 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q31 | Year not stated

The present value of a fixed-payment loan is calculated as the _____ of the present value of all cash flow payments.

- A) sum
- B) difference
- C) multiple
- D) log

My answer: _____ Checked answer: _____

K61-28 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-ltcc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q28 | p.1-3

You plan to purchase a \$100,000 house using a 30-year mortgage obtained from your local credit union. The mortgage rate offered to you is 8.25 percent.

- a. Calculate your monthly payments on this mortgage.
- b. Calculate the amount of interest paid and, separately, principal paid in the 25 th payment.
- c. Calculate the amount of interest paid and, separately, principal paid in the 60 th payment.

My answer: _____ Checked answer: _____

K58-28 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q28 | p.1-4

Borrow \$500,000 for a home, APR 10%, 20 years, monthly payments. Monthly payment?

- A. \$4,825
- B. \$58,730
- C. \$27,245
- D. \$50,000

My answer: _____ Checked answer: _____

K58-29a | Past paper

Source: K58 / exam year not printed | K58.pdf | Q29a | p.1-4

Same \$500,000, APR 10%, 20-year monthly mortgage. Amount required to settle immediately after payment 10?

- A. \$433,580
- B. \$493,164
- C. \$2,784,000
- D. \$104,537

My answer: _____ Checked answer: _____

K59-9 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q9 | p.1-7

Take out a \$100,000 mortgage, repaid over 25 years in 300 monthly payments. (a) APR 16%: find the monthly payment. (b) At the same APR, if you pay \$1,500 per month, how many months to repay?

My answer: _____ Checked answer: _____

M16-Ex4 | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEx4 | p.1

A \$500,000, 30-year mortgage has annual payments and annual interest 6%. Find the annual payment and settlement balance (a) immediately after payment 12; (b) immediately before payment 12.

My answer: _____ Checked answer: _____

FIVE-F1-W1 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Opening written Q1 | p.1

John borrows 10 billion VND from a bank to buy a house. The loan term is 20 years, with a fixed annual interest rate of 8%, repaid in equal annual installments (including both principal and interest). Required: a) Calculate the annual payment John has to make. b) Calculate the total interest paid over 20 years. c) If John decides to fully settle the loan after 10 years, determine the amount needed to pay off the remaining balance.

My answer: _____ Checked answer: _____

FIVE-F2-23 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q23 | p.2-5

You borrow 3 billion VND from a bank, repaying in equal annual installments, with an interest rate of 15%, and a loan term of 20 years. What is the amount that must be paid to the bank each year?

My answer: _____ Checked answer: _____

FIVE-F3-17 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q17 | p.6-9

A car has a selling price of £200,000, purchased through a bank loan with a 5-year term and an annual interest rate of 6%, compounded monthly. The first payment is due three months from today. The equal monthly payment will be approximately:

- A. £3,867
- B. £3,923
- C. £3,981
- D. None of the above

My answer: _____ Checked answer: _____

FIVE-F3-26 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q26 | p.6-9

A person borrows 1.8 billion VND from a bank at an interest rate of 18%, with monthly payments, over a period of 15 years.

- A. Calculate the fixed monthly payment amount (1 point).
- B. Calculate the interest portion to be paid in the 20th payment of the loan (0.5 points).

My answer: _____ Checked answer: _____

FIVE-F4-12 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F4, Q12 | p.9-10

You have a 10 years loan outstanding. It requires making monthly payments, starting at the end of the month. The loan amount is 5 billion VND and the interest rate on the loan is 12%.

- A. Compute the monthly payment
- B. What is the payoff amount if you decided to pay off the mortgage immediately after the 12th payment is made.

My answer: _____ Checked answer: _____

FIVE-F5-26 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F5, Q26 | p.11

A person borrows 1.6 billion VND from a bank at an interest rate of 15%, with monthly payments, over a period of 15 years.

- A. Calculate the fixed monthly payment amount (1 point).
- B. Calculate the principal portion that has been repaid in the 20th payment of the loan (0.5 points).

My answer: _____ Checked answer: _____

4. Bonds, equity valuation and interest-rate structure

157 questions | Answers use the same IDs.

S3-Q1 | Test bank

Source: Saunder_Chapter 3.docx | Q1 | Year not stated

In general, securities with _____ characteristics will offer _____ yields.

- A) favorable; higher
- B) favorable; lower
- C) unfavorable; lower
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q2 | Test bank

Source: Saunder_Chapter 3.docx | Q2 | Year not stated

Default risk is likely to be highest for

- A) short-term Treasury securities.
- B) AAA corporate securities.
- C) long-term Treasury securities.
- D) BBB corporate securities.

My answer: _____ Checked answer: _____

S3-Q3 | Test bank

Source: Saunder_Chapter 3.docx | Q3 | Year not stated

Some financial institutions such as commercial banks are required by law to invest only in

- A) junk bonds.
- B) corporate stock.
- C) Treasury securities.
- D) investment-grade bonds.

My answer: _____ Checked answer: _____

S3-Q4 | Test bank

Source: Saunder_Chapter 3.docx | Q4 | Year not stated

Credit ratings are most commonly used to indicate which financial institutions have available funds that they can lend to borrowers.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q5 | Test bank

Source: Saunder_Chapter 3.docx | Q5 | Year not stated

If a security can easily be converted to cash without a loss in value, it

- A) is liquid.
- B) has a high after-tax yield.
- C) has high default risk.
- D) is illiquid.

My answer: _____ Checked answer: _____

S3-Q6 | Test bank

Source: Saunder_Chapter 3.docx | Q6 | Year not stated

Securities that offer _____ liquidity will offer a _____ yield to be preferred.

- A) lower; higher
- B) lower; lower
- C) higher; higher
- D) B and C

My answer: _____ Checked answer: _____

S3-Q7 | Test bank

Source: Saunder_Chapter 3.docx | Q7 | Year not stated

If all other characteristics are similar, _____ would have to offer _____.

- A) taxable securities; a higher after-tax yield than tax-exempt securities
- B) taxable securities; a higher before-tax yield than tax-exempt securities
- C) tax-exempt securities; a higher after-tax yield than taxable securities
- D) tax-exempt securities; a higher before-tax yield than taxable securities

My answer: _____ Checked answer: _____

S3-Q8 | Test bank

Source: Saunder_Chapter 3.docx | Q8 | Year not stated

Assume an investor's tax rate is 25 percent. The before-tax yield on a security is 12 percent. What is the after-tax yield?

- A) 16.00 percent
- B) 9.25 percent
- C) 9.00 percent
- D) 3.00 percent
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q9 | Test bank

Source: Saunder_Chapter 3.docx | Q9 | Year not stated

An investor's tax rate is 30 percent. What must the before-tax yield on a security be to have an after-tax yield of 11 percent?

- A) 7.7 percent
- B) 15.71 percent
- C) 130 percent
- D) 11.00 percent
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q10 | Test bank

Source: Saunder_Chapter 3.docx | Q10 | Year not stated

A firm in the 35 percent tax bracket is aware of a tax-exempt security that is paying a yield of 7 percent. To match this yield, taxable securities must offer a before-tax yield of

- A) 7.0 percent.
- B) 10.8 percent.
- C) 20.0 percent.
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q11 | Test bank

Source: Saunder_Chapter 3.docx | Q11 | Year not stated

Holding other factors such as risk constant, the relationship between the maturity and annualized yield of securities is called the

- A) term structure of interest rates.
- B) default structure of interest rates.
- C) liquidity structure of interest rates.
- D) tax structure of interest rates.
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q12 | Test bank

Source: Saunder_Chapter 3.docx | Q12 | Year not stated

The term structure of interest rates defines the relationship

- A) between risk and return.
- B) between risk and maturity.
- C) between maturity and yield.
- D) between default risk ratings and maturity.

My answer: _____ Checked answer: _____

S3-Q13 | Test bank

Source: Saunder_Chapter 3.docx | Q13 | Year not stated

Interest income from municipal bonds is exempt from state taxes but is subject to federal taxes.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q14 | Test bank

Source: Saunder_Chapter 3.docx | Q14 | Year not stated

If shorter term securities have higher annualized yields than longer term securities, the yield curve

- A) is horizontal.
- B) is upward sloping.
- C) is downward sloping.
- D) cannot be determined unless we know additional information (such as the level of market interest rates).

My answer: _____ Checked answer: _____

S3-Q15 | Test bank

Source: Saunder_Chapter 3.docx | Q15 | Year not stated

Assume that annualized yields of short-term and long-term securities are equal. If investors suddenly believe interest rates will increase, their actions may cause the yield curve to

- A) become inverted.
- B) become flat.
- C) become upward sloping.
- D) be unaffected.

My answer: _____ Checked answer: _____

S3-Q16 | Test bank

Source: Saunder_Chapter 3.docx | Q16 | Year not stated

If issuers of securities (borrowers) and investors suddenly expect interest rates to decrease, their actions to benefit from their expectations should cause

- A) long-term yields to rise.
- B) short-term yields to decrease.
- C) prices of long-term securities to decrease.
- D) A and B
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q17 | Test bank

Source: Saunder_Chapter 3.docx | Q17 | Year not stated

Within the category of capital market securities, municipal bonds have the _____ before-tax yield, and their after-tax yield is typically _____ of Treasury bonds from the perspective of investors in high tax brackets.

- A) highest; below that
- B) lowest; above that
- C) highest; above that
- D) lowest; below that

My answer: _____ Checked answer: _____

S3-Q18 | Test bank

Source: Saunder_Chapter 3.docx | Q18 | Year not stated

The yield offered on a debt security is _____ related to the prevailing risk-free rate and _____ related to the security's risk premium.

- A) negatively; negatively
- B) positively; positively
- C) negatively; positively
- D) positively; negatively

My answer: _____ Checked answer: _____

S3-Q19 | Test bank

Source: Saunder_Chapter 3.docx | Q19 | Year not stated

The theory for the term structure of interest rates that says the shape of the yield curve is determined solely by expectations of future interest rates is called the

- A) segmented markets theory.
- B) liquidity premium theory.
- C) pure expectations theory.
- D) theory of rational expectations.

My answer: _____ Checked answer: _____

S3-Q20 | Test bank

Source: Saunder_Chapter 3.docx | Q20 | Year not stated

Assume investors are indifferent among security maturities. Today, the annualized 2-year interest rate is 12 percent, and the 1-year interest rate is 9 percent. What is the forward rate according to the pure expectations theory?

- A) 15.08 percent
- B) 3.00 percent
- C) 12.00 percent
- D) 12.62 percent
- E) 11.41 percent

My answer: _____ Checked answer: _____

S3-Q21 | Test bank

Source: Saunder_Chapter 3.docx | Q21 | Year not stated

Assume the yield curve is flat. If investors flood the short-term market and avoid the long-term market, they may cause the yield curve to

- A) remain flat.
- B) become upward sloping.
- C) become downward sloping.
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q22 | Test bank

Source: Saunder_Chapter 3.docx | Q22 | Year not stated

According to pure expectations theory, if interest rates are expected to decrease, there will be _____ pressure on the demand for short-term funds by borrowers and _____ pressure on the demand for long-term funds issued by borrowers.

- A) upward; upward
- B) downward; downward
- C) upward; downward
- D) downward; upward

My answer: _____ Checked answer: _____

S3-Q23 | Test bank

Source: Saunder_Chapter 3.docx | Q23 | Year not stated

The degree to which the Treasury's debt management policy could affect the term structure of interest rates is greatest if

- A) most debt is financed by foreign investors.
- B) the Treasury's debt level is small.
- C) maturity markets are segmented.
- D) A and B

My answer: _____ Checked answer: _____

S3-Q24 | Test bank

Source: Saunder_Chapter 3.docx | Q24 | Year not stated

According to the pure expectations theory of the term structure of interest rates, the _____ the difference between the implied one-year forward rate and today's one-year interest rate, the _____ is the expected change in the one-year interest rate.

- A) greater; less
- B) less; greater
- C) greater; greater
- D) less; less
- E) C and D

My answer: _____ Checked answer: _____

S3-Q25 | Test bank

Source: Saunder_Chapter 3.docx | Q25 | Year not stated

Assume that today, the annualized two-year interest rate is 12 percent, and the one-year interest rate is 9 percent. A three-year security has an annualized interest rate of 14 percent. What is the one-year forward rate two years from now?

- A) 12.67 percent
- B) 113 percent
- C) 195 percent
- D) 15.67 percent
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q26 | Test bank

Source: Saunder_Chapter 3.docx | Q26 | Year not stated

Assume that a yield curve is influenced by interest rate expectations and a liquidity premium. Assume the yield curve is initially flat. If liquidity suddenly was no longer important, the yield curve would now have a _____ (assuming no other changes).

- A) slight downward slope
- B) slight upward slope
- C) steep upward slope
- D) steep downward slope

My answer: _____ Checked answer: _____

S3-Q27 | Test bank

Source: Saunder_Chapter 3.docx | Q27 | Year not stated

According to the liquidity premium theory, the expected yield on a two-year security will _____ the expected yield from consecutive investments in one-year securities.

- A) equal
- B) be less than
- C) be greater than
- D) B and C are possible, depending on the size of the liquidity premium

My answer: _____ Checked answer: _____

S3-Q28 | Test bank

Source: Saunder_Chapter 3.docx | Q28 | Year not stated

Assume that the current yield on one-year securities is 6 percent, and that the yield on a two-year security is 7 percent. If the liquidity premium on a two-year security is 0.4 percent, then the one-year forward rate is

- A) 8.0 percent.
- B) 7.6 percent.
- C) 3.0 percent.
- D) 7.0 percent.

My answer: _____ Checked answer: _____

S3-Q29 | Test bank

Source: Saunder_Chapter 3.docx | Q29 | Year not stated

If liquidity influences the yield curve, but is not considered when deriving the forward interest rate, the forward interest rate _____ the market's expectation of the future interest rate.

- A) overestimates
- B) accurately estimates
- C) underestimates
- D) is an unbiased forecast of (it has an equal chance of overestimating or underestimating)

My answer: _____ Checked answer: _____

S3-Q30 | Test bank

Source: Saunder_Chapter 3.docx | Q30 | Year not stated

If the liquidity premium exists, a flat yield curve would be interpreted as the market expecting _____ in interest rates.

- A) no changes
- B) a slight decrease
- C) a slight increase
- D) a large increase

My answer: _____ Checked answer: _____

S3-Q31 | Test bank

Source: Saunder_Chapter 3.docx | Q31 | Year not stated

The theory of the term structure of interest rates, which states that investors and borrowers choose securities with maturities that satisfy their forecasted cash needs, is the

- A) pure expectations theory.
- B) liquidity premium theory.
- C) segmented markets theory.
- D) liquidity habitat theory.

My answer: _____ Checked answer: _____

S3-Q32 | Test bank

Source: Saunder_Chapter 3.docx | Q32 | Year not stated

According to the segmented markets theory, if most investors suddenly preferred to invest in short-term securities and most borrowers suddenly preferred to issue long-term securities there would be

- A) upward pressure on the price of long-term securities.
- B) upward pressure on the price of short-term securities.
- C) downward pressure on the yield of long-term securities.
- D) A and C

My answer: _____ Checked answer: _____

S3-Q33 | Test bank

Source: Saunder_Chapter 3.docx | Q33 | Year not stated

A theory states that while investors and borrowers may normally concentrate on a particular natural maturity market, conditions may cause them to change maturity markets. This theory is called the

- A) liquidity premium theory.
- B) efficient markets theory.
- C) pure expectations theory.
- D) preferred habitat theory.

My answer: _____ Checked answer: _____

S3-Q34 | Test bank

Source: Saunder_Chapter 3.docx | Q34 | Year not stated

According to segmented markets theory, if investors have mostly short-term funds available and borrowers want long-term funds, there would be _____ pressure on the supply of short-term funds provided by investors and _____ pressure on the yield of long-term securities.

- A) upward; upward
- B) downward; downward
- C) upward; downward
- D) downward; upward

My answer: _____ Checked answer: _____

S3-Q35 | Test bank

Source: Saunder_Chapter 3.docx | Q35 | Year not stated

If a yield curve is upward sloping, the investment strategy of buying long-term securities, then selling them after a short period (say, one year) is called

- A) riding the yield curve.
- B) liquidating the yield curve.
- C) segmenting the yield curve.
- D) a forward roll.
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q36 | Test bank

Source: Saunder_Chapter 3.docx | Q36 | Year not stated

Other things equal, the yield required on A-rated bonds should be _____ the yield required on B rated bonds whose other characteristics are exactly the same.

- A) greater than
- B) equal to
- C) less than
- D) All of the above are possible, depending on the size of the bond offering.

My answer: _____ Checked answer: _____

S3-Q37 | Test bank

Source: Saunder_Chapter 3.docx | Q37 | Year not stated

Assume that the Treasury bond yield today is 2% higher than it was one year ago. Also assume that the credit (default) risk premium of an A-rated bond declined by 0.4% since one year ago. A newly issued A-rated bond will likely offer a yield today that is _____ the yield that was offered on an A rated bond issued one year ago.

- A) greater than
- B) equal to
- C) less than
- D) A or B are both common

My answer: _____ Checked answer: _____

S3-Q38 | Test bank

Source: Saunder_Chapter 3.docx | Q38 | Year not stated

In some time periods there is evidence that corporations initially financed long-term projects with short-term funds. They planned to borrow long-term funds once interest rates were lower. This specifically supports the _____ for explaining the term structure of interest rates.

- A) liquidity premium theory
- B) expectations theory
- C) segmented markets theory
- D) A and C

My answer: _____ Checked answer: _____

S3-Q39 | Test bank

Source: Saunder_Chapter 3.docx | Q39 | Year not stated

According to expectations theory, the sudden expectation of lower interest rates in the future will cause a _____ supply of short-term funds provided by investors, and a _____ supply of long-term funds.

- A) large; large
- B) large; small
- C) small; small
- D) small; large

My answer: _____ Checked answer: _____

S3-Q40 | Test bank

Source: Saunder_Chapter 3.docx | Q40 | Year not stated

The yield curve in a foreign country is

- A) always downward sloping.
- B) non-existent.
- C) the same as the United States at any point in time.
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q41 | Test bank

Source: Saunder_Chapter 3.docx | Q41 | Year not stated

If research showed that anticipation about future interest rates was the only important factor for all investors in choosing short-term or long-term securities, this would support the argument made by the

- A) liquidity premium theory.
- B) expectations theory.
- C) segmented markets theory.
- D) A and B

My answer: _____ Checked answer: _____

S3-Q42 | Test bank

Source: Saunder_Chapter 3.docx | Q42 | Year not stated

If research showed that all investors attempt to purchase securities that perfectly match their time in which they will have available funds, this would specifically support the argument made by the

- A) liquidity premium theory.
- B) real interest rate theory.
- C) expectations theory.
- D) segmented markets theory.

My answer: _____ Checked answer: _____

S3-Q43 | Test bank

Source: Saunder_Chapter 3.docx | Q43 | Year not stated

If the Treasury uses a relatively large proportion of _____ debt to finance the deficit, this may place upward pressure on _____ interest rates, and corporations may reduce their investment in fixed assets.

- A) long-term; long-term
- B) long-term; short-term
- C) short-term; long-term
- D) B and C

My answer: _____ Checked answer: _____

S3-Q44 | Test bank

Source: Saunder_Chapter 3.docx | Q44 | Year not stated

You are considering the purchase of a tax-exempt security that is paying a yield of 10.08 percent. You are in the 28 percent tax bracket. To match this after-tax yield, you would consider taxable securities that pay

- A) 31.1 percent.
- B) 19 percent.
- C) 12.5 percent.
- D) 14 percent.

My answer: _____ Checked answer: _____

S3-Q45 | Test bank

Source: Saunder_Chapter 3.docx | Q45 | Year not stated

The annualized yield on a three-year security is 13 percent; the annualized two-year interest rate is 12 percent, while the one-year interest rate is 9 percent. The forward rate one-year ahead is _____ percent.

- A) 2.8
- B) 115
- C) 103
- D) 15.1

My answer: _____ Checked answer: _____

S3-Q46 | Test bank

Source: Saunder_Chapter 3.docx | Q46 | Year not stated

The annualized yield on a three-year security is 13 percent; the annualized two-year interest rate is 12 percent, while the one-year interest rate is 9 percent. The forward rate two years ahead is _____ percent.

- A) 1.8
- B) 9.0
- C) 15.0
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q47 | Test bank

Source: Saunder_Chapter 3.docx | Q47 | Year not stated

According to segmented markets theory, if investors have mostly long-term funds available and borrowers want short-term funds, this will place _____ pressure on the demand for long term funds issued by borrowers and the yield curve will be _____ sloping.

- A) upward; downward
- B) downward; upward
- C) upward; upward
- D) downward; downward

My answer: _____ Checked answer: _____

S3-Q48 | Test bank

Source: Saunder_Chapter 3.docx | Q48 | Year not stated

An upward-sloping yield curve indicates that Treasury securities with _____ maturities offer _____ annualized yields.

- A) longer; lower
- B) longer; higher
- C) shorter; lower
- D) shorter; higher
- E) B and C

My answer: _____ Checked answer: _____

S3-Q49 | Test bank

Source: Saunder_Chapter 3.docx | Q49 | Year not stated

Assume that the Treasury experiences a large decrease in the budget deficit and purchases a large number of T-bills. This action will _____ the supply of T-bills in the market and places _____ pressure on the yield of T-bills.

- A) decrease; downward
- B) decrease; upward
- C) increase; upward
- D) increase; downward

My answer: _____ Checked answer: _____

S3-Q50 | Test bank

Source: Saunder_Chapter 3.docx | Q50 | Year not stated

Vaughn Corporation is considering the issue of commercial paper and would like to know the yield it should offer on its commercial paper. The corporation believes that a 0.2 percent default risk premium, a 0.1 percent liquidity premium, and a 0.3 percent tax adjustment are necessary to sell its commercial paper to investors. Furthermore, annualized T-bill rates are 7 percent. Based on this information, Vaughn should offer _____ percent on its commercial paper.

- A) 8.0
- B) 7.6
- C) 7.5
- D) 7.9
- E) none of the above

My answer: _____ Checked answer: _____

S3-Q51 | Test bank

Source: Saunder_Chapter 3.docx | Q51 | Year not stated

If liquidity influences the yield curve, the forward rate underestimates the market's expectation of the future interest rate.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q52 | Test bank

Source: Saunder_Chapter 3.docx | Q52 | Year not stated

The yield curve for corporate bonds.

- A) would typically lie below the Treasury yield curve.
- B) is identical to the Treasury yield curve.
- C) typically has the same slope as the Treasury yield curve.
- D) is irrelevant to investors.

My answer: _____ Checked answer: _____

S3-Q53 | Test bank

Source: Saunder_Chapter 3.docx | Q53 | Year not stated

Some types of debt securities always offer a higher yield than others.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q54 | Test bank

Source: Saunder_Chapter 3.docx | Q54 | Year not stated

Investors will always prefer the purchase of risk-free Treasury securities, since other securities have a higher level of risk.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q55 | Test bank

Source: Saunder_Chapter 3.docx | Q55 | Year not stated

The higher a bond rating, the lower the perceived default risk.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q56 | Test bank

Source: Saunder_Chapter 3.docx | Q56 | Year not stated

Treasury securities are exempt from federal and state income taxes.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q57 | Test bank

Source: Saunder_Chapter 3.docx | Q57 | Year not stated

The term structure of interest rates defines the relationship between maturity and annualized yield, holding other factors such as risk constant.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q58 | Test bank

Source: Saunder_Chapter 3.docx | Q58 | Year not stated

The graphic comparison of maturities and annualized yields is known as the interest rate curve. A)
B) False True or False?

My answer: _____ Checked answer: _____

S3-Q59 | Test bank

Source: Saunder_Chapter 3.docx | Q59 | Year not stated

According to the segmented markets theory, the term structure of interest rates is determined solely by expectations of future interest rates.

- A) True
- B) False

My answer: _____ Checked answer: _____

S3-Q60 | Test bank

Source: Saunder_Chapter 3.docx | Q60 | Year not stated

The forward rate is commonly used to represent the market's forecast of the future interest rate. A)
B) False True or False?

My answer: _____ Checked answer: _____

S3-Q61 | Test bank

Source: Saunder_Chapter 3.docx | Q61 | Year not stated

Other things being equal, an expected decrease in interest rates will increase the demand for long
Term funds by borrowers.

- A) True
B) False

My answer: _____ Checked answer: _____

S3-Q62 | Test bank

Source: Saunder_Chapter 3.docx | Q62 | Year not stated

The preference for more liquid short-term securities places downward pressure on the slope of the
yield curve.

- A) True
B) False

My answer: _____ Checked answer: _____

S3-Q63 | Test bank

Source: Saunder_Chapter 3.docx | Q63 | Year not stated

When expectations theory is combined with the liquidity theory, the yield on a security will always
Be equal to the yield from consecutive investments in shorter-term securities over the same
investment horizon.

- A) True
B) False

My answer: _____ Checked answer: _____

S3-Q64 | Test bank

Source: Saunder_Chapter 3.docx | Q64 | Year not stated

The segmented markets theory suggests that although investors and borrowers may normally concentrate on a particular natural maturity market, certain events may cause them to wander from it. A)

B) False True or False?

My answer: _____ Checked answer: _____

S3-Q65 | Test bank

Source: Saunder_Chapter 3.docx | Q65 | Year not stated

If the yield curve is upward sloping, some investors may attempt to benefit from the higher yields on longer-term securities, even when they have funds for only a short period of time. This strategy is known as riding the yield curve.

A) True

B) False

My answer: _____ Checked answer: _____

S3-Q66 | Test bank

Source: Saunder_Chapter 3.docx | Q66 | Year not stated

Yield curves are always upward sloping.

A) True

B) False

My answer: _____ Checked answer: _____

S3-Q67 | Test bank

Source: Saunder_Chapter 3.docx | Q67 | Year not stated

Which of the following statements is not true with respect to debt securities?

A) Some types of debt securities always offer a higher yield than others.

B) Debt securities offer different yields because they exhibit different characteristics that influence the offered yield.

C) In general, securities with favorable characteristics will offer higher yields to entice investors.

D) All of the above are true with respect to debt securities.

My answer: _____ Checked answer: _____

S3-Q68 | Test bank

Source: Saunder_Chapter 3.docx | Q68 | Year not stated

Which of the following is not a characteristic affecting the yields on debt securities?

- A) default risk
- B) liquidity
- C) tax status
- D) term to maturity
- E) All of the above affect yields on debt securities.

My answer: _____ Checked answer: _____

S3-Q69 | Test bank

Source: Saunder_Chapter 3.docx | Q69 | Year not stated

All other characteristics being equal, securities with _____ liquidity would have to offer a _____ yield to be preferred.

- A) lower; higher
- B) higher; higher
- C) lower; lower
- D) none of the above

My answer: _____ Checked answer: _____

S3-Q70 | Test bank

Source: Saunder_Chapter 3.docx | Q70 | Year not stated

A downward-sloping yield curve indicates that Treasury securities with _____ maturities offer _____ annualized yields.

- A) longer; lower
- B) longer; higher
- C) shorter; lower
- D) shorter; higher
- E) Answers a and d are correct.

My answer: _____ Checked answer: _____

S3-Q71 | Test bank

Source: Saunder_Chapter 3.docx | Q71 | Year not stated

Assume that the Treasury experiences a large increase in the budget deficit and issues a large number of T-bills. This action will _____ the supply of T-bills in the market and place _____ pressure on the yield of T-bills.

- A) decrease; downward
- B) decrease; upward
- C) increase; upward
- D) increase; downward

My answer: _____ Checked answer: _____

S3-Q72 | Test bank

Source: Saunder_Chapter 3.docx | Q72 | Year not stated

If the liquidity premium theory completely describes the term structure of interest rates, then, on the average, the yield curve should be

- A) flat.
- B) downward sloping.
- C) upward sloping.
- D) none of the above.

My answer: _____ Checked answer: _____

S3-Q73 | Test bank

Source: Saunder_Chapter 3.docx | Q73 | Year not stated

If interest rates are expected to decrease, the yield on new short-term securities may be expected to _____, and the yield curve should be _____ sloping.

- A) increase; upward
- B) increase; downward
- C) decrease; upward
- D) decrease; downward

My answer: _____ Checked answer: _____

S3-Q74 | Test bank

Source: Saunder_Chapter 3.docx | Q74 | Year not stated

According to segmented markets theory, if investors have mostly long-term funds available and borrowers want short-term funds, this will place _____ pressure on the demand for short term funds by borrowers and the yield curve will be _____ sloping.

- A) upward; downward
- B) downward; upward
- C) upward; upward
- D) downward; downward

My answer: _____ Checked answer: _____

S3-Q75 | Test bank

Source: Saunder_Chapter 3.docx | Q75 | Year not stated

The _____ theory suggests that although investors and borrowers may normally concentrate on a particular natural maturity market, certain events may cause them to wander from it.

- A) pure expectations
- B) liquidity premium
- C) segmented markets
- D) preferred habitat

My answer: _____ Checked answer: _____

S3-Q76 | Test bank

Source: Saunder_Chapter 3.docx | Q76 | Year not stated

If the Treasury uses a relatively large proportion of _____ debt to finance a budget deficit, this would place _____ pressure on long-term yields.

- A) short-term; downward
- B) long-term; downward
- C) short-term; upward
- D) long-term; upward

My answer: _____ Checked answer: _____

M4.1-Q11 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q11 | Year not stated

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called a

- A) simple loan.
- B) fixed-payment loan.
- C) coupon bond.
- D) discount bond.

My answer: _____ Checked answer: _____

M4.1-Q12 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q12 | Year not stated

A _____ pays the owner a fixed coupon payment every year until the maturity date, when the _____ value is repaid.

- A) coupon bond; discount
- B) discount bond; discount
- C) coupon bond; face
- D) discount bond; face

My answer: _____ Checked answer: _____

M4.1-Q13 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q13 | Year not stated

The _____ is the final amount that will be paid to the holder of a coupon bond.

- A) discount value
- B) coupon value
- C) face value
- D) present value

My answer: _____ Checked answer: _____

M4.1-Q14 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q14 | Year not stated

When talking about a coupon bond, face value and _____ mean the same thing.

- A) par value
- B) coupon value
- C) amortized value
- D) discount value

My answer: _____ Checked answer: _____

M4.1-Q15 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q15 | Year not stated

The dollar amount of the yearly coupon payment expressed as a percentage of the face value of the bond is called the bond's ____

- A) coupon rate.
- B) maturity rate.
- C) face value rate.
- D) payment rate.

My answer: _____ Checked answer: _____

M4.1-Q16 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q16 | Year not stated

If a \$5,000 coupon bond has a coupon rate of 13 percent, then the coupon payment every year is

- A) \$650.
- B) \$1,300.
- C) \$130.
- D) \$13.

My answer: _____ Checked answer: _____

M4.1-Q17 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q17 | Year not stated

An \$8,000 coupon bond with a \$400 coupon payment every year has a coupon rate of

- A) 5 percent.
- B) 8 percent.
- C) 10 percent.
- D) 40 percent.

My answer: _____ Checked answer: _____

M4.1-Q18 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q18 | Year not stated

All of the following are examples of coupon bonds except

- A) Corporate bonds
- B) U.S. Treasury bills
- C) U.S. Treasury notes
- D) U.S. Treasury bonds

My answer: _____ Checked answer: _____

M4.1-Q19 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q19 | Year not stated

A bond that is bought at a price below its face value and the face value is repaid at a maturity date is called a

- A) simple loan.
- B) fixed-payment loan.
- C) coupon bond.
- D) discount bond.

My answer: _____ Checked answer: _____

M4.1-Q20 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q20 | Year not stated

A _____ is bought at a price below its face value, and the _____ value is repaid at the maturity date.

- A) coupon bond; discount
- B) discount bond; discount
- C) coupon bond; face
- D) discount bond; face

My answer: _____ Checked answer: _____

M4.1-Q21 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q21 | Year not stated

A discount bond:

- A) pays the bondholder a fixed amount every period and the face value at maturity.
- B) pays the bondholder the face value at maturity.
- C) pays all interest and the face value at maturity.
- D) pays the face value at maturity plus any capital gain.

My answer: _____ Checked answer: _____

M4.1-Q22 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q22 | Year not stated

Examples of discount bonds include

- A) U.S. Treasury bills.
- B) corporate bonds.
- C) U.S. Treasury notes.
- D) municipal bonds.

My answer: _____ Checked answer: _____

M4.1-Q23 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q23 | Year not stated

Which of the following are true for discount bonds?

- A) A discount bond is bought at par.
- B) The purchaser receives the face value of the bond at the maturity date.
- C) U.S. Treasury bonds and notes are examples of discount bonds.
- D) The purchaser receives the par value at maturity plus any capital gains.

My answer: _____ Checked answer: _____

M4.1-Q32 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q32 | Year not stated

Which of the following are true for a coupon bond?

- A) When the coupon bond is priced at its face value, the yield to maturity equals the coupon rate.
- B) The price of a coupon bond and the yield to maturity are positively related.
- C) The yield to maturity is greater than the coupon rate when the bond price is above the par value.
- D) The yield is less than the coupon rate when the bond price is below the par value.

My answer: _____ Checked answer: _____

M4.1-Q33 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q33 | Year not stated

The price of a coupon bond and the yield to maturity are _____ related; that is, as the yield to maturity _____, the price of the bond _____.

- A) positively; rises; rises
- B) negatively; falls; falls
- C) positively; rises; falls
- D) negatively; rises; falls

My answer: _____ Checked answer: _____

M4.1-Q34 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q34 | Year not stated

The yield to maturity is _____ than the _____ rate when the bond price is _____ its face value.

- A) greater; coupon; above
- B) greater; coupon; below
- C) greater; perpetuity; above
- D) less; perpetuity; below

My answer: _____ Checked answer: _____

M4.1-Q35 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q35 | Year not stated

A \$10,000 8 percent coupon bond that sells for \$10,000 has a yield to maturity of

- A) 8 percent.
- B) 10 percent.
- C) 12 percent.
- D) 14 percent.

My answer: _____ Checked answer: _____

M4.1-Q36 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q36 | Year not stated

Which of the following \$1,000 face-value securities has the highest yield to maturity?

- A) A 5 percent coupon bond selling for \$1,000
- B) A 10 percent coupon bond selling for \$1,000
- C) A 12 percent coupon bond selling for \$1,000
- D) A 12 percent coupon bond selling for \$1,100

My answer: _____ Checked answer: _____

M4.1-Q37 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q37 | Year not stated

Which of the following \$5,000 face-value securities has the highest yield to maturity?

- A) A 6 percent coupon bond selling for \$5,000
- B) A 6 percent coupon bond selling for \$5,500
- C) A 10 percent coupon bond selling for \$5,000
- D) A 12 percent coupon bond selling for \$4,500

My answer: _____ Checked answer: _____

M4.1-Q8-v2 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q8 (second occurrence) | Year not stated

Which of the following \$1,000 face-value securities has the highest yield to maturity?

- A) A 5 percent coupon bond with a price of \$600
- B) A 5 percent coupon bond with a price of \$800
- C) A 5 percent coupon bond with a price of \$1,000
- D) A 5 percent coupon bond with a price of \$1,200

My answer: _____ Checked answer: _____

M4.1-Q39 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q39 | Year not stated

Which of the following \$1,000 face-value securities has the lowest yield to maturity?

- A) A 5 percent coupon bond selling for \$1,000
- B) A 10 percent coupon bond selling for \$1,000
- C) A 15 percent coupon bond selling for \$1,000
- D) A 15 percent coupon bond selling for \$900

My answer: _____ Checked answer: _____

M4.1-Q40 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q40 | Year not stated

Which of the following bonds would you prefer to buy?

- A) A \$10,000 face-value security with a 10 percent coupon selling for \$9,000
- B) A \$10,000 face-value security with a 7 percent coupon selling for \$10,000
- C) A \$10,000 face-value security with a 9 percent coupon selling for \$10,000
- D) A \$10,000 face-value security with a 10 percent coupon selling for \$10,000

My answer: _____ Checked answer: _____

M4.1-Q41 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q41 | Year not stated

A coupon bond that has no maturity date and no repayment of principal is called a

- A) consol.
- B) cabinet.
- C) Treasury bill.
- D) Treasury note.

My answer: _____ Checked answer: _____

M4.1-Q42 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q42 | Year not stated

The price of a consol equals the coupon payment

- A) times the interest rate.
- B) plus the interest rate.
- C) minus the interest rate.
- D) divided by the interest rate.

My answer: _____ Checked answer: _____

M4.1-Q43 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q43 | Year not stated

The interest rate on a consol equals the

- A) price times the coupon payment.
- B) price divided by the coupon payment.
- C) coupon payment plus the price.
- D) coupon payment divided by the price.

My answer: _____ Checked answer: _____

M4.1-Q44 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q44 | Year not stated

A consol paying \$20 annually when the interest rate is 5 percent has a price of

- A) \$100.
- B) \$200.
- C) \$400.
- D) \$800.

My answer: _____ Checked answer: _____

M4.1-Q45 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q45 | Year not stated

If a perpetuity has a price of \$500 and an annual interest payment of \$25, the interest rate is

- A) 2.5 percent.
- B) 5 percent.
- C) 7.5 percent.
- D) 10 percent.

My answer: _____ Checked answer: _____

M4.1-Q46 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q46 | Year not stated

The yield to maturity for a perpetuity is a useful approximation for the yield to maturity on long-term coupon bonds. It is called the _____ when approximating the yield for a coupon bond.

- A) current yield
- B) discount yield
- C) future yield
- D) star yield

My answer: _____ Checked answer: _____

M4.1-Q47 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q47 | Year not stated

The yield to maturity for a one-year discount bond equals the increase in price over the year, divided by the

- A) initial price.
- B) face value.
- C) interest rate.
- D) coupon rate.

My answer: _____ Checked answer: _____

M4.1-Q48 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q48 | Year not stated

If a \$10,000 face-value discount bond maturing in one year is selling for \$5,000, then its yield to maturity is

- A) 5 percent.
- B) 10 percent.
- C) 50 percent.
- D) 100 percent.

My answer: _____ Checked answer: _____

M4.1-Q49 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q49 | Year not stated

If a \$5,000 face-value discount bond maturing in one year is selling for \$5,000, then its yield to maturity is

- A) 0 percent.
- B) 5 percent.
- C) 10 percent.
- D) 20 percent.

My answer: _____ Checked answer: _____

M4.1-Q50 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q50 | Year not stated

A discount bond selling for \$15,000 with a face value of \$20,000 in one year has a yield to maturity of

- A) 3 percent.
- B) 20 percent.
- C) 25 percent.
- D) 33.3 percent.

My answer: _____ Checked answer: _____

M4.1-Q51 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q51 | Year not stated

The yield to maturity for a discount bond is _____ related to the current bond price.

- A) negatively
- B) positively
- C) not
- D) directly

My answer: _____ Checked answer: _____

M4.1-Q52 | Test bank

Source: Mishkin_TB.docx | Section 4.1 | Q52 | Year not stated

In Japan in 1998 and in the U.S. in 2008, interest rates were negative for a short period of time because investors found it convenient to hold six-month bills as a store of value because

- A) of the high inflation rate.
- B) these bills sold at a discount from face value.
- C) the bills were denominated in small amounts and could be stored electronically.
- D) the bills were denominated in large amounts and could be stored electronically.

My answer: _____ Checked answer: _____

M4.2-Q1 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q1 | Year not stated

The _____ is defined as the payments to the owner plus the change in a security's value expressed as a fraction of the security's purchase price.

- A) yield to maturity
- B) current yield
- C) rate of return
- D) yield rate

My answer: _____ Checked answer: _____

M4.2-Q2 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q2 | Year not stated

Which of the following are true concerning the distinction between interest rates and returns?

- A) The rate of return on a bond will not necessarily equal the interest rate on that bond.
- B) The return can be expressed as the difference between the current yield and the rate of capital gains.
- C) The rate of return will be greater than the interest rate when the price of the bond falls between time t and time $t + 1$.
- D) The return can be expressed as the sum of the discount yield and the rate of capital gains.

My answer: _____ Checked answer: _____

M4.2-Q3 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q3 | Year not stated

The sum of the current yield and the rate of capital gain is called the

- A) rate of return.
- B) discount yield.
- C) pertuity yield.
- D) par value.

My answer: _____ Checked answer: _____

M4.2-Q4 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q4 | Year not stated

What is the return on a 5 percent coupon bond that initially sells for \$1,000 and sells for \$1,200 next year?

- A) 5 percent
- B) 10 percent
- C) -5 percent
- D) 25 percent

My answer: _____ Checked answer: _____

M4.2-Q5 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q5 | Year not stated

What is the return on a 5 percent coupon bond that initially sells for \$1,000 and sells for \$900 next year?

- A) 5 percent
- B) 10 percent
- C) -5 percent
- D) -10 percent

My answer: _____ Checked answer: _____

M4.2-Q6 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q6 | Year not stated

The return on a 5 percent coupon bond that initially sells for \$1,000 and sells for \$950 next year is

- A) -10 percent.
- B) -5 percent.
- C) 0 percent.
- D) 5 percent.

My answer: _____ Checked answer: _____

M4.2-Q7 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q7 | Year not stated

Suppose you are holding a 5 percent coupon bond maturing in one year with a yield to maturity of 15 percent. If the interest rate on one-year bonds rises from 15 percent to 20 percent over the course of the year, what is the yearly return on the bond you are holding?

- A) 5 percent
- B) 10 percent
- C) 15 percent
- D) 20 percent

My answer: _____ Checked answer: _____

M4.2-Q8 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q8 | Year not stated

If the interest rates on all bonds rise from 5 to 6 percent over the course of the year, which bond would you prefer to have been holding?

- A) A bond with one year to maturity
- B) A bond with five years to maturity
- C) A bond with ten years to maturity
- D) A bond with twenty years to maturity

My answer: _____ Checked answer: _____

M4.2-Q9 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q9 | Year not stated

An equal decrease in all bond interest rates

- A) increases the price of a five-year bond more than the price of a ten-year bond.
- B) increases the price of a ten-year bond more than the price of a five-year bond.
- C) decreases the price of a five-year bond more than the price of a ten-year bond.
- D) decreases the price of a ten-year bond more than the price of a five-year bond.

My answer: _____ Checked answer: _____

M4.2-Q10 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q10 | Year not stated

An equal increase in all bond interest rates

- A) increases the return to all bond maturities by an equal amount.
- B) decreases the return to all bond maturities by an equal amount.
- C) has no effect on the returns to bonds.
- D) decreases long-term bond returns more than short-term bond returns.

My answer: _____ Checked answer: _____

M4.2-Q11 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q11 | Year not stated

Which of the following are generally true of bonds?

- A) The only bond whose return equals the initial yield to maturity is one whose time to maturity is the same as the holding period.
- B) A rise in interest rates is associated with a fall in bond prices, resulting in capital gains on bonds whose terms to maturity are longer than the holding periods.
- C) The longer a bond's maturity, the smaller is the size of the price change associated with an interest rate change.
- D) Prices and returns for short-term bonds are more volatile than those for longer-term bonds.

My answer: _____ Checked answer: _____

M4.2-Q12 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q12 | Year not stated

Which of the following are generally true of all bonds?

- A) The longer a bond's maturity, the greater is the rate of return that occurs as a result of the increase in the interest rate.
- B) Even though a bond has a substantial initial interest rate, its return can turn out to be negative if interest rates rise.
- C) Prices and returns for short-term bonds are more volatile than those for longer term bonds.
- D) A fall in interest rates results in capital losses for bonds whose terms to maturity are longer than the holding period.

My answer: _____ Checked answer: _____

M4.2-Q13 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q13 | Year not stated

The riskiness of an asset's returns due to changes in interest rates is

- A) exchange-rate risk.
- B) price risk.
- C) asset risk.
- D) interest-rate risk.

My answer: _____ Checked answer: _____

M4.2-Q14 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q14 | Year not stated

Interest-rate risk is the riskiness of an asset's returns due to

- A) interest-rate changes.
- B) changes in the coupon rate.
- C) default of the borrower.
- D) changes in the asset's maturity.

My answer: _____ Checked answer: _____

M4.2-Q15 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q15 | Year not stated

Prices and returns for _____ bonds are more volatile than those for _____ bonds, everything else held constant.

- A) long-term; long-term
- B) long-term; short-term
- C) short-term; long-term
- D) short-term; short-term

My answer: _____ Checked answer: _____

M4.2-Q16 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q16 | Year not stated

There is _____ for any bond whose time to maturity matches the holding period.

- A) no interest-rate risk
- B) a large interest-rate risk
- C) rate-of-return risk
- D) yield-to-maturity risk

My answer: _____ Checked answer: _____

M4.2-Q17 | Test bank

Source: Mishkin_TB.docx | Section 4.2 | Q17 | Year not stated

Your favorite uncle advises you to purchase long-term bonds because their interest rate is 10%. Should you follow his advice?

My answer: _____ Checked answer: _____

M4.4-Q1 | Test bank

Source: Mishkin_TB.docx | Section 4.4 | Q1 | Year not stated

Duration is

- A) an asset's term to maturity.
- B) the time until the next interest payment for a coupon bond.
- C) the average lifetime of a debt security's stream of payments.
- D) the time between interest payments for a coupon bond.

My answer: _____ Checked answer: _____**M4.4-Q2 | Test bank**

Source: Mishkin_TB.docx | Section 4.4 | Q2 | Year not stated

Comparing a discount bond and a coupon bond with the same maturity,

- A) the coupon bond has the greater effective maturity.
- B) the discount bond has the greater effective maturity.
- C) the effective maturity cannot be calculated for a coupon bond.
- D) the effective maturity cannot be calculated for a discount bond.

My answer: _____ Checked answer: _____**M4.4-Q3 | Test bank**

Source: Mishkin_TB.docx | Section 4.4 | Q3 | Year not stated

The duration of a coupon bond increases

- A) the longer is the bond's term to maturity.
- B) when interest rates increase.
- C) the higher the coupon rate on the bond.
- D) the higher the bond price.

My answer: _____ Checked answer: _____

M4.4-Q4 | Test bank

Source: Mishkin_TB.docx | Section 4.4 | Q4 | Year not stated

All else equal, when interest rates _____, the duration of a coupon bond _____.

- A) rise; falls
- B) rise; increases
- C) falls; falls
- D) falls; does not change

My answer: _____ Checked answer: _____

M4.4-Q5 | Test bank

Source: Mishkin_TB.docx | Section 4.4 | Q5 | Year not stated

All else equal, the _____ the coupon rate on a bond, the _____ the bond's duration.

- A) higher; longer
- B) higher; shorter
- C) lower; shorter
- D) greater; longer

My answer: _____ Checked answer: _____

M4.4-Q6 | Test bank

Source: Mishkin_TB.docx | Section 4.4 | Q6 | Year not stated

If a financial institution has 50% of its portfolio in a bond with a five-year duration and 50% of its portfolio in a bond with a seven-year duration, what is the duration of the portfolio?

- A) 12 years
- B) 7 years
- C) 6 years
- D) 5 years

My answer: _____ Checked answer: _____

K61-6 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q6 | p.1-3

An 18-year T-bond can be stripped into how many separate securities?

- A. 18
- B. 19
- C. 36
- D. 37
- E. 38

My answer: _____ Checked answer: _____

K61-22 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q22 | p.1-3

The bid price for a bond quote is:

- A. the price at which the bond dealer is willing to sell the bond.
- B. the price at which the bond dealer is willing to purchase the bond.
- C. fixed over the life of a bond.
- D. determined solely by the time left to maturity.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-23 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q23 | p.1-3

If interest rates are expected to rise, the bond prices will:

- A. not change until interest rates actually change.
- B. fall, due to the demand for bonds decreasing.
- C. rise, as people seek capital gains.
- D. move in the same direction as the expected change in interest rates.
- E. None of the above.

My answer: _____ Checked answer: _____

K61-27 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q27 | p.1-3

A \$1000 face value corporate bond with a 6.75 percent coupon (paid semiannually) has 10 years left to maturity. It has a credit rating of BB and a yield to maturity of 8.2 percent. The firm recently became more financially stable and the rating agency is upgrading the bonds to BBB. The new appropriate discount rate will be 7.1 percent. What will be the change in the bond's price in dollars and percentage terms?

My answer: _____ Checked answer: _____

K58-6 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q6 | p.1-4

Considering the value of an instrument, the bigger the promised payment, the:

- A. less valuable the instrument because risk must be greater.
- B. longer the wait for payment.
- C. more valuable the instrument.
- D. greater the risk.

My answer: _____ Checked answer: _____

K58-30 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q30 | p.1-4

Price of a 15-year coupon bond, face \$100, coupon 6.8%, annual payments, YTM 6.5%?

- A. \$97.23
- B. \$98.26
- C. \$102.82
- D. \$63.94

My answer: _____ Checked answer: _____

TAN-6 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q6 | p.2-6

Which outstanding bond is most likely to be redeemed early if market rates rise?

- A. callable
- B. variable-rate
- C. puttable
- D. callable with restrictive covenant

My answer: _____ Checked answer: _____

M16-Ex2 | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEx2 | p.1

Price a 10-year zero-coupon bond with redemption \$100 at 6% p.a.

My answer: _____ Checked answer: _____

M16-Ex3 | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QEx3 | p.1

Next annual dividend is \$6.50 one year from now; dividend growth 3%; required return 7%. Find share value.

My answer: _____ Checked answer: _____

FIVE-F1-W2 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Opening written Q2 | p.1 Source note: Part (b) omits the coupon schedule/price convention.

A U.S. government bond has the Par value: \$1,000, Coupon rate: 6% per year. Maturity: 10 years. Yield to Maturity (YTM): 8% Required: a) Find the Price of the bond. b) If the bond has 3 years and 10 months remaining to maturity, calculate the new YTM, assuming the market price remains the same as in part (a).

My answer: _____ Checked answer: _____

FIVE-F2-2 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q2 | p.2-5

A 3-year European bond with a periodic coupon of \$100 has a market price of \$1,650 and a YTM of 7.50%. Is the intrinsic value of this bond correctly priced, overvalued, or undervalued? If it is higher or lower than the correct financial price, by how much?

- A. The bond is correctly priced.
- B. The bond is overvalued by \$14.18
- C. The bond is undervalued by \$14.18
- D. The bond is overvalued by \$9.32
- E. The bond is undervalued by \$9.32
- F. The bond is overvalued by \$9.32

My answer: _____ Checked answer: _____

FIVE-F2-4 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q4 | p.2-5

625% August 2015 Baa1/BBB+/BBB+

My answer: _____ Checked answer: _____

FIVE-F2-8 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q8 | p.2-5

The value of a financial instrument increases when ...

- A. the amount of interest to be paid decreases
- B. the payment is made earlier than expected.
- C. the payment is made later than expected.
- D. the risk of payment increases.
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-19 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q19 | p.2-5

A bond has a face value of 1,500,000 VND, a coupon rate of 9%/year, and matures in 12 years. Currently, this bond has been in circulation for 2 years and is being traded at a price of 1,600,000 VND. The YTM of this bond is:

- A. 8.11%
- B. 8%
- C. 8.063%
- D. 2.67%
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-21 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q21 | p.2-5

Home Depot bond: par \$1,000, semiannual coupons, coupon 4.625%, stated maturity August 2015, closing quote 97.726, YTM 5.49%. Calculate its remaining maturity.

My answer: _____ Checked answer: _____

FIVE-F3-3 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q3 | p.6-9

According to the Standard and Poor's Corporation (S&P) credit rating agency, bonds with a high risk of default and known as speculative-grade bonds are rated:

- A. above BBB
- B. below Ba1
- C. below BBB
- D. above Ba1

My answer: _____ Checked answer: _____

FIVE-F3-5 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q5 | p.6-9

Although a bond may have a relatively high initial coupon rate, its yield can _____ if interest rates _____.

- A. rise quickly; rise
- B. decrease; rise
- C. fall quickly; fall
- D. None of the above.

My answer: _____ Checked answer: _____

FIVE-F3-20 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q20 | p.6-9

A company issues a zero-coupon bond with semiannual compounding, a maturity of 50 years, and a face value of \$1,000. The bond's yield to maturity is 7.5%. The approximate price of this bond is:

- A. \$25.19
- B. \$250.19
- C. \$750.00
- D. \$1,000

My answer: _____ Checked answer: _____

FIVE-F3-21 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q21 | p.6-9

Given that the most recent dividend of a stock was \$2.10, with a growth rate of 5% and a required rate of return of 12%. According to the constant growth dividend model, the stock price is:

- A. \$42
- B. \$31.5
- C. \$30
- D. \$17.5

My answer: _____ Checked answer: _____

FIVE-F3-22 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q22 | p.6-9

Which of the following statements is incorrect:

- A. U.S. Treasury bonds have no risk because the U.S. government can always print money to pay its debts.
- B. The government issues debt securities to cover budget deficits.
- C. U.S. Treasury bills have maturities of 4, 13, 26, and 52 weeks.
- D. U.S. Treasury bonds pay interest semiannually and have no default risk.

My answer: _____ Checked answer: _____

FIVE-F3-25 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q25 | p.6-9

It is known that a coupon bond commits to paying an investor 1 million VND at maturity and pays semi-annual interest at a rate of 11% per year. The bond currently has 10 years until maturity and is being traded at a price of 1,055,000 VND. Would you buy this bond if your required rate of return is 11.5% per year? Explain. (1 point)

My answer: _____ Checked answer: _____

FIVE-F4-11 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F4, Q11 | p.9-10

Your company is about to issue a bond with annual coupon payments, a coupon rate of 6.5% and the face value of \$1,000. The yield to maturity for this bond is 6.9%. What is the bond price if it matures in ten years?

My answer: _____ Checked answer: _____

FIVE-F5-25 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F5, Q25 | p.11

It is known that a coupon bond commits to paying an investor 1 million VND at maturity and pays semi-annual interest at a rate of 11% per year. The bond currently has 10 years until maturity and is being traded at a price of 1,055,000 VND. Would you buy this bond if your required rate of return is 10% per year? Explain. (1 point)

My answer: _____ Checked answer: _____

MOCK18-E4 | Past paper

Source: 2018 | embedded ZIP | Mock Exam 2018.docx | Exercise 4

Five-year bond, face \$1,000, coupon 5%, semiannual payments. YTM rises to APR 6.30% compounded semiannually. Find price.

My answer: _____ Checked answer: _____

5. Money-market instruments and yields

39 questions | Answers use the same IDs.

M2.3-Q1 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q1 | Year not stated

Prices of money market instruments undergo the least price fluctuations because of

- A) the short terms to maturity for the securities.
- B) the heavy regulations in the industry.
- C) the price ceiling imposed by government regulators.
- D) the lack of competition in the market.

My answer: _____ Checked answer: _____

M2.3-Q2 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q2 | Year not stated

U.S. Treasury bills pay no interest but are sold at a _____. That is, you will pay a lower purchase price than the amount you receive at maturity.

- A) premium
- B) collateral
- C) default
- D) discount

My answer: _____ Checked answer: _____

M2.3-Q3 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q3 | Year not stated

U.S. Treasury bills are considered the safest of all money market instruments because there is no risk of _____.

- A) defeat
- B) default
- C) desertion
- D) demarcation

My answer: _____ Checked answer: _____

M2.3-Q4 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q4 | Year not stated

A debt instrument sold by a bank to its depositors that pays annual interest of a given amount and at maturity pays back the original purchase price is called

- A) commercial paper.
- B) a negotiable certificate of deposit.
- C) a municipal bond.
- D) federal funds.

My answer: _____ Checked answer: _____

M2.3-Q5 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q5 | Year not stated

A short-term debt instrument issued by well-known corporations is called

- A) commercial paper.
- B) corporate bonds.
- C) municipal bonds.
- D) commercial mortgages.

My answer: _____ Checked answer: _____

M2.3-Q6 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q6 | Year not stated

_____ are short-term loans in which Treasury bills serve as collateral.

- A) Repurchase agreements
- B) Negotiable certificates of deposit
- C) Federal funds
- D) U.S. government agency securities

My answer: _____ Checked answer: _____

M2.3-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q7 | Year not stated

Collateral is _____ the lender receives if the borrower does not pay back the loan.

- A) a liability
- B) an asset
- C) a present
- D) an offering

My answer: _____ Checked answer: _____

M2.3-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q8 | Year not stated

Federal funds are

- A) funds raised by the federal government in the bond market.
- B) loans made by the Federal Reserve System to banks.
- C) loans made by banks to the Federal Reserve System.
- D) loans made by banks to each other.

My answer: _____ Checked answer: _____

M2.3-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q9 | Year not stated

The British Banker's Association average of interbank rates for dollar deposits in the London market is called the

- A) Libor rate.
- B) federal funds rate.
- C) prime rate.
- D) Treasury Bill rate.

My answer: _____ Checked answer: _____

M2.3-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q10 | Year not stated

Which of the following are short-term financial instruments?

- A) A repurchase agreement.
- B) A share of Walt Disney Corporation stock.
- C) A Treasury note with a maturity of four years.
- D) A residential mortgage.

My answer: _____ Checked answer: _____

M2.3-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q11 | Year not stated

Which of the following instruments are traded in a money market?

- A) State and local government bonds.
- B) U.S. Treasury bills.
- C) Corporate bonds.
- D) U.S. government agency securities.

My answer: _____ Checked answer: _____

M2.3-Q12 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q12 | Year not stated

Which of the following instruments are traded in a money market?

- A) Bank commercial loans.
- B) Commercial paper.
- C) State and local government bonds.
- D) Residential mortgages.

My answer: _____ Checked answer: _____

M2.3-Q13 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q13 | Year not stated

Which of the following instruments is not traded in a money market?

- A) Residential mortgages.
- B) U.S. Treasury Bills.
- C) Negotiable bank certificates of deposit.
- D) Commercial paper.

My answer: _____ Checked answer: _____

M2.3-Q14 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q14 | Year not stated

Bonds issued by state and local governments are called _____ bonds.

- A) corporate
- B) Treasury
- C) municipal
- D) commercial

My answer: _____ Checked answer: _____

M2.3-Q15 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q15 | Year not stated

Equity and debt instruments with maturities greater than one year are called _____ market instruments.

- A) capital
- B) money
- C) federal
- D) benchmark

My answer: _____ Checked answer: _____

M2.3-Q16 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q16 | Year not stated

Which of the following is a long-term financial instrument?

- A) A negotiable certificate of deposit.
- B) A repurchase agreement.
- C) A U.S. Treasury bond.
- D) A U.S. Treasury bill.

My answer: _____ Checked answer: _____

M2.3-Q17 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q17 | Year not stated

Which of the following instruments are traded in a capital market?

- A) U.S. Government agency securities.
- B) Negotiable bank CDs.
- C) Repurchase agreements.
- D) U.S. Treasury bills.

My answer: _____ Checked answer: _____

M2.3-Q18 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q18 | Year not stated

Which of the following instruments are traded in a capital market?

- A) Corporate bonds.
- B) U.S. Treasury bills.
- C) Negotiable bank CDs.
- D) Repurchase agreements.

My answer: _____ Checked answer: _____

M2.3-Q19 | Test bank

Source: Mishkin_TB.docx | Section 2.3 | Q19 | Year not stated

Which of the following are not traded in a capital market?

- A) U.S. government agency securities.
- B) State and local government bonds.
- C) Repurchase agreements.
- D) Corporate bonds.

My answer: _____ Checked answer: _____

K61-5 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q5 | p.1-3 Source note: The short typed copy omits a choice and shifts the list; the photographic list is used here.

A 180-day \$3 million CD has a 4.25% annual rate quote. How much will you collect at maturity?

Photographic source choices:

- A. \$3,047,439
- B. \$3,045,678
- C. \$3,062,877
- D. \$3,063,750
- E. \$3,127,500

My answer: _____ Checked answer: _____

K61-26 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q26 | p.1-3

A corporate treasurer is looking to invest about \$4 million for 60 days. Commercial paper rates are a 3.65 percent discount and CD rates are 3.66 percent. Comparing the bond equivalent yields over a 365-day year, which is the best alternative?

My answer: _____ Checked answer: _____

TAN-13 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q13 | p.2-6

True/False: The discount yield on commercial paper uses a 360-day year.

My answer: _____ Checked answer: _____

FIVE-F2-11 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q11 | p.2-5

A Treasury bill quote for a T-bill with a face value of \$10,000 and a 180-day maturity shows a bid price of 2.75% and an ask price of 2.65%. An investor can buy the T-bill at a price of _____ and sell the T-bill at a price of _____.

- A. \$9,869.23; \$9,864.36.
- B. \$9,864.36; \$9,869.23.
- C. \$9,867.50; \$9,862.50.
- D. \$9,862.50; \$9,867.50.
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-12 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q12 | p.2-5

A commercial paper has a face value of \$10 million, a 270-day maturity, and is currently listed at a market price of \$9.55 million. Calculate the bond-equivalent yield of this commercial paper?

- A. 4.71%
- B. 6.42%
- C. 6.37%
- D. 6.28%
- E. 4.50%

My answer: _____ Checked answer: _____

FIVE-F2-13 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q13 | p.2-5

US Treasury bill auction sessions

- A. apply a single price for competitive bids
- B. apply a single price for non-competitive bids
- C. apply a lower price for non-competitive bids
- D. apply an equal selling quantity for all non-competitive bid prices.

My answer: _____ Checked answer: _____

FIVE-F2-18 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q18 | p.2-5

Other factors being constant:

- A. Debt instruments with higher liquidity have higher interest rates
- B. Debt instruments with higher risk have higher interest rates
- C. Debt instruments that are taxed more heavily have lower interest rates
- D. All three statements above are incorrect
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F3-8 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q8 | p.6-9

Instruments traded in the money market include:

- A. Certificates of deposit, bank bills, and mutual fund certificates.
- B. Repurchase agreements, commercial papers, government bonds, and repurchase contracts.
- C. Commercial papers, bankers' acceptances, and certificates of deposit.
- D. Bankers' acceptances, certificates of deposit, and treasury bills.

My answer: _____ Checked answer: _____

FIVE-F3-23 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q23 | p.6-9

A financial instrument in the money market is a short-term funding instrument that does not require collateral, except for:

- A. Certificate of deposit
- B. Repurchase agreement
- C. Commercial paper
- D. Interbank loan

My answer: _____ Checked answer: _____

FIVE-F3-24 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q24 | p.6-9

Which of the following instruments does not have a secondary market?

- A. Commercial paper
- B. Interbank loan
- C. Bankers' acceptance
- D. All of the above

B. ESSAY SECTION (4 points)

My answer: _____ Checked answer: _____

FIVE-F3-27 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F3, Q27 | p.6-9

It is known that an investor buys a 125-day commercial paper with a face value of \$10,000,000 and a selling price of \$9,998,250. Calculate the (bond-equivalent yield) and EAR (effective annual rate) of this commercial paper (1 point).

My answer: _____ Checked answer: _____

FIVE-F4-13 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F4, Q13 | p.9-10

Calculate the bond equivalent yield and effective annual return on T-bill that are 28 days from maturity and have a quoted yield of 0.25 percent

My answer: _____ Checked answer: _____

FIVE-F5-27 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F5, Q27 | p.11

It is known that an investor buys a 125-day commercial paper with a face value of \$1,000,000 and a selling price of \$999,450. Calculate the ibe (bond-equivalent yield) and EAR (effective annual rate) of this commercial paper (1 point).

My answer: _____ Checked answer: _____

MID16-24 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q24

U.S. dollar deposits in foreign banks outside the U.S. or in foreign branches of U.S. banks are called

- A. Federal funds
- B. Eurodollars
- C. foreign dollars
- D. municipal bonds

My answer: _____ Checked answer: _____

MID16-25 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q25

U.S. Treasury bills pay no interest but are sold at a That is, you will pay a lower purchase price than the amount you receive at maturity.

- A. premium
- B. collateral
- C. default
- D. discount

My answer: _____ Checked answer: _____

MID16-27 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q27

A debt instrument sold by a bank to its depositors that pays annual interest of a given amount and at maturity pays back the original purchase price is called

- A. commercial paper.
- B. a negotiable certificate of deposit.
- C. a municipal bond.
- D. venture fund

My answer: _____ Checked answer: _____

MID16-28 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q28

Federal funds are

- A. funds raised by the federal government in the bond market.
- B. loans made by the Federal Reserve System to banks.
- C. loans made by banks to the Federal Reserve System.
- D. loans made by banks to each other.

My answer: _____ Checked answer: _____

MID16-30 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q30

Which of the following are not traded in a capital market?

- A. U.S. government agency securities.
- B. State and local government bonds.
- C. Repurchase agreements.
- D. Corporate bonds.

My answer: _____ Checked answer: _____

MOCK18-9 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 9

Which of the following instruments is not traded in a money market?

- A) Eurodollars
- B) U.S. Treasury Bills
- C) Banker's acceptances
- D) Commercial paper
- E) None of the above

My answer: _____ Checked answer: _____

MOCK18-10 | Past paper

Source: 2018 (filename) | embedded ZIP | Exercises/Mock Exam 2018.docx | MCQ 10

Which of the following instruments are traded in a capital market?

- A) Banker's acceptances
- B) U.S. Government agency securities
- C) Negotiable bank CDs
- D) Repurchase agreements
- E) None of the above

My answer: _____ Checked answer: _____

6. Risk and diversification

18 questions | Answers use the same IDs.

M2.5-Q7 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q7 | Year not stated

The process where financial intermediaries create and sell low-risk assets and use the proceeds to purchase riskier assets is known as

- A) risk sharing.
- B) risk aversion.
- C) risk neutrality.
- D) risk selling.

My answer: _____ Checked answer: _____

M2.5-Q8 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q8 | Year not stated

The process of asset transformation refers to the conversion of

- A) safer assets into risky assets.
- B) safer assets into safer liabilities.
- C) risky assets into safer assets.
- D) risky assets into risky liabilities.

My answer: _____ Checked answer: _____

M2.5-Q9 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q9 | Year not stated

Reducing risk through the purchase of assets whose returns do not always move together is

- A) diversification.
- B) intermediation.
- C) intervention.
- D) discounting.

My answer: _____ Checked answer: _____

M2.5-Q10 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q10 | Year not stated

The concept of diversification is captured by the statement

- A) don't look a gift horse in the mouth.
- B) don't put all your eggs in one basket.
- C) it never rains, but it pours.
- D) make hay while the sun shines.

My answer: _____ Checked answer: _____

M2.5-Q11 | Test bank

Source: Mishkin_TB.docx | Section 2.5 | Q11 | Year not stated

Risk sharing is profitable for financial institutions due to

- A) low transactions costs.
- B) asymmetric information.
- C) adverse selection.
- D) moral hazard.

My answer: _____ Checked answer: _____

K61-7 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q7 | p.1-3

If the returns of two assets are perfectly positively correlated, an investor who puts half of his/her savings into each will:

- A. reduce risk.
- B. have a higher expected return.
- C. not gain from diversification.
- D. reduce risk but lower the expected return.
- E. None of the above

My answer: _____ Checked answer: _____

K61-8 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q8 | p.1-3

The fact that not everyone places all of his/her savings in U.S. Treasury bonds indicates that:

- A. Most investors are not risk averse.
- B. Many investors are actually risk seekers.
- C. Even risk-averse people will take risk if they are compensated with it.
- D. Most people are risk-neutral.
- E. None of the above

My answer: _____ Checked answer: _____

K61-17 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q17 | p.1-3

The measure of risk that focuses on the worst possible outcome is called

- A. expected rate of return.
- B. risk-free rate of return
- C. standard deviation of return.
- D. value at risk
- E. None of the above.

My answer: _____ Checked answer: _____

K58-1 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q1 | p.4

The statement “risk requires compensation” implies that people:

- A. do not take risk.
- B. only accept risk when they absolutely have to.
- C. will only accept risk when they are rewarded for doing so.
- D. avoid risk at all cost.

My answer: _____ Checked answer: _____

K58-17 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q17 | p.1-4

Which is true?

- A. Higher-risk investments generally have a bigger expected return than low-risk investments.
- B. Long-horizon investments generally have less risk.
- C. Greater variance in future payoffs generally pays lower expected return.
- D. Risk-free investments are the best benchmark for measuring the risk of all investment strategies.

My answer: _____ Checked answer: _____

K58-18 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q18 | p.1-4

An investment returns \$1,300 half the time and \$700 half the time. Its expected value is:

- A. \$1,250
- B. \$1,080
- C. \$1,000
- D. \$800

My answer: _____ Checked answer: _____

K58-19 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q19 | p.1-4

An investment with a large spread between possible payoffs generally has:

- A. a low expected return.
- B. a high standard deviation.
- C. a low value at risk.
- D. both low expected return and low value at risk.

My answer: _____ Checked answer: _____

K58-20 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q20 | p.1-4

An investment pays \$2,000 with probability 25%, \$1,600 with probability 50%, and \$1,400 with probability 25%. Its standard deviation is:

- A. \$600
- B. \$1,650
- C. \$47,500
- D. \$217.94

My answer: _____ Checked answer: _____

K58-21 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q21 | p.1-4

Leverage:

- A. reduces risk.
- B. is synonymous with risk-free investment.
- C. increases expected rate of return.
- D. leads to smaller changes in investment price.

My answer: _____ Checked answer: _____

K58-22 | Past paper

Source: K58 / exam year not printed | K58.pdf | Q22 | p.1-4

A risk-averse investor is most likely to purchase:

- A. the greatest spread of expected return.
- B. the lowest standard deviation for a given expected return.
- C. only risk-free investments.
- D. the lowest risk premium regardless of expected return.

My answer: _____ Checked answer: _____

FIVE-F2-15 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q15 | p.2-5

A project requires an investment of \$600 and has a project outcome probability of: 25% the project returns \$0, 75% the project returns \$1000. What is the corresponding standard deviation and expected value?

- A. \$750; \$600
- B. \$433; \$600
- C. \$0; \$1000

My answer: _____ Checked answer: _____

FIVE-F2-16 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q16 | p.2-5

Portfolio: x weight 30%, return 13%, variance 82.0%; y weight 70%, return 11%, variance 76.0%. Correlation -0.87; covariance -0.75%. Compute SD (two decimals).

- A. 30.19%
- B. 41.59%
- C. 15.75%
- D. 48.93%
- E. None.

My answer: _____ Checked answer: _____

FIVE-F2-17 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q17 | p.2-5

Which of the following statements is accurate?

- A. Financial leverage increases expected profit and reduces default risk
- B. Financial leverage increases default risk
- C. Financial leverage lowers expected profit and increases default risk
- D. Financial leverage increases expected profit and increases default risk
- E. None of the above is correct.

My answer: _____ Checked answer: _____

7. Financial statements, ratios and DuPont

23 questions | Answers use the same IDs.

K61-15 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q15 | p.1-3

Which of the following is not true about the balance sheet?

- A. It states what the company owns and what it owes at a fixed point in time.
- B. It reflects the fundamental starting point of all the financial statements
- C. It gives a snapshot of all the assets and claims to those assets at that particular point in time.
- D. It measures a company's financial performance over a specific period of time.
- E. None of the above answers is correct.

My answer: _____ Checked answer: _____

K61-24 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q24 | p.1-3

The debt-equity ratio is measured as total:

- A. equity minus total debt.
- B. equity divided by total debt.
- C. debt divided by total equity
- D. debt plus total equity.
- E. debt minus total assets, divided by total equity.

My answer: _____ Checked answer: _____

K61-25 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoái-trúng-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q25 | p.1-3

The financial ratio measured as net income divided by sales is known as the firm's:

- A. profit margin
- B. return on assets.
- C. return on equity.
- D. asset turnover.
- E. earnings before interest and taxes.

My answer: _____ Checked answer: _____

K61-30 | Past paper

Source: K61.2 / exam year not printed | K61.2 final sol.pdf; K61.2 final sol (1).pdf; năm-ngoại-trung-18_20-Copy-of-final-lttc-Google-Docs.pdf; b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf | Q30 | p.1-3

The table reports performance of European luxury companies in 2012. Fill the missing NPM and equity multiplier using DuPont analysis. Which company has the highest NPM? Which company needs performance improvement?

Ratio	Hermes	Burberry	Kering	LVMH	Industry
ROE	31.23%	25%	9.05%	13.81%	-
ROA	23.14%	15.93%	4.19%	6.94%	-
Asset turnover	1.09	1.23	0.39	0.57	>1
NPM	?	?	?	?	>10%
EM	?	?	?	?	>2

My answer: _____ Checked answer: _____

K59-5 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q5 | p.1-7

EBIT divided by interest expense measures:

- A. debt-equity ratio.
- B. equity multiplier.
- C. times interest earned.
- D. cash coverage ratio.

My answer: _____ Checked answer: _____

K59-8 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q8 | p.1-7

Days of inventory are measured as:

- A. 365 days/COGS.
- B. 365 days/inventory turnover.
- C. inventory turnover x 365.
- D. (receivables + inventory daily sales)/365.

My answer: _____ Checked answer: _____

K59-15 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q15 | p.1-7

Song Inc.'s income statement gives EBIT \$773,500, interest \$100,000, taxes \$234,500, no preferred shares and 100,000 common shares. Calculate EPS. The screen describes 2021 but asks for "2018 EPS".

My answer: _____ Checked answer: _____

TAN-9 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q9 | p.2-6

Felton has ROA 8%, assets \$300,000 and NPM 5%. Sales?

- A. \$3,750,000
- B. \$480,000
- C. \$300,000
- D. \$1,500,000

My answer: _____ Checked answer: _____

TAN-17 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q17 | p.2-6

True/False: High inventory turnover matters more for a dairy firm than a jewelry store.

My answer: _____ Checked answer: _____

TAN-21 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q21 | p.2-6

Fill blank 21: ___ analyzes the sources of ROA and ROE.

My answer: _____ Checked answer: _____

TAN-22 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q22 | p.2-6

Fill blank 22: ROE depends on ___, total asset turnover and leverage.

My answer: _____ Checked answer: _____

TAN-30 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q30 | p.2-6

Fill blank 30: ___ is like a video, measuring profitability over a month, quarter or year.

My answer: _____ Checked answer: _____

TAN-32 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q32 | p.2-6

Kansas Office Supply: sales \$24 m, NI \$480,000, asset turnover 5, ROE 15%; financed entirely with debt and common equity. Find the debt-to-assets ratio.

My answer: _____ Checked answer: _____

TAN-35 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q35 | p.2-6

Which ratios interest a banker assessing a short-term business loan? Explain.

My answer: _____ Checked answer: _____

M16-FSA | Past paper

Source: 2015-2016 | 2016_-_Mock_Exam.pdf | QFSA | p.1-2

ABC Computers asks for an expansion loan. Write a report on the three-year ratio trends and their effect on the lending decision. The source later calls the borrower “Hassan”; treat that as a naming inconsistency.

Ratio	2012	2013	2014
Current	1.33	1.98	2.19
EPS	27.78	23.33	18
Inventory turnover	5	2.58	1.66
Gross margin	45%	55%	56%
Quick	1.40	1.10	0.79
AR days	48	63	88
Debt ratio	38%	42%	61%
NPM	38%	26%	19%
Equity ratio	$\frac{678}{845}$	$\frac{736}{1047}$	$\frac{896}{1440}$

My answer: _____ Checked answer: _____

FIVE-F1-W3 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Opening written Q3 | p.1

Company ABC reports ROE, ROA and asset turnover in 2020-2022. Fill EM and NPM.

Year	ROE	ROA	Turnover	EM	NPM
2020	19.8%	8.1%	2.0	?	?
2021	20.0%	8.0%	2.0	?	?
2022	22.0%	7.9%	2.1	?	?

My answer: _____ Checked answer: _____

FIVE-PF-1 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTT.pdf | Firm-performance practice Q1 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Estée Lauder: compute ROA, operating margin, sales/assets, inventory turnover, D/E, current and quick ratios; prepare common-size balance sheet and income statement.

Balance sheet	End	Start
Cash/securities	1253	1121
AR	946	746
Inventory	996	827
Other CA	492	428
Total CA	3687	3121
PPE	2862	2525
Accumulated depreciation	1719	1501
Net fixed assets	1143	1024
Other LT assets	1444	1191
Total assets	6274	5336
Debt due	138	23
AP	1805	1549
Total CL	1943	1572
LT debt	1080	1205
Other LT liabilities	621	610
Total liabilities	3627	3370
Equity	2629	1948
Income statement	Amount	
Sales	8810	
COGS	1937	
SG&A	5486	
Depreciation	298	
EBIT	1089	
Interest	64	
Taxable income	1025	
Tax	322	
NI	703	
Dividends	148	
Added retained earnings	555	

My answer: _____ Checked answer: _____

FIVE-PF-2 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q2 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Magic Flutes has total receivables of \$3,000, which represent 20 days' sales. Total assets are \$75,000. The firm's operating profit margin is 5%. Find the firm's sales-to-assets ratio and return on assets.

My answer: _____ Checked answer: _____

FIVE-PF-3 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q3 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Consider this simplified balance sheet for Geomorph Trading

- Calculate the ratio of debt to equity.
- What are Geomorph's net working capital and total long-term capital? Calculate the ratio of debt to total long-term capital.
- Suppose that at year-end Geomorph had \$30 in cash and marketable securities. Immediately after the year-end it used a line of credit to borrow \$20 for one year, which it invested in additional marketable securities. Would the company appear to be (a) more or less liquid, (b) more or less highly leveraged? Make any additional assumptions that you need.

Assets	\$	Liabilities and equity	\$
Current	100	Current liabilities	60
Long-term	500	Long-term debt	280
		Other liabilities	70
		Equity	190

My answer: _____ Checked answer: _____

FIVE-PF-4 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q4 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

You have the following information taken from the 20 x 5 financial statements of Computronix Corporation and Digitek Corporation: (All figures are in \$ millions except for the second and final three rows.) Compare and contrast the financial performance of the two companies using the financial ratios discussed in the lecture.

Item	Computronix	Digitek
NI	153.7	239.0
Payout	40%	20%
EBIT	317.6	403.1
Interest	54.7	4.8
Average assets	2457.9	3459.7
Sales	3379.3	4537.0
Average equity	1113.3	2347.3
Stock price start	15	38
Stock price end	12	40
Shares (million)	200	100

My answer: _____ Checked answer: _____

FIVE-PF-5 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q5 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Discuss alternative measures of financial leverage. Should the market value of equity be used or the book value? Is it better to use the market value of debt or the book value? How should you treat off-balance-sheet obligations such as pension liabilities? How would you treat preferred stock?

My answer: _____ Checked answer: _____

MID16-16 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTT-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q16; Exercises/Mock exam 2020.docx | A Q16

Which transaction(s) increases/increase equity of entity?

- A. issuing bonds
- B. issuing common stock
- C. addition to retained earning
- D. only (b) and (c) of the above
- E. all of the above

My answer: _____ Checked answer: _____

MOCK20-B2 | Past paper

Source: 2020 (filename) | embedded ZIP | Exercises/Mock exam 2020.docx | B Q2

Compare two hospitality firms. Firm One manages/franchises hotels under long-term revenue-percentage contracts, grows by buying management/brand rights, and repurchases shares. Firm Two owns and operates upscale hotels/resorts. Compare net PPE, goodwill/intangibles, equity, asset turnover and ROE.

Compare	Firm One	Firm Two
Net PPE	?	?
Goodwill/intangibles	?	?
Equity	?	?
Asset turnover	?	?
ROE	?	?

My answer: _____ Checked answer: _____

8. Cash flow and working capital

21 questions | Answers use the same IDs.

K59-3 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q3 | p.1-7

Free cash flow is:

- A. without cost to the firm.
- B. net income plus depreciation minus tax.
- C. cash available for distribution to creditors and stockholders.
- D. decreases with an increase in net working capital.

My answer: _____ Checked answer: _____

K59-7 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q7 | p.1-7

Accounting profits and cash flows are:

- A. the same because profits reflect cash receipt dates.
- B. not the same because cash inflows occur before revenue recognition.
- C. the same because GAAP permits revenue recognition separate from cash receipt.
- D. none is correct.

My answer: _____ Checked answer: _____

K59-11 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q11 | p.1-7

Which enter the computation of operating cash flow? Select all. Source screen order:

- A. Current taxes.
- B. EBIT.
- C. Interest paid.
- D. Depreciation.

My answer: _____ Checked answer: _____

K59-12 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q12 | p.1-7

What are the costs and benefits of holding liquid securities on a firm's balance sheet?

My answer: _____ Checked answer: _____

K59-14 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q14 | p.1-7

Song Inc. reports 2021 net income \$15 million and depreciation \$2.65 million. Compute net cash flow from operating activities from the balance-sheet changes below. Visible options include \$4.65 million, \$12 million and \$7.3 million; the rest are cropped.

Item (\$m)	2021	2020
Cash + securities	20	15
AR	84	75
Inventory	121	110
Total CA	225	200
Accrued wages/tax	19	18
AP	51	45
Notes payable	45	40
Total CL	115	103

My answer: _____ Checked answer: _____

K59-21 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q21 | p.1-7

Which statements are false? Select all.

- A. Depreciation decreases operating cash flows.
- B. An increase in noncash current assets uses cash.
- C. A decrease in long-term debt uses cash.
- D. A decrease in AP is a source of cash because suppliers finance operations.

My answer: _____ Checked answer: _____

K59-22 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q22 | p.1-7

Cash flow to creditors includes cash:

- A. received when suppliers are paid.
- B. received when long-term debt is repaid.
- C. outflow when interest is paid on debt.
- D. outflow when new debt is acquired.

My answer: _____ Checked answer: _____

K59-23 | Past paper

Source: K59 / exam year not printed | K59.pdf | Q23 | p.1-7

Lucas Inc. reports free cash flow \$39.1 million, investment in operating capital \$22.1 million, depreciation \$13.6 million and taxes on EBIT \$28.9 million. Find EBIT.

My answer: _____ Checked answer: _____

TAN-3 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaa.pdf | Q3 | p.2-6

Which does NOT speed cash inflows?

- A. electronic transfer
- B. lockbox
- C. less restrictive credit policy
- D. offering a trade discount

My answer: _____ Checked answer: _____

TAN-4 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q4 | p.2-6

Minimum cash balance \$18,000; annual investment rate 3%; transaction cost \$25; daily cash-flow variance 23,698 dollars squared. Target cash balance? Use eight decimals.

- A. \$1,755
- B. \$16,245
- C. \$19,755
- D. \$20,786

My answer: _____ Checked answer: _____

TAN-5 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q5 | p.2-6

The speculative motive for holding cash refers to cash held:

- A. for internal projects.
- B. for an expected future loss.
- C. for a future investment opportunity.
- D. for an international project.

My answer: _____ Checked answer: _____

TAN-10 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q10 | p.2-6

Credit terms: a 1% discount if paid within 10 days; otherwise the full amount is due in 35 days. Effective annual cost of foregoing the discount, using 365 days?

- A. 10.0%
- B. 15.8%
- C. 14.7%
- D. 35.0%

My answer: _____ Checked answer: _____

TAN-16 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q16 | p.2-6

True/False: Short-term borrowing is more expensive because it is riskier to the borrower.

My answer: _____ Checked answer: _____

TAN-19 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q19 | p.2-6

True/False: Firms use short-term financing because of growth and lower risk than long-term debt.

My answer: _____ Checked answer: _____

TAN-33 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q33 | p.2-6

Beginning cash \$1,000, short-term loans \$3,500, net cash inflow \$4,000, target cash \$3,000. How much debt can be repaid?

My answer: _____ Checked answer: _____

FIVE-PF-6 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q6 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Suppose it is Apr 15 and you just received your monthly credit card statement with the new balance of \$2,000. The payment is due on May 5, but your spouse panics at the sight (and size) of the balance and wants to pay it immediately. If you practice the principles of cash cycle time management in your personal finance, when would you make the payment? Why? What danger exists in adopting this strategy?

My answer: _____ Checked answer: _____

FIVE-PF-7 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q7 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

How would the following actions affect a firm's current ratio?

- a. Inventory is sold.
- b. The firm takes out a bank loan to pay its suppliers.
- c. The firm arranges a line of credit with a bank that allows it to borrow at any time to pay its suppliers.
- d. A customer pays its overdue bills.
- e. The firm uses cash to purchase additional inventories.

My answer: _____ Checked answer: _____

FIVE-PF-8 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q8 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Suppose you own a firm that manufactures pool tables. Thirty days ago, you hired a consultant to examine your business and suggest improvements. The consultant's proposal, if implemented, would allow your firm to shorten the time between each sale and the subsequent cash collection by 20 days, slightly lengthen the time between inventory purchase and sale by only 5 days, but shorten the time between inventory purchase and your firm's payment of the bill by 15 days. Would you implement the consultant proposal? Why?

My answer: _____ Checked answer: _____

FIVE-PF-9 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q9 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

In general, the principles of cash cycle time management call for a firm to shorten (minimise) the time it takes to collect receivables, and lengthen (maximise) the time it takes to pay amounts it owes to suppliers. Explain what tradeoffs need to be managed if the firm offers discounts to customers who pay early, and the firm also foregoes discounts offered by its suppliers by extending the time until it pays invoices.

My answer: _____ Checked answer: _____

FIVE-PF-10 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Firm-performance practice Q10 | p.12-15 Source note: Supplementary practice in compilation; not verified as a dated past exam.

Some furniture companies conduct highly advertised annual sale events in which customers can either take an up-front discount for a cash (or credit card) purchase, or defer finance charges for up to one year on their purchases by charging it to the company's credit account. Assume that the two options do not present a time value of money advantage for the company. In terms of cash cycle management: (1) Why does the company offer the discount? (2) Why might the company be willing to forego cash collection for one year if a customer chooses to defer? What risk does the company assume in the deferment case that it does not assume in the discount case?

My answer: _____ Checked answer: _____

MID16-7 | Past paper

Source: 2016 (filename; exact exam date not printed) | LTTC-20260831T135230Z-1-001.zip > Principles of Finance 2026-20260831T134745Z-1-001.zip > Exercises/Midterm Exam - sep2016.docx and Copy of Midterm Exam - sep2016.docx | A Q7; Exercises/Mock exam 2020.docx | A Q7

The process by which a company manages its day-to-day operating needs through its current assets and current liabilities is known as.....

- A. Capital budgeting
- B. Capital structure
- C. Accounts receivable management
- D. Working capital management

My answer: _____ Checked answer: _____

9. Capital budgeting: NPV, IRR and payback

9 questions | Answers use the same IDs.

TAN-1 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q1 | p.2-6

Bean Ltd invests £300,000 today and receives £100,000, £150,000, £200,000 at year-ends 1, 2, 3. At 10%, choose the correct statement.

- A. NPV £65,139; payback 2 years 3 months.
- B. NPV £65,139; payback 2 years 9 months.
- C. NPV £365,139; payback 2 years 3 months.
- D. NPV £365,139; payback 2 years 9 months.

My answer: _____ Checked answer: _____

TAN-2 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q2 | p.2-6

Which statement about NPV is NOT true?

- A. NPV accounts for TVM.
- B. NPV sums all discounted project cash flows.
- C. NPV accounts for all project cash flows.
- D. Choose the lowest NPV among competing projects.

My answer: _____ Checked answer: _____

TAN-7 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q7 | p.2-6

Project outflow \$104,000; cash inflows \$34,444, \$39,877, \$25,000, \$52,800 in years 1-4. IRR range?

- A. below 10%
- B. 10% to below 14%
- C. 14% to below 18%
- D. at least 18%

My answer: _____ Checked answer: _____

TAN-11 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q11 | p.2-6

True/False: Project A needs the entire engineering staff; B needs 50%; payroll cannot increase. Therefore the projects are independent.

My answer: _____ Checked answer: _____

TAN-28 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q28 | p.2-6

Fill blank 28: ____ determines which independent projects are acceptable; [29] orders mutually exclusive projects against a standard.

My answer: _____ Checked answer: _____

TAN-29 | Past paper

Source: 2021-2022; 16 October 2021 | xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaaa.pdf | Q29 | p.2-6

Fill blank 29 in the project selection passage (see TAN-28).

My answer: _____ Checked answer: _____

FIVE-F2-10 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q10 | p.2-5

The Internal Rate of Return (IRR) _____.

- A. equals the return on the initial invested capital.
- B. equals 0 when the present value of the project's future cash flows equals the present value of the project-related costs.
- C. equals the interest rate that balances the present value of the project's future cash flows with the present value of the project-related costs.
- D. equals the market interest rate when the project is implemented.
- E. None of the above is correct.

My answer: _____ Checked answer: _____

FIVE-F2-14 | Past paper

Source: Year not stated; compilation | 5 bộ đề năm trước LTTC.pdf | Set F2, Q14 | p.2-5

The table below shows the initial investment amount and the Net Present Value (NPV) of projects for a company. The project data below apply. With a \$346 million budget, maximize total NPV.

- A. \$336 m
- B. \$419 m
- C. \$443 m.

Project	A	B	C	D	E	F	G
Cost	124	54	94	84	184	74	54
NPV	174	104	99	-44	64	66	44

My answer: _____ Checked answer: _____

MOCK18-E3 | Past paper

Source: 2018 | embedded ZIP | Mock Exam 2018.docx | Exercise 3

Invest \$9,500 today and receive \$10,500 in one year. Find IRR.

My answer: _____ Checked answer: _____

Source coverage and cross-reference

Test-bank register

Saunders_Chapter 1.docx: 85 printed question entries (Q43 occurs twice); exact repeats Q51 → S1-Q42 and Q52 → S1-Q43. Saunders_Chapter 3.docx: 76 entries. Mishkin_TB.docx: 488 entries in Chapters 1, 2, 3, 4 and 8; M8.3-Q3 → M2.5-Q14 is an exact repeat. All other supplied variants are retained.

Past-paper register

K61: K61.2 copies / b8a68131-ba7a-483d-ad77-4694d59eb1e3.pdf. 28 separately retained questions.

K58: K58.pdf. 30 separately retained questions.

K59: K59.pdf. 23 separately retained questions.

TAN: xem-kĩ-Copy-of-de-ck-finance-aaaaaaaaaaaaaaaa.pdf (2021–2022; 16 October 2021). 35 separately retained questions.

M16: Mock 2016 source recovered in the earlier full workbook. 8 separately retained questions.

FIVE: 5 bộ đề năm trước LTTC.pdf. 73 separately retained questions.

MID16: Midterm Exam - sep2016.docx and Copy. 32 separately retained questions.

MOCK18: Mock Exam 2018.docx. 14 separately retained questions.

MOCK20: Mock exam 2020.docx. 3 separately retained questions.

Mock 2020 Section A Q1–20 repeats Midterm 2016 Q1–20, except Q5 has a truncated option and remains separate as MOCK20-5. An unrelated stray word after Q20 is omitted. The two Midterm 2016 files are duplicate copies. These merged occurrences remain cited under their corresponding MID16 IDs.

Unavailable or defective source material

K61: Q1 and Q2 are not available in the recovered source set. K59: Q16 is absent. K58: Q11 supplies the scenario continued by Q12, so both belong to one exercise; the two different Q29s are labeled 29a and 29b.

Mock 2016: the 40 referenced MCQs are absent; the insurer noun in essay (a) is incomplete.

Midterm 2016: Q10 and Q26 have no choices; Q18 has only option D.

Five-paper compilation: Mock 2 Q3 is blank; the MCQ sections for Mock 4 and Mock 5 are not supplied. Questions missing rates, face values, timing or consistent options are retained and flagged in the answer book.

Past-paper English transcriptions from the earlier full collection were recovered and checked against available originals. Line breaks and layout are normalized; no missing question is invented.

Excluded from this extraction: textbook narrative, lecture examples, solutions-only files, grade rosters, standalone tutorials not identified as test banks or past papers, unrelated managerial-accounting practice and the open-economy macroeconomics slide deck. These are not counted as omitted past-paper questions.

Question ID index

The ID specifies the source and original question number; M IDs also specify the original section. The table maps each retained question to its LTTC study chapter.

Question IDs	Chapter
S1-Q1, S1-Q2, S1-Q3, S1-Q4, S1-Q5, S1-Q6, S1-Q7, S1-Q8, S1-Q9	1
S1-Q10, S1-Q11, S1-Q12, S1-Q13, S1-Q14, S1-Q15, S1-Q16, S1-Q17, S1-Q18	1
S1-Q19, S1-Q20, S1-Q21, S1-Q22, S1-Q23, S1-Q24, S1-Q25, S1-Q26, S1-Q27	1
S1-Q28, S1-Q29, S1-Q30, S1-Q31, S1-Q32, S1-Q33, S1-Q34, S1-Q35, S1-Q36	1

Question IDs	Chapter
S1-Q37, S1-Q38, S1-Q39, S1-Q40, S1-Q41, S1-Q42, S1-Q43, S1-Q43-v2, S1-Q44	1
S1-Q45, S1-Q46, S1-Q47, S1-Q48, S1-Q49, S1-Q50, S1-Q53, S1-Q54, S1-Q55	1
S1-Q56, S1-Q57, S1-Q58, S1-Q59, S1-Q60, S1-Q61, S1-Q62, S1-Q63, S1-Q64	1
S1-Q65, S1-Q66, S1-Q67, S1-Q68, S1-Q69, S1-Q70, S1-Q71, S1-Q72, S1-Q73	1
S1-Q74, S1-Q75, S1-Q76, S1-Q77, S1-Q78, S1-Q79, S1-Q80, S1-Q81, S1-Q82	1
S1-Q83, S1-Q84, M1.1-Q1, M1.1-Q2, M1.1-Q3, M1.1-Q4, M1.1-Q5, M1.1-Q6, M1.1-Q7	1
M1.1-Q8, M1.1-Q9, M1.1-Q10, M1.1-Q11, M1.1-Q12, M1.1-Q13, M1.1-Q14, M1.1-Q15, M1.1-Q16	1
M1.1-Q17, M1.1-Q18, M1.1-Q19, M1.1-Q20, M1.1-Q21, M1.1-Q22, M1.1-Q23, M1.1-Q24, M1.1-Q25	1
M1.1-Q26, M1.1-Q27, M1.1-Q28, M1.1-Q29, M1.1-Q30, M1.2-Q1, M1.2-Q2, M1.2-Q3, M1.2-Q4	1
M1.2-Q5, M1.2-Q6, M1.2-Q7, M1.2-Q8, M1.2-Q9, M1.2-Q10, M1.2-Q11, M1.2-Q12, M1.3-Q1	1
M1.3-Q2, M1.3-Q3, M1.3-Q4, M1.3-Q5, M1.3-Q6, M1.3-Q7, M1.3-Q8, M1.3-Q9, M1.3-Q10	1
M1.3-Q11, M1.3-Q12, M1.3-Q13, M1.3-Q14, M1.3-Q15, M1.3-Q16, M1.3-Q17, M1.3-Q18, M1.3-Q19	1
M1.3-Q20, M1.3-Q21, M1.3-Q22, M1.3-Q23, M1.3-Q24, M1.3-Q25, M1.5-Q1, M1.5-Q2, M1.5-Q3	1
M1.5-Q4, M1.5-Q5, M1.5-Q6, M1.5-Q7, M1.5-Q8, M1.5-Q9, M1.5-Q10, M1.5-Q11, M1.5-Q12	1
M1.5-Q13, M1.5-Q14, M1.5-Q15, M1.5-Q16, M1.5-Q17, M1.5-Q18, M1.5-Q19, M1.5-Q20, M2.1-Q1	1
M2.1-Q2, M2.1-Q3, M2.1-Q4, M2.1-Q5, M2.1-Q6, M2.1-Q7, M2.1-Q8, M2.1-Q9, M2.1-Q10	1
M2.1-Q11, M2.1-Q12, M2.1-Q13, M2.1-Q14, M2.1-Q15, M2.1-Q16, M2.1-Q17, M2.2-Q1, M2.2-Q2	1
M2.2-Q3, M2.2-Q4, M2.2-Q5, M2.2-Q6, M2.2-Q7, M2.2-Q8, M2.2-Q9, M2.2-Q10, M2.2-Q11	1
M2.2-Q12, M2.2-Q13, M2.2-Q14, M2.2-Q15, M2.2-Q16, M2.2-Q17, M2.2-Q18, M2.2-Q19, M2.2-Q20	1
M2.2-Q21, M2.2-Q22, M2.2-Q23, M2.2-Q24, M2.2-Q25, M2.2-Q26, M2.2-Q27, M2.5-Q1, M2.5-Q2	1
M2.5-Q3, M2.5-Q4, M2.5-Q5, M2.5-Q6, M2.5-Q12, M2.5-Q13, M2.5-Q14, M2.5-Q15, M2.5-Q16	1
M2.5-Q17, M2.5-Q18, M2.5-Q19, M2.5-Q20, M2.6-Q1, M2.6-Q2, M2.6-Q3, M2.6-Q4, M2.6-Q5	1
M2.6-Q6, M2.6-Q7, M2.6-Q8, M2.6-Q9, M2.6-Q10, M2.6-Q11, M2.6-Q12, M2.6-Q13, M2.6-Q14	1
M2.6-Q15, M2.6-Q16, M2.6-Q17, M2.6-Q18, M2.6-Q19, M2.6-Q20, M2.6-Q21, M2.6-Q22, M2.6-Q23	1
M2.7-Q1, M2.7-Q2, M2.7-Q3, M2.7-Q4, M2.7-Q5, M2.7-Q6, M2.7-Q7, M2.7-Q8, M2.7-Q9	1
M2.7-Q10, M2.7-Q11, M2.7-Q12, M2.7-Q13, M2.7-Q4-v2, M3.1-Q1, M3.1-Q2, M3.1-Q3, M3.1-Q4	1
M3.1-Q5, M3.1-Q6, M3.1-Q7, M3.1-Q8, M3.1-Q9, M3.1-Q10, M3.1-Q11, M3.1-Q12, M3.1-Q13	1
M3.2-Q1, M3.2-Q2, M3.2-Q3, M3.2-Q4, M3.2-Q5, M3.2-Q6, M3.2-Q7, M3.2-Q8, M3.2-Q9	1
M3.2-Q10, M3.2-Q11, M3.2-Q12, M3.2-Q13, M3.2-Q14, M3.2-Q15, M3.2-Q16, M3.2-Q17, M3.2-Q18	1
M3.2-Q19, M3.2-Q20, M3.2-Q21, M3.2-Q22, M3.2-Q23, M3.2-Q24, M3.2-Q25, M3.2-Q26, M3.2-Q27	1
M3.2-Q28, M3.2-Q29, M3.2-Q30, M3.2-Q31, M3.2-Q32, M3.2-Q33, M3.2-Q34, M3.2-Q35, M3.2-Q36	1
M3.3-Q1, M3.3-Q2, M3.3-Q3, M3.3-Q4, M3.3-Q5, M3.3-Q6, M3.3-Q7, M3.3-Q8, M3.3-Q9	1
M3.3-Q10, M3.3-Q11, M3.3-Q12, M3.3-Q13, M3.3-Q14, M3.3-Q15, M3.3-Q16, M3.3-Q17, M3.4-Q1	1
M3.4-Q2, M3.4-Q3, M3.4-Q4, M3.4-Q5, M3.4-Q6, M3.4-Q7, M3.4-Q8, M3.4-Q9, M3.4-Q10	1
M3.4-Q11, M3.4-Q12, M3.4-Q13, M3.4-Q14, M3.4-Q15, M3.4-Q16, M3.4-Q17, M3.4-Q18, M3.4-Q19	1
M3.4-Q20, M3.4-Q21, M3.4-Q22, M3.4-Q23, M3.5-Q1, M3.5-Q2, M3.5-Q3, M3.5-Q4, M3.5-Q5	1
M3.5-Q6, M8.1-Q1, M8.1-Q2, M8.1-Q3, M8.1-Q4, M8.1-Q5, M8.1-Q6, M8.1-Q7, M8.1-Q8	1

Question IDs	Chapter
M8.1-Q9, M8.1-Q10, M8.1-Q11, M8.1-Q12, M8.1-Q13, M8.1-Q14, M8.1-Q15, M8.1-Q16, M8.1-Q17	1
M8.1-Q18, M8.1-Q19, M8.1-Q20, M8.1-Q21, M8.1-Q22, M8.1-Q23, M8.2-Q1, M8.2-Q2, M8.2-Q3	1
M8.2-Q4, M8.2-Q5, M8.2-Q6, M8.3-Q1, M8.3-Q2, M8.3-Q4, M8.3-Q5, M8.3-Q6, M8.4-Q1	1
M8.4-Q2, M8.4-Q3, M8.4-Q4, M8.4-Q5, M8.4-Q6, M8.4-Q7, M8.4-Q8, M8.4-Q9, M8.4-Q10	1
M8.4-Q11, M8.4-Q12, M8.4-Q13, M8.4-Q14, M8.4-Q15, M8.4-Q16, M8.4-Q17, M8.4-Q18, M8.5-Q1	1
M8.5-Q2, M8.5-Q3, M8.5-Q4, M8.5-Q5, M8.5-Q6, M8.5-Q7, M8.5-Q8, M8.5-Q9, M8.5-Q10	1
M8.5-Q11, M8.5-Q12, M8.5-Q13, M8.5-Q14, M8.5-Q15, M8.6-Q1, M8.6-Q2, M8.6-Q3, M8.6-Q4	1
M8.6-Q5, M8.6-Q6, M8.6-Q7, M8.6-Q8, M8.6-Q9, M8.6-Q10, M8.6-Q11, M8.6-Q12, M8.6-Q13	1
M8.7-Q1, M8.7-Q2, M8.7-Q3, M8.7-Q4, M8.7-Q5, M8.7-Q6, M8.7-Q7, M8.7-Q8, M8.7-Q9	1
M8.7-Q10, M8.7-Q11, M8.7-Q12, M8.7-Q13, K61-9, K61-10, K61-11, K61-12, K61-13	1
K61-14, K61-18, K61-19, K61-20, K61-29, K58-2, K58-3, K58-4, K58-5	1
K58-7, K58-8, K58-9, K58-10, K58-23, K58-24, K58-25, K58-26, K58-27	1
K59-1, K59-2, K59-6, K59-10, K59-13, K59-17, K59-18, K59-19, K59-20	1
K59-24, TAN-8, TAN-12, TAN-14, TAN-15, TAN-18, TAN-23, TAN-24, TAN-25	1
TAN-26, TAN-27, TAN-31, M16-Essay-a, M16-Essay-b, M16-Essay-c, FIVE-F2-1, FIVE-F2-6, FIVE-F2-7	1
FIVE-F2-9, FIVE-F2-20, FIVE-F2-25, FIVE-F2-26, FIVE-F3-1, FIVE-F3-4, FIVE-F3-6, FIVE-F3-7, FIVE-F3-9	1
FIVE-F3-10, FIVE-F3-11, FIVE-F3-12, FIVE-F3-13, FIVE-F3-14, MID16-1, MID16-2, MID16-3, MID16-4	1
MID16-5, MID16-9, MID16-11, MID16-13, MID16-14, MID16-15, MID16-17, MID16-18, MID16-19	1
MID16-20, MID16-21, MID16-22, MID16-23, MID16-29, MID16-B1, MID16-B2, MOCK20-B1, MOCK18-1	1
MOCK18-2, MOCK18-3, MOCK18-4, MOCK18-5, MOCK18-6, MOCK18-7, MOCK18-8, FIVE-F5-28, MOCK20-5	1
M4.1-Q1, M4.1-Q2, M4.1-Q3, M4.1-Q4, M4.1-Q5, M4.1-Q6, M4.1-Q24, M4.1-Q25, M4.1-Q26	2
M4.1-Q27, M4.1-Q28, M4.1-Q29, M4.1-Q30, M4.1-Q53, M4.3-Q1, M4.3-Q2, M4.3-Q3, M4.3-Q4	2
M4.3-Q5, M4.3-Q6, M4.3-Q7, M4.3-Q8, M4.3-Q9, M4.3-Q10, M4.3-Q11, M4.3-Q12, M4.3-Q13	2
M4.3-Q14, M4.3-Q15, M4.3-Q16, K61-3, K61-4, K61-16, K61-21, K58-11-12, K58-13	2
K58-14, K58-15, K58-16, K58-29b, TAN-20, TAN-34, M16-Ex1, FIVE-F2-5, FIVE-F2-22	2
FIVE-F2-24, FIVE-F3-2, FIVE-F3-15, FIVE-F3-16, FIVE-F3-18, FIVE-F3-19, FIVE-F3-28, MID16-6, MID16-8	2
MID16-10, MID16-12, MID16-26, MOCK18-E1, MOCK18-E2, K59-4	2
M4.1-Q7, M4.1-Q8, M4.1-Q9, M4.1-Q10, M4.1-Q31, K61-28, K58-28, K58-29a, K59-9	3
M16-Ex4, FIVE-F1-W1, FIVE-F2-23, FIVE-F3-17, FIVE-F3-26, FIVE-F4-12, FIVE-F5-26	3
S3-Q1, S3-Q2, S3-Q3, S3-Q4, S3-Q5, S3-Q6, S3-Q7, S3-Q8, S3-Q9	4
S3-Q10, S3-Q11, S3-Q12, S3-Q13, S3-Q14, S3-Q15, S3-Q16, S3-Q17, S3-Q18	4
S3-Q19, S3-Q20, S3-Q21, S3-Q22, S3-Q23, S3-Q24, S3-Q25, S3-Q26, S3-Q27	4
S3-Q28, S3-Q29, S3-Q30, S3-Q31, S3-Q32, S3-Q33, S3-Q34, S3-Q35, S3-Q36	4
S3-Q37, S3-Q38, S3-Q39, S3-Q40, S3-Q41, S3-Q42, S3-Q43, S3-Q44, S3-Q45	4
S3-Q46, S3-Q47, S3-Q48, S3-Q49, S3-Q50, S3-Q51, S3-Q52, S3-Q53, S3-Q54	4
S3-Q55, S3-Q56, S3-Q57, S3-Q58, S3-Q59, S3-Q60, S3-Q61, S3-Q62, S3-Q63	4
S3-Q64, S3-Q65, S3-Q66, S3-Q67, S3-Q68, S3-Q69, S3-Q70, S3-Q71, S3-Q72	4

Question IDs	Chapter
S3-Q73, S3-Q74, S3-Q75, S3-Q76, M4.1-Q11, M4.1-Q12, M4.1-Q13, M4.1-Q14, M4.1-Q15	4
M4.1-Q16, M4.1-Q17, M4.1-Q18, M4.1-Q19, M4.1-Q20, M4.1-Q21, M4.1-Q22, M4.1-Q23, M4.1-Q32	4
M4.1-Q33, M4.1-Q34, M4.1-Q35, M4.1-Q36, M4.1-Q37, M4.1-Q8-v2, M4.1-Q39, M4.1-Q40, M4.1-Q41	4
M4.1-Q42, M4.1-Q43, M4.1-Q44, M4.1-Q45, M4.1-Q46, M4.1-Q47, M4.1-Q48, M4.1-Q49, M4.1-Q50	4
M4.1-Q51, M4.1-Q52, M4.2-Q1, M4.2-Q2, M4.2-Q3, M4.2-Q4, M4.2-Q5, M4.2-Q6, M4.2-Q7	4
M4.2-Q8, M4.2-Q9, M4.2-Q10, M4.2-Q11, M4.2-Q12, M4.2-Q13, M4.2-Q14, M4.2-Q15, M4.2-Q16	4
M4.2-Q17, M4.4-Q1, M4.4-Q2, M4.4-Q3, M4.4-Q4, M4.4-Q5, M4.4-Q6, K61-6, K61-22	4
K61-23, K61-27, K58-6, K58-30, TAN-6, M16-Ex2, M16-Ex3, FIVE-F1-W2, FIVE-F2-2	4
FIVE-F2-4, FIVE-F2-8, FIVE-F2-19, FIVE-F2-21, FIVE-F3-3, FIVE-F3-5, FIVE-F3-20, FIVE-F3-21, FIVE-F3-22	4
FIVE-F3-25, FIVE-F4-11, FIVE-F5-25, MOCK18-E4	4
M2.3-Q1, M2.3-Q2, M2.3-Q3, M2.3-Q4, M2.3-Q5, M2.3-Q6, M2.3-Q7, M2.3-Q8, M2.3-Q9	5
M2.3-Q10, M2.3-Q11, M2.3-Q12, M2.3-Q13, M2.3-Q14, M2.3-Q15, M2.3-Q16, M2.3-Q17, M2.3-Q18	5
M2.3-Q19, K61-5, K61-26, TAN-13, FIVE-F2-11, FIVE-F2-12, FIVE-F2-13, FIVE-F2-18, FIVE-F3-8	5
FIVE-F3-23, FIVE-F3-24, FIVE-F3-27, FIVE-F4-13, FIVE-F5-27, MID16-24, MID16-25, MID16-27, MID16-28	5
MID16-30, MOCK18-9, MOCK18-10	5
M2.5-Q7, M2.5-Q8, M2.5-Q9, M2.5-Q10, M2.5-Q11, K61-7, K61-8, K61-17, K58-1	6
K58-17, K58-18, K58-19, K58-20, K58-21, K58-22, FIVE-F2-15, FIVE-F2-16, FIVE-F2-17	6
K61-15, K61-24, K61-25, K61-30, K59-5, K59-8, K59-15, TAN-9, TAN-17	7
TAN-21, TAN-22, TAN-30, TAN-32, TAN-35, M16-FSA, FIVE-F1-W3, FIVE-PF-1, FIVE-PF-2	7
FIVE-PF-3, FIVE-PF-4, FIVE-PF-5, MID16-16, MOCK20-B2	7
K59-3, K59-7, K59-11, K59-12, K59-14, K59-21, K59-22, K59-23, TAN-3	8
TAN-4, TAN-5, TAN-10, TAN-16, TAN-19, TAN-33, FIVE-PF-6, FIVE-PF-7, FIVE-PF-8	8
FIVE-PF-9, FIVE-PF-10, MID16-7	8
TAN-1, TAN-2, TAN-7, TAN-11, TAN-28, TAN-29, FIVE-F2-10, FIVE-F2-14, MOCK18-E3	9